India Glycols (INDIAGLYCO)

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Call: May 2023

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The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
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Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q4FY23 Results Conference Call

Further to our letters dated 24th and 26th May, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Results Conference Call for Q4FY23 held on Friday, 26th May, 2023 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary

Encl: A/a

“India Glycols Limited
Q4 FY2023 Earnings Conference Call ”

May 26, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD – SALES & MARKETING (BSPC)
MR. S K SHUKLA – HEAD – LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: M R. AKASH KUMAR – ICICI SECURITIES

 Moderator : Ladies and gentlemen, good day and welcome to the India Glycols Q4 FY2023 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Akash Kumar from ICICI Securities. Thank you and over to you Sir!

Akash Kumar : Thanks Evelyn. Good afternoon everyone. Thank you for joining us on India Glycols Limited Q4 and FY2023 Results Conference Call. We are joined on this call with India Glycols management represented by Mr. Rupark Sarswat, Chief Executive Officer, Mr Anand Singhal, Chief Financial Officer, Mr. Rajesh Marwaha, Head, Sales and Marketing, Mr. S K Shukla, Head, Liquor Business, and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceedings with his opening remarks post which we will have a Q&A session. Over to you Sir!

Rupark Sarswat : Thank you Akash. Good afternoon everybody and we welcome and thank you for taking out the time to join us and I hope all of you are doing well. Let me now take you through a brief statement of performance for India Glycol Limited for the quarter as well as the full year. You may have seen the results so I will quickly go through some of the highlights. If you look at the quarterly performance, we received a gross turnover of Rs. 1,616 Crores which is roughly 8.1%, a net turnover of Rs. 619 Crores which is down by 3.6%. Our EBITDA for the quarter of Rs. 100 Crores which is up 19%. We have seen a healthy EBITDA margin improvement so the EBITDA margin for the quarter is 16.1% which is up 306 basis points. If you can see for the quarter overall business has shown a good growth momentum during the quarter and you can also see marginal improvement which is supported by cost as well as some focus that we have had on better margin businesses. I will take about it a little later in a minute. If you look at the yearly performance, we have achieved a gross turnover of Rs. 6,642 Crores marginally up 0.6%. A net turnover o

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Rs.2651 Crores down by 7.6%. Keep in mind that when we are looking at the comparative year for one quarter. For the prior year we also had the business which eventually became a part of the joint venture. EBITDA for the year on a consolidated basis is Rs.319 Crores up 15.4%. EBITDA margin has also seen improvement at 11.9% which is up 237 basis points. As I mentioned to you, it has been impacted to some extent by the transfer of the EOD business to the JV which was still part of IGL for the Q1 in the prior comparative year and we have also discontinued some lower margin businesses which has impacted our turnover but at an overall EBITDA and EBITDA margin level it has remained healthy. As you have heard from us before the pressures on energy cost have largely affected the entire year and having said that we have taken actions for cost mitigation which has helped our margin improvement. Giving you a quick snapshot of what happened through the year so you can

 see, I have already advocated the numbers. We have had good revenue growth in terms of potable spirits which is up 10% and Ennature Biopharma which is at 22% and a decline in the BSPC or Bio-based Specialties and Performance Chemical top line with 15.9% again this is the part of the business from which the specialty portfolio was carved out and put into the joint venture and this is also part of the business in which we discontinued some poor margin businesses which is something that I have already mentioned. EBITDA in the quarter improved by 19% on a year-on-year basis compared to the same quarter of prior year and it improved 15.4% for FY2023 and you can see that there is a margin improvement across sectors so for the BSPC EBITDA margin for Q4 is 14.9% which is up 300 basis points and for the year it 9.7% which is up 270 basis points. For Potable Spirit for the quarter EBITDA margin is 16% which is up 40 basis points and for the year it is 14.1% which is up 50 basis points. For the Ennature Biopharma about 20 basis points improvement in EBITDA margin. That is also a business which is the highest margin business as such so that margin has been maintained. It has moved marginally up from 28.4% to 30.2%. Overall margins improvement across sectors we have had good margins sustained in ennature biopharma and we have also seen some positive impact on the cost including in house manufacture of grain-based ethanol and as I mentioned discontinuing some poor margin businesses. For Q4, PBT after exceptional items and share of profits in the joint venture is up by 43.4% on a year-on-year basis and PAT for the quarter stood at

Rs.40 Crores and Rs.141 Crores for the full year which is FY2022-23.
Coming to some other non financial kind of highlights for the business. As I mentioned cost pressures have continued with high international ethanol prices however we see some softening energy prices and as you all know a significant reset on freight which has been a relief to us. I will talk about in a couple of minutes about some signs of softening future ethanol prices but it is too early for me to say whether it is going to be permanent. If it happens it is good for us. We have talked about grain based ethanol plants that we have installed, we have commissioned. The originally planned capacity has been achieved. It is helping us mitigate the impact of huge feed stock price increases and we are working on further debottlenecking the ethanol capacity to get more ethanol out it. May be we will do some bolt on capacity increases as well so as a result for the last many months we have completely stopped importing ethanol and if you go back one and a half to two years all the ethanol requirements for our business was actually coming from imports so I think that has been a major rise I would say strategic actions on the part of IGL to have taken that step I think it is helping us clearly. We have also from

time to time spoken about new value-added
products to the new specialties unit so that project is by and large as per plan. It has got multiple units to be commissioned smaller units to be commissioned one after the other. One has already been commissioned. Of course businesses like this need much more than that. It needs significant amount of work in terms of product development and business development which is work in progress. We are working with several good customers

 domestic and international and we have started initial commercial supplies to a few customers I think which has been a good start as we expected. On Ennature Biopharma we have successfully completed the EU-GMP audit conducted by the European directorate for the quality of medicine at our plant in Dehradun and this allows us to sell some of our nutraceuticals products in the Europe because it is a kind of a standard in Europe like FDA. On the joint venture front, we had a strong top line growth for the year but margins have continued to be under pressure overall because of the increased cost of ethylene oxide, feed stock and energy. IGL is also sold its entire stake in Shakumbari Sugar and Allied Industries Limited and the sale of the parent company’s entire investment and equity shares and preference shares of the subsidiary is contemplated in one or more transfers to be completed before May 31, 2023. I stand corrected here. I have been told that it has been moved to 15th August 2023.
To give you a quick snap shot on what has happened in various business segments. As you know we have classified our business into three broad segments Bio-based Specialties and Performance chemicals which is BSPC, Potable Spirits and Ennature Biopharma. So, talking about BSPC Q4 revenue stands at Rs.389 Crores down by 9.3%. Full year revenue is at Rs.1705 Crores down 15.9% and we said that EBITDA for Q4 is up 12% and EBITDA for the full year for BSPC is up 17% and Q4 EBITDA margins at 15% are up 300 basis points. Full year EBITDA margins at 9.7% are up 270 basis points for BSPC. As I had mentioned and repeating it again business transfer to the joint venture was part of the Q1 2021-2022 results as far as BSPC is concerned so that is also in terms of comparative terms affect these numbers. We focussed on better margin businesses. We have discontinued some core margin businesses that has shown in terms of a reduction in top line but we can see a healthy growth as far as EBITDA and EBITDA margins are concerned. We have taken a number of actions including operational changes to bring down cost that has helped and we are developing new niche customers for our green products which are an ongoing process for us. The advantage also was that we now have in house ENA or ethanol available from grain based so not to a large extent to a significant extent mitigated the cost of increase in ethanol prices for us. New specialties unit is also going to help us build this business. It is a business that will grow slowly not a plant to set up and starting operating at 50%, 60% and 70% capacity right on day one. I think the entire exercise is about developing products, working with customers, and doing their business development work so that is in progress.
On the Potable Spirits front, Q4 revenues are up 6% on year-on-year basis. Full year revenue up 10%. EBITDA for Q4 is up by a very good 32% and EBITDA for the full year is up 13%. On the EBITDA margins for Q4 it is 16% up 300 basis points. For the full year it is at 14% up 50 basis points. In summary, on the branded country liquor spirits, we have maintained a strong position in UP and Uttarakhand which has been the case for a couple of years. We also see that packaging material costs have gone up but they are stabilizing and they are giving us some room for margin improvement. There have been policy changes in

f 18 several states. I think the biggest policy change or change after change I would say has been happening in Delhi where the government reverted to now only the government-controlled bodies since September 2022 after all that has been going on in Delhi which means that there will be no private retailers for whiskey. It is in a way myself from the point of view of managing outstanding. The UP government has given some price increases as far as country liquor is concerned and this is expected to have a positive impact in the upcoming financial years.

I am talking about Ennature Biopharma Q4 revenue was 16.7%, full year revenue was 22.7%, EBITDA in Q4 up 15% and full year up 22%. Margins for the quarter at 30.2% is up 30 basis points. Margins for the full year at 28.4% up 20 basis points. One of the good developments for the year has been a four times growth in the nicotine business segment compared to last year. We have continued to maintain this position as far as Thiocolchicoside is concerned. The market has been challenging from the point of view of demand as well as pricing and Thiocolchicoside is the API what also good is that the dependence on the business on API has been reduced by growing the business in terms of nicotine and in terms of branded nutraceuticals. That trend is expected to continue in the year ahead as well. You must have seen the financial summary so I will not go through the other details on the financial summary. I have covered segment wise performance and I have largely talked about the EBITDA performance but in terms of the reported results you will also see EBIT numbers because that is how it is supposed to be reported. I did not go through them because I have made that general commentary in terms of business of coming to segment wise performance. I have enclosed some details in terms of feedstock prices. The coal prices have softened a little bit which is good. Ethanol prices have continued to remain high, and I will talk about them a little bit. Ethanol has been important for our business, and I have from time to time spoken to you about the global ethanol scenario. I have mentioned to you that from a landed ethanol price of close to Rs.40 a litre we went up to Rs.70 a litre and the prices have continued to stay quite high for quite some time which is quite unusual if you look at it historically so obviously there are several considerations over there which includes ethanol blending, which includes the war. While everybody talks about war affecting everything but I think clearly you would understand that it has a significant connect. Energy prices in Europe went up very very high so a few things have happened some of which are encouraging. One is that there has been an extension of the grain day in Russia to allow export of grain through Ukraine navigating through Black Sea or the Bosphorus Strait. You would know that Ukraine is actually a big supplier of grain in the world. 10% of wheat, 15% of corn, and 13% of barley so that immediately impacts the grain prices and ethanol prices in many ways. You know the gas prices in Europe actually went up more than 10 to 11 times to something like €340 per megawatt which was down to close to €30 now so that has been a big relief based on the actions that Europe have taken. I understand that they have very significantly reduced the dependent on Russian gas. Energy

 prices of course were also putting pressure on ethanol prices for two reasons. One is that the increased blending of ethanol for the country to become more energy independent and also in general people have higher cost and likely more blending. I also understand that because of this constraint that Ukraine had they are also putting up their own ethanol plant so it will be very interesting to see what that does because they are finding difficulties in supplying the grain.

In general, rising interest rates a

nd weaker prices of the agri commodities like wheat and corn paddy has had an impact. There is a broader projection worldwide that longer term gasoline usage is expected to decline at least in US and some of the major markets and I think in India, it will probably see a similar trend for whatever it means you can all feel a little proud that India now is the world's largest producer and consumer of sugar ever since we were children, we thought Brazil was number one and we were number two but as I said I have just spoken about trends and we all know that in today's world it is very, very difficult for even the best experts to make predictions and I am no expert, but since it is something that impacts our business, I thought I will give you a quick update. So that is more or less what I had to talk to you about in terms of how our business has been doing across segments, what are some of the factors that have been impacting us or what are some of the actions that we have taken and hope I was clear in communicating what I had to and over to Akash for us to take a few questions.

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Thank you for taking my question Sir. Congratulations for a good set of number so just wanted to understand the kind of margin expansion which we have seen in this quarter? Obviously there was some bit from the low margin businesses which we have discontinued and most of the benefit maybe would be coming from the grain based plant so what other apart from this what are the other factors has contributed to margin expansion and how much we are seeing going forward that could be possibility of further margin expansion in context of this grain based plant?
Rupark Sarswat : So Rohit to answer your question, I think first of all there are several factors. One of course is the fact that we have put in grain based ethanol capacities in house and as far as that is concerned in the last quarter we were using all in-house ethanol so a big jump coming from adding grain capacities by itself is not going to happen except that if we start to get cheaper ethanol from imports we could always direct what we are manufacturing largest parts of that for the biofuel segment or if we add capacity. The other thing that we have done as I said is we have taken steps to reduce poor margin businesses. In fact to tell you one of our challenges was that we run continuous plant and if you run continuous plants, various
 products get produced at a minimum support rate anyway one of them being MEG so which means that in a very, very bad market, there really has been a bloodshed as far as MEG is concerned not only for IGL but for other people as well, but most of IGL given our higher costs so we had no choice but to held the energy that we producing so we have taken some operational action based on which we could operate our plant at much, much lower energy output and shifting the mix of product which we could sell. That has helped us, so obviously that business which sometimes could also be loss making. We are not doing in terms of top line and some other things that we are working on some action that we taken. We have been trying to run a very comprehensive energy equipment programme on the site. A number of those actions have been taken. Had it not been for some of those actions we would not have seen such results. That I believe will continue and we will get some more benefits out of those actions in the years to come because some of these actions are slightly longer term. It may take us six months or even one year to complete based on equipment that has been ordered. It is too early for me to say what outlook I gave for you to margin, but I think there is enough reason to believe that the mar

gin improvement that you saw this year and this quarter is not a one stop happening. It is based on fundamental things. It is based on ethanol capacity. It is based on energy. It is based on changing the operational philosophy for our plant which allowed us to not do poor margin business so I hope that answers your question Rohit.
Rohit Sinha: Yes Sir thank you. Secondly, I mean as we were talking about the debottlenecking grain-based plant so just wanted to understand what is the update there when we are expecting new capacity to add and would we be looking for selling in the market also ethanol and if we have a better pricing scenario?
Rupark Sarswat : You have answered the question Rohit. Look I do not have numbers to give you right now in terms of what capacity increase, but we are quite encouraged that we have done the right thing and we are also aware that the government is quite bullish on continue to blend more. As you know the government has actually preponed their target of ethanol blending from 2030 to 2025 so which means there will be a requirement for ethanol and from our perspective anything additional that we produce, we believe we could always sell it for biofuel blending largely. Of course it is a little more complicated than that because there are geography constraints and transportation constraints. It is not that suddenly you could ship it all the way to Tamil Nadu, but yes the generic strategy will be of course we will also have to look at how to allocate our capex and so on but the generic strategy is to get some more capacities out of our plant without spending an awful amount of money and if we have whatever amount of surplus ethanol we have we could contribute more towards the biofuel opportunity.
 Rohit Sinha: Okay great. One last question before I come into queue in the Potable business as we have mentioned that earlier we have got price revision from the UP government so for other regions what is the update and given the size increase there I mean from Q1 FY2024 maybe we should be expecting better margin in the Potable business also or it could be in the similar line?
Rupark Sarswat : See I think we are talking about branded country spirits and maybe I can ask and you want to comment or may be Deepak can comment and you can add.
Raju Vaziraney: I will comment on IMFL.

Rupark Sarswat : Deepak are you there.
Deepak Satya: To answer your question. In the country liquor the EDP increase will be having be having a kind of a positive impact across the strength of business that is 25%, 36% and 42.8% there has been a significant, not a significant one, but considerable price rise given by the UP government and when it comes to Uttarakhand the introduction of tetra packaging in the country liquor segment, it also gives us another kind of an area to improve our margins in this business.
Raju Vaziraney: As far as IMFL is concerned in Delhi, as our CEO mentioned a few minutes ago Delhi offers a good opportunity for newcomers and Indian companies because number of MNCs are not approved this year. You would have read it in the newspapers so what we have consciously done is in states like UP, where our deployment of working capital is very high because we have to offer duty paid credits. Here is an opportunity where we deal with government and government pays us within 30 days so the entire cash flow cycle improves number one. Number two, we have made huge gains in terms of as many as three Vodkas we are doing one plain and two flavors and cautiously we are trading the product mix and also the state mix so ultimately in the long term this will give us very good results because our dependence on our home states of UP and Uttarakhand number one will not only reduce, it will improve the cash pricing as well as the bottom line. Cautiously the management has taken a call to enter into markets which are corporation driven

where the
money is secure and the payments come in time so we are opening up in states like Rajasthan which is a corporation lead market and it is a big white spirits market and our Amazing Vodka is showing good signs and good traction so it is already number two Vodka in UP, Uttarakhand and Delhi so we would like to open up more corporation markets where we can make our presence felt.
Rohit Sinha: Okay Sir got it. That is it from my side. I will came back in queue. Thank you.
 Moderator : Thank you. The next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.
Nitin Awasthi: Thank you for the opportunity. A few questions from my side. Firstly I want to understand there is a statement in the earnings presentation where you say that you're a leader in country liquor so I just want to understand country liquor or branded country liquor and how different is the segment, how big is the country liquor size and how big is the branded segment out of that?
Rupark Sarswat : So it is not much of a difference as far as we are concerned. All are country liquor is sold as branded so it is branded country liquor.
Nitin Awasthi: Okay how much percentage market share would you have in branded country liquor if I may ask?
Rupark Sarswat : Yes Deepak do you know the numbers?
Deepak Satya: We hold a decent market share of about 25% to 27% in UP. We are one of the largest producers of country liquor there and in terms of the market share in Uttarakhand we command close to about a 50% to 55% share in Uttarakhand.
Nitin Awasthi: Okay so when you say you have 27% of country liquor in UP, you are not discriminating between branded country liquor and normal country liquor?
Deepak Satya: No, we are not discriminating between them. Both are the same.
Nitin Awasthi: Both are the same okay understood. Now I want to understand one more thing Sir in the recent excise policy by the state of UP, they mentioned something on the lines of what the Rajasthan government does in the sense of UPML or UML, UP made liquor how are you viewing the segment? Do you think this segment is going to be very lucrative for a company like yours who has a huge market in country liquor already?
Deepak Satya: Sir to answer your question. The UP made liquor is predominantly directed at I mean like in order to promote the production from grain, grain based ENA leveraging that to make a country liquor that is what the idea of the UP government was. What they have done is they have placed this entire UP segment UPML in the 42.8 strength of country liquor and we definitely do see this as a kind of like a large market. Having said that so this particular 42.8 has traction in all of your UP that is from West to East and we are currently working out on our logistics to cater to far West of the UP because our plant is in the Eastern side of the UP so in our adjacent districts of the manufacturing location we are pretty much well placed in
 that and we are leveraging our existing network to penetrate into the shops that are allocated for country liquor, but on the Western and the central part of UP, we are working on our logistics and hopefully by the end of next quarter will be able to update you more on this.

Nitin Awasthi: Understood. Sir one of the participants had asked a question and you responded saying about the Vodka segment, you mentioned your positioning in the Vodka segment? You have also launched a whiskey single reservoir whisky is that gaining traction in the market especially the home market?
Raju Vaziraney: Yes see we have launched three new brands in the last one year and we would like to consolidate them. First, as you rightly mentioned, it is amazing Vodka. Amazing Vodka has got very good response from the consumers and we have as much as 25% to 27% market share in Uttarakhand. We have more than

12% in UP and we already have more than 17% in Delhi and within a span of one year. This is largely due to our brilliant blend that we have innovated and end of the day blend is what sells in the market. Now as far as single reserve is concerned, the whisky segment is very difficult in India because multinationals all make their brands available in India and it is very, very competitive. It is very easy for us to burn a lot of money and try to make gains in the whiskey market but ultimately the consumer is extremely, the franchise of the brands in competition is very, very strong and deep pockets are required for making whiskeys popular. So it is a slow burner, but it is a definite growth. We have good traction of single reserve in Uttarakhand and Delhi. UP we are concentrating on Vodka and the third brand that we have launched called Zumba. Zumba as the name suggests talks about fun and frolic and it is aimed at youth and it is a fun drink and we have got two expressions of Zumba. One is the Zumba Black, which is a spiced rum. Spiced Rum is a new innovation in the market. Youngsters love spice rum as opposed to the traditional cane juice which will give off smell. We offered genuine spiced rum and second is the, we have a very prominent summer in the North particularly in our hinterland of UP, Uttarakhand and Delhi so we have offered a citrus version of Zumba, the early signs are very encouraging. As you know we make Bacardi in Kashipur Bacardi brands, it is coming from the same source. We have very high degree of quality consciousness at our mother plant in Kashipur and the good report is that we are making good inroads into the semi premium segment. This is our first brand in the semi premium segment which is as high as Bacardi Plus we say so we are at say 5% higher than Bacardi and I am sure in the next few quarters, the brand will establish itself. So all the three brands we are very closely working. We have no plans to launch new brands because we want to consolidate on these new three brands launched last year.
Nitin Awasthi: Understood Sir. Sir last question from my side what has been the ENA price trend in UP and what is it now? What was it during the quarter and what is it now and the same thing for grain prices broken that is damaged grain prices.
 Rupark Sarswat: Sorry.
Nitin Awasthi: Broken rice prices because that is what the main source of ENA would be?
Rupark Sarswat: Yes look, I think I do not have the exact numbers of the grain prices inside, but maybe you can send us this question. I know that they have been largely range bound which is around 22.
Anand Singhal: The grain which we are buying from FCI that is costing us Rs.20 and from the market, the grain largely is coming out in the range of Rs.21 to Rs.22 at present. The prices have slightly firmed up in last one to one and a half months but the FCI prices is firm at Rs.20.
Nitin Awasthi: Understood and similarly for ENA?
Anand Singhal: ENA in the market since we are buying grain and molasses more than the ENA it is still I will say that the grain prices are ranging from Rs.49 to Rs.52.
Rupark Sarswat : So you are talking about ENA buying prices or selling. We largely sell ENA.
Nitin Awasthi: I am talking about the selling prices or the market prices at which the market it trading or which companies are buying it?
Rupark Sarswat: So there is a wide range Nitin. It is anywhere between Rs.62 to Rs.65. Even in some places it is Rs.70 depending on applications and so many other factors. We are not a very big ENA player. We have our huge consumption based on our opportunity we sell.
Nitin Awasthi: Understood. Thank you Sir.
Moderator : Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian: Good evening Sir. Thank you so much for taking my questions. Sir on the power and fuel cost, it is

above 15% of sales in Q4 FY2023 and can we expect this will normalize around 8% to 10% in that kind of range and we also signed an agreement with Renew Green to secure captive wind and solar hybrid power when this will come into the place if you could share more light on that? This is my first question.
Rupark Sarswat: Bala to answer your second question first. We expect the Renew agreement to be, we have

already signed it, but for us to start commercially getting this will be one and a half years from now but from this time roughly two years ballpark right and as far as the cost of materials is concerned I was looking at.
 Anand Singhal: This you are asking Mr. Balasubramanian is vis-à-vis the last quarter or what.
Balasubramanian: Sir power and fuel cost in this quarter Sir Q4?
Anand Singhal: Q4 power and fuel cost is about Rs.102 Crores.
Balasubramanian: It is above 15% of sales and if you look at historical which comes to 8% to 10% of sales and will the forecast remain elevated in that range or like how you are going to manage?
Rupark Sarswat: So Bala what has happened is there two things while the power cost as a percentage is high. One power and fuel costs not only power costs, One we have mentioned to you that the energy cost really went up and having largely it was quite high and that is why I also displayed a coal cost because that also contributes to fuel costs. So, we were buying coal on credit that is one factor. The second factor is that since we have also discontinued some not so profitable businesses in terms of volume, etc., so you see that to some extent that there is an impact of the scale so per unit cost seems to be higher, but if you see overall EBITDA level that is much better so I think in terms of trends, what I would see, it is a bit of a guess estimate looking forward. One is that as volumes come back, volumes were relatively lower, both from a daily perspective and from our own perspective. We got rid of some businesses and as an energy cost stabilize whether it is coal or whether it is a Renew power coming to us, I would a little cautiously say that our power and fuel cost as a percentage of revenue can be expected to come down. It is very difficult for me to give specific numbers but I have given you the rationale based on the current changes.
Balasubramanian: Okay got it Sir. Sir on the export side, what would be out revenue share for 2023 and Q4 FY2023 and are we facing any challenges on the export side because some of the countries are slowing down right now if you could share your comment that would be really helpful?
Rupark Sarswat: So, Bala countries are slowing down. Obviously, it will put some pressure. As of now, we had some challenges which have included freight, which have include increased costs of technology, it has included lower costs off energy, etc., so I think we have been all that is there. We are looking at it cautiously like you I also read Germany has gone into recession so there is no doubt that there will be some impact but how much is very difficult for me to right now say, but it is not that it is going to suddenly fall off the cliff. That we do not see.
Balasubramanian: Okay Sir got it. Sir on that Bio-based Specialties and Performance Chemicals if you could share which are that products are witnessing tractions or which are the products are facing slowdowns?
 Rupark Sarswat: See, we have two categories in this. One is a category called glycols so in glycols what we saw was that over the last two or four years one big customers of our buying glycols for use in packaging, they shifted to recycled PET in the US and that customer at one point in time was 95%. All our sales to that customer came down. However, the good thing is that over the last three or four years, we have developed a number of niche few customers which is about

15 to 20 customers and our sales have continued to steadily grow and despite the fact that we lost a customer which was 95% of our sales four years ago, we have still maintained 70% of our profitability and we expect that the steady growth will continue in the years to come. You know, we have also seen some players who are working on 100% bio PET. Right now the bio PET which is made in the world uses two components. One of the component is Bio MEG. The other one is PTA. PTA was still not bio-based and people are very kind of somewhat excited that they would like to offer 100% bio based PET. When those units come up, we are expecting that it will happen in the next one to two years, we will see further traction in that segment. We faced a challenge as far as glycol ethers are concerned mainly because butyle prices internationally drop so we had a lot of competition whilst we maintained domestic sales over there. ENA, we have seen good traction for a few reasons. One is that we are now manufacturing grain based in ENA ourselves, so that momentum will also continue. In biopolymer, we have done quite well. It is a small business, but we have grown well both in terms of top line as well as bottom line and because of our focus on specialty value added products, we expect that momentum to continue. In the new specialty areas, it is something which is a completely new range of products, not something that has gone to the joint ventures. The focus that I have seen so far in terms of the work that we are doing on process development, business development, and initial commercial success is positive so you will see that we will continue to see good traction in a new specialty product particularly somewhat this year because this will be the

first year of various parts of the plant getting commission but definitely next year, so I have tried to give you a snapshot on the relative level of tractions that we are seeing in various segments.

Balasubramanian: Thank you so much for detailed answer Sir. That is it from my side.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on good Q4. Sir my first question is in the last one year we had a challenging P&L however the balance sheet has become more leaner given that we have done a lot of noncore businesses divestment, I just wanted to get a perspective from a three-year vision, what will be the individual levers for individual segments and what are the key challenges that we may face to get that particular vision right? Thank you.

 Rupark Sarswat: So thank you Rohit for asking me a difficult question, but I will give you a long answer. You asked me about the key levers and challenges right?

Rohit Nagraj: Right I mean from a three year perspective, what are the growth drivers across our business segments and what could be the challenges that we might face?

Rupark Sarswat: Okay so the drivers for our business is one of the actions that we have taken was to do significant risk mitigation in terms of feedstocks and as I had spoken about it earlier we are one of the few companies which now have potentially three sources of ethanol and three potential outlet for ethanol so we could do grain, we could molasses, we could do imports and you can use them in chemicals, you can use them in potable spirits, and you can use them in biofuels. That has largely been taken and I think that makes our business quite resilient from the point of view of safeguarding some of the things that we saw. The second broad key driver is where is the growth going to come from? So in terms of the growth, we have been looking at several things. I think we have looked at new areas, which is what led us to taking our small steps toward new value added product where we are looking at amines, we are looking at plasticizers, and we are looking at oilfield chemicals. Oilfield chemicals already we are selling some. We are looking at grain solvents and more new chemistries as well and the third driver would be our ability to leverage our strength and credibility in several areas which is sustainability, product development, process development, R&D and developing some real good partnerships and we are talking to as we speak at least five or six big global companies to see how we can develop some partnerships so these I see as key growth drivers. Of course, we need to take actions internally within the organization, which is to restructure and strengthen the growth engine in terms of people, in terms of systems and processes and in terms of culture. The challenges that I see is one of course whether the world slows down. The challenges in terms of feedstock prices like ethanol. Right now of course they are showing signs of a softening, which is a good sign and the competition response in terms of what happens to MEG, etc. I think and I like to believe that the worst headwinds that we had to see, we have seen in the last one and a half to two years. Some headwinds may continue. We may have a few new ones, but my guess is that the worst has been received and I will now we need to direct our sail make use on new tailwinds. There are potential significant tailwinds. I think the fact that the world is looking at India is a very reality for partnerships with good manufacturing organizations in India. For that there are a number of developments in India in the chemical industry be it hydrogen, be it with hydrogen-based chemicals, be it with ammonia, be it energy I think they are going to be very interesting enablers for the chemical industry so all in all I think times of caution continue if you understand that. We are in a very, very rapidly changing world but given what I have seen over the last couple of years, I am certain about what is going to happen but I am reasonably confident and optimistic that we will navigate this well.

 Rohit Nagraj: Sure thanks a lot. That was an elaborate answer. Sir the second question is Anand Sir for you on the balance sheet front once these divestments are done and we receive money from Clariant the rest of the Rs.190 Crores, what would be the debt on our balance sheet?

Anand Singhal: Rohit if you talk about the debt numbers, the company is having say about Rs.621 Crores term loan okay as of 31 March 2023. Out of that if we get that money which is to come from the joint venture which is about Rs.100 Crores so that will also go to the debt repayment. Apart from this, we have a normal repayment of the rupee term loan which is about Rs.150 Crores and of course, the $11.4 million for EPBG because the remaining period for EBVG is only for two years. So hopefully I will say that debt will start coming down because there is no big size capex in the pipeline except some of the expansions in the

grain distillery or some of the projects which we have already undertaken okay so we do not expect any big number or big increase in the term loan and of course, it will come down that is what I can say.
Rohit Nagraj: Right. Just one last question if I can squeeze in from the ethoxylate perspective the business that we have diversified to Clariant, how much of the ethoxylate usually go in for agrochemicals? I mean I am asking this question primarily because there has been a significant demand slowdown on the agrochemicals given that inventory destocking is going on and plus China coming back into the equation, so just wanted to get a perspective whether it will affect the JV business significantly or not Thank you?
Rupark Sarswat: Rohit I do not have the exact numbers or what percentage of there is argo chemical. I can only see that given some of the actions that we have taken on the cost front and some more that we will take because t

he challenges of the JV are completely different. As of now, we would be seeing some increase in daily off take activity but to be honest how agro chemicals, it is not really big for them. Look, there are many segments, but it is not as if it is the dominant segment for them.
Rohit Nagraj: Sure got it. Thanks a lot for answering the questions and best of luck Sir.
Moderator : Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Thank you. Good afternoon all. I got a few questions. The first is on the revenue outlook for each of the segments for say FY2024 and FY2025 we had a lot of the demerger which optically made revenue growth look softer for the last two quarters can you help us understand what is the range? I know we do not give guidance but at least a ballpark range if it is possible for us to grow the revenue assuming the raw materials prices remain where we are today.
 Rupark Sarswat: Yes. As I said we do not give forecast for top line, but I have in my long answers to questions from Rohit and Bala before this I had talked about the levers and I have talked about the challenges. I have narrated the action that we have already taken. I said that some of these things will continue to possibly impact us in the times to come. There are some uncertainties around as you said, I was asked about the recession in the world about what happens to ethanol prices. The fact that I believe the last one and a half to two years was probably one of the most difficult times and times ahead in my view would be better and the same thing I have to say about the business very, very difficult to put a number to it or at least I would not like to give a forecast.
Sanjesh Jain: Fair enough Sir. The second question is on the ethanol we have used grain based ethanol for captive consumption while we started with the view that we may use it for the blending say a year down the line if ethanol prices come down to say Rs.40 again will you want to shift grain based ethanol for the energy and we start again importing back ethanol for our downstream products?
Rupark Sarswat: The answer is in your question. The good thing is that our capacities will not go waste. We can direct more and more towards Bio fuels and for captive use we will start using imported ethanol. We think it will help us in our top line as well as bottom line.
Sanjesh Jain: Got it, but jut now we have an edge on the raw material locally at least significantly because we are now backward integrated for ethanol from a business perspective what is more advantageous position for India Glycol? The ethanol prices remain high and we are backward integrated? We can always remain competitive to peers or you want the ethanol prices to normalize and we maximize the earnings from all our assets so what is more idealistic situation for India Glycols?
Rupark Sarswat: That is also clear Sanjesh you would understand that. If the ethanol was a free market and everything could be sold everywhere and then you would imagine that if the ethanol prices fall what would happen to my factory but that is not the situation. You have got a government which wants to blend 20% by 2025 compared to 2030 so they are encouraging people to put ethanol capacities and the price of ethanol is decided by the government leaving on the table some reasonable decent or marginal profit for the manufacturer. Okay so that is the case. In this respect what happens is, our other business which had the traditional business of India Glycols is in the business of ethanol based and bio based chemicals. Now you said we have an edge. We do not have an edge. We have tried to mitigate the risk. Right now we do not have an edge. At one point in time we had an edge because our competition is not ethanol. Our competition is crude so if the ethanol prices come down globally and for t

he chemical sector, it is good for us. Increased crude prices

May 26, 2023

 and lower ethanol prices are good for us. It is more complicated than that but I have to give an answer, so that is what broadly it is.
Sanjesh Jain: No it is quite clear for me. The next question is on the JV performance for the year at least can you elaborate and explain as how is the JV performing? Are we on the track to what we thought when the JV was signed?
Rupark Sarswat: So on the top line yes. On the bottom line, no and I have mentioned to you that the same sectors which are impacting us, particularly EO and ethoxylate which we sell that affected their profitability quite a lot, but on the top line as I mentioned it has been a good growth for the year for the JV. So going forward, I think some more actions are being taken on the cost front, which will help them compete better in the market. Some actions are also taken which were always supposed to be slightly longer term which is developing the bio-based business in their international market which as you would imagine is time consuming one from an approval perspective and second, it also involves transferring some recipe and some technologies here which will also time consuming so those two are the positives which the JV would like to leverage in this year and the year ahead.
Sanjesh Jain: Got it. My last question is on the capex so we intend to increase our ethanol capacity from 180 KL to 360 KL and this will be largely a Brownfield so will this be a significantly lower capex than what we did in the first phase because a lot of infra will be commonly used when we are expanding the capacity and number two, what is the capex anticipation for a FY2024?
Rupark Sarswat: The answer to your question will it be lower is yes. We still have a lot of things to do. We have a Brownfield site already there. We also have some infrastructure traditionally from molasses base fermented, etc., contracting so the cost will continue to be significantly lesser than that of Greenfield size.
Anand Singhal: In 2024, we are hopeful that the capex size for all the capexes which is under pipeline or which we will start fresh like 180 KLPD to 360 KLPD will be around Rs.200 Crores.
Sanjesh Jain: Got it. You want to give the number what was in the capex means from increasing 180 KLPD to 360 KLPD?
Anand Singhal: No, that is in process. I cannot share that number right now, but the overall capex size for the year 2024 will be around Rs.200 Crores.
Sanjesh Jain: Fair enough. That answers all my questions and best of luck for the coming quarter. Thank you.
 Moderator : Thank you. That was the last question for this call. I would now like to hand the conference over to the management for closing comments.
Rupark Sarswat: Thank you Akash. Thank you very much for conducting this conference. Thank you gentleman and ladies, no lady asked me a question though for joining us on this conference and showing the level of interest that you have shown by asking me a lot of questions. We hope we have given you the responses that you needed and behalf of my colleagues here thank you. A good evening and best wishes to all of you.
Moderator : Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)
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Call: Aug 2023

14th August, 2023

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
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Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q1FY24 Results Conference Call

Further to our letters dated 31st July and 9th August, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Results Conference Call for Q1FY24 held on Wednesday, 9th August, 2023 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com.

This is for your information and records please.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

"India Glycols Limited
Q1 FY2024 Earnings Conference Call"

August 09, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD, SALES & MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) & COMPANY SECRETARY

MODERATOR : MR. ROHIT SINHA – SUNIDHI SECURITIES & FINANCE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the India Glycols Q1 FY24 Earnings Conference Call hosted by Sunidhi Securities & Finance Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohit Sinha from Sunidhi Securities & Finance. Thank you and over to you, sir.
Rohit Sinha: Thank you, Aman. Good evening, everyone. Thank you for joining on India Glycols Limited Q1 FY2024 Results Conference Call.
We are joined on this call with India Glycols management represented by Mr. Rupark Sarswat -- Chief Executive Officer ; Mr. Anand Singhal -- Chief Financial Officer ; Mr. Rajesh Marwaha – Head, Sales and Marketing, Bio-based Specialty Chemical Division ; Mr. S.K. Shukla -- Head, Liquor Business; and Mr. Ankur Jain – Head (Legal) and Company Secretary.
I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we will have a Q&A session. Thank you and over to you, sir.
Rupark Sarswat: So, thank you. Rohit. Happy to be here again with you all. Thank you for giving us the time this afternoon to give you an overview of how the Company performance has been. I know there is monsoon season in Mumbai, so I'll try and do a shorter presentation today evening.
Coming to high level numbers in terms of business performance:
Overall, we had quite a strong quarter, particularly from the point of view of profitability and margins. You see that our gross turnover is up 1.4%, net turnover is somewhat down 14.7%, largely because of certain low margin businesses from last year which we discontinued, which therefore helped the quality of the business in marketing.
If you look at the EBITDA at Rs.106 crores compared to same quarter of the last year ; it is up 54%. Our PAT is up 85% for the same comparison.
A combination of some of the actions that I spoke about, our EBITDA margin is 15.2%, up 697 basis points and PAT margin is up to 7.4% as well.
As I mentioned about the discontinued business, apart from that one of the things that we've spoken about before is the speedy installation of grain-based ethanol plants that has helped us mitigate the ethanol cost increases and saved us in some ways and part of the recovery in margins and good margin is because of that.

So, talking about the business performance, as I said, continuing with that discussion, strong growth, PBT share, there's a strong profit growth, excellent EBITDA performance compared to Q1 of last year, largely led by the bigger segments of potable spirits and biobased specialties & performance chemicals. And you see EBITDA up 54.0% with EBITDA margins of 15.2%.
Revenue I spoke about down because of discontinued low margin businesses. But potable spirits has overall seen good growth at 14.7%. Even in chemicals, some of the core businesses have actually shown decent growth. To an extent, margin growth over Q1 of last year led by portable spirits in particular, where EBIT was up by 97% and BSPC EBIT is up 73%. So, if you look at the EBIT margin percentages for the sector, which is 10.3%
So, I was giving an overview of the performance and I understand that I was not that audible because I'll repeat a couple of high-level sentences. So, you see overall strong profit growth in Q1. So PBT including share of profit from JV is up 83.7% on a year-on-year basis. PAT at Rs.51 crores in Q1 is up by 85.4%. Excellent EBITDA performance compared to Q1 FY23. This is led mainly by potable spirits and BSPC we've seen a good EBITDA growth about 30%

. So, revenue
growth as I said has come down by 14.7%, but it is mainly on account of relatively low margin business that we've discontinued compared to same quarter of last year.
Portable spirit, however, has seen a healthy top line growth of about 14.7%. And in the core businesses in chemicals also, as I said, we've seen decent growth. And if you see our performance in portable spirit, EBIT is up 97.4%, helped both by top line growth but also importantly by cost mitigation of raw material, packaging, ethanol and so on. So, EBIT percentages for the segments are healthy, BSPC 10.3%, Portable Spirits 18.3% and Ennature Biopharma 24.0%. Within portable spirits, headlines were country liquor growth in UP and Uttarakhand, particularly in eastern UP. IMFL sales also, we saw a dip, but a lot of it was also because of sales channel optimizations to improve cash and collections.
Coming to some high-level highlights:

As I mentioned, we have commissioned the grain-based ethanol capacities which has helped us mitigate impact of ethanol cost increases. Ethanol international stock prices have continued to remain high for the quarter that we are talking about, however, I may say that in the last one, one and a half months, we've also seen significant softening of the future ethanol prices with respect to imports, which is good from our perspective, but it is too early to say whether the trend will be sustained.

I may like to bring you back to some of the discussions we may have had earlier, is if you go back roughly two years, imported ethanol landed per liter was roughly Rs.35 a liter. It went up to well above Rs.60 a litre and it held there for quite some time. There are many various factors, green energy transition related issues in Europe, energy prices in Europe, countries wanting to have increased self-dependence on energy and therefore blending more crop factors and also the Ukraine war which is a big producer of grain. So, this is what led to a big challenge for the

business because our business particularly for chemical was largely dependent on imports over the last few years before they hit the price of Rs.60. But taking advantage of the Government of India blending program and encouragement to grain-based ethanol, we speeded our plans to modify, add augment capacity for grain-based ethanol which has allowed us to mitigate costs, but we are very closely watching the global ethanol prices. As I said, there has been softening over the last one, one and a half months and we'll see whether this continues. It will help us to in that case continue to import for our chemical consumption while continue to deliver ethanol that we make for biofuel sales. That will be good if it continues to see a correction to anywhere close to two years back.

We have spoken about new value-added products and addition of some assets for making new specialty chemicals. So, we have commissioned part of that, a smaller one and we expect to have a full commissioning by year end. But this is a specialty business. It takes time because these are new product lines where the lead time to establish our product opposite customers is long. But we are working on product as well as business development work with several reputed customers.

Ennature Biopharma commenced production of nicotine. One of the therapeutic plant extracts that we make at the capital side, doubling the overall capacity, and we continue to focus on branding nutraceutical range.

For Shakumbari Sugars & Allied Industries Limited, you are well aware... I will leave, Anand maybe you can give a quick update.

Anand Singhal: In Shakumbari Sugar in this quarter, we have got an additional amount of Rs.24.8 crores, total received is around Rs.80 crores against our deal amount of Rs.87 crores. Basically, we are most likely in the process of closing this transaction with the buyer.

Rupark Sarswat: Oka

y Thank you.

A small milestone sometimes makes us feel good. So, we received the certificate from India Book of Records for the highest sales of any country liquor brand, which is probably in a year which is selling 1.63 crore cases in a year.

A quick summary of how we performed in our business segments:

Starting with bio-based specialties and performance chemicals:

So, our Q1 revenues are at Rs.401 crores, which is down 26%. But our EBIT for Q1 compared to Q1 of last year is actually up at 41 crores, which is up 73%. EBIT margins are also looking healthy now at 10.3%, up 596 basis points. I mentioned about the impact on sales because of discontinued non-profitable sales.

We've also made operational changes to bring down costs, which have primarily benefited not only specialties, but also the portable spirit business and we continue to look at other actions to reduce costs, we have more actions planned.

The thing that we have been watching very closely is the price of crude-based products against which we compete. We do not necessarily compete for price-to-price. People do pay a premium for being a product, but I think the delta with respect to crude-based product as of now continues to be high, which is also putting pressure on our joint venture as well as our chemical product.

As ethanol price gets corrected, as energy prices become better, we hope this impact will be reduced, but for the near future, we expect this broad trend to continue.

As I said, grain-based ENA now available means that we have not been importing ethanol for

our internal use or captive use, which has also helped us improve margins.
And as I mentioned about new value-added chemicals, we continue to look at various segments which include oil field, brake fluids, exploring collaborations for green solvents, bio-based amines, etc.,
In the portable spirit sector, Q1 revenues at Rs.235 crores are up 14.7%. EBIT, there is a lot of recovery and also growth is at 43 crores which is up 97%, and the EBIT margin is also up at 18.3%, which is up 767 basis points.
Growth was driven by country liquor in UP as well as Uttarakhand particularly in UP and IMFL growth in Delhi, we are continuing to look at selectively new areas, new paramilitary business in Uttarakhand, Tamil Nadu and Delhi, helped by in-house manufacturing of grain, packaging material costs have also been stabilizing, which has been good, and the plan to continue to increase sales in other markets which is ongoing.
As far as Ennature Biopharma is concerned, revenues up at 53 crores, margin is down by 3.3%. EBIT at Rs.13 crores and EBIT margins at 24%.
I spoke about nicotine capacity, we are at wider customer base for nicotine and business development on value-added derivatives which will put us in a stronger position, and we're also focusing on building, branding nutraceutical range.
I have given the overall kind of gist of my commentary. Now, I will request my colleague, Mr. Anand Singhal, to give you a summary of the financials.
Anand Singhal: Just to give the brief Financial Results:
The Company's income from operations is Rs.1,899 crores in the current quarter Q1 financial year '24, with an EBITDA of Rs.105.81 crores. The company has PBT of Rs.63.72 crores and PAT is Rs.51.14 crores. The Company has shown an EPS for this quarter is Rs.16.52 per share

vis-à-vis the Q1 of the last year, the Company achieved EBITDA of Rs.68.7 crores and PBT of Rs.34.68 crores, PAT of Rs.27.59 while the EPS for the Q1 financial year 23 was Rs.8.91 crores.
So, as Mr. Rupark Sarswat has already given the presentation that overall, the results as compared to Q1 of the last year has shown a very good growth. Because most of the persons had already received the results, so that's why I have covered in brief.
Moderator: We will now begin the question-and-answer

session. The first question is from the line of
Vaibhav Gupta from Bowhead India Fund. Please go ahead.
Vaibhav Gupta: Recently, FCI has stopped selling grains to distilleries, which has led to like a significant jump in the price of ENA as well. So, sir, what would be the price of ENA now versus Q1 FY24 average?
Rupark Sarswat: So, let me give you another point. In the meanwhile, maybe Anand if we can get the numbers. Yes, we have read the news that FCI had stopped supplies. We are quite aware we believe of what is going on in terms of what's going to happen. So, the larger picture there is two things. One, the blending program of Government of India is going on as planned. The target for this year, if I'm not wrong, is close to 12% and I think we are very close to doing that. Don't hold me for these numbers, but broadly grain required for the future part of the year is broadly 1.5 million tons or something, but the stocks are of the order of 40 million tons. So, from whatever I hear is while there may be some bit of policy thing in terms of pricing, etc., which may have caused a bit of a holding in terms of grain supply. We are expected to see increases in bioethanol prices because the government will want to blend more and more. In fact, the target to blend 20% has been preponed from 2030 to 2025. Broadly, there is no shortage of grains and we believe that they will be made available. We see it as a minor hiccup, we don't see it as a problem from a strategic, time price perspective. I don't remember the exact numbers of the price, but we can maybe give you details later on.
Anand Singhal: Initially earlier when the FCI grain we were getting, the open market grain price was around Rs.21.5 to Rs.22 which has now increased to Rs.24, Rs.24.5. While the government has also increased the prices of the ethanol by Rs.4.75 paisa, making it Rs.60.29 paisa. So more or less, whatever price of the grain has increased is now being compensated by the government by increasing the prices.
Vaibhav Gupta: And for the country liquor business, like there also ENA would be used, right, like given our huge volumes. So, like for that, like ENA how would be the change for ethanol? You have told that government has given this price increase of Rs.4.5, but there what would be the change like of ENA raw material?
Rupark Sarswat: There of course, a significant chunk of the ENA used is also based on molasses, all of it is molasses broadly, I think that's my understanding. So that segment is relatively unimpacted by increasing grain-based ethanol prices.

Manish Pant: So ballpark number would be around 80% is molasses and 20% is being used from grain.
Moderator: The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.
Saket Kapoor: You summed up earlier that for the country liquor business, our raw material is molasses, we are not dependent on the grain from FCI?
Rupark Sarswat: Largely, yes. That 80% of the ethanol broadly that goes into country liquor is molasses.
Anand Singhal: The entire FCI grain which we are getting is compulsorily we have to supply for the blending. Yes, we cannot use that ethanol for internal consumption.
Saket Kapoor: Currently, FCI has banned the sale. So, has the ban not been implemented, can you put some thought on the same what is then the embargo created by FCI?
Rupark Sarswat: I started this discussion while Anand was looking at numbers, there is no official written ban on it is my understanding. There has been a little bit of a hold up because of some policy with respect to pricing and so on and so forth. I gave you an overall picture. That is my understanding of the stock versus requirement, which I think the stock position is very good. The amount of grain which you go into blending compared to the overall thing is minuscule. The government has been talking about still p

ushing for the blending program. I do not know. Have you seen a notice something which is saying there is a ban? I have not seen.
Saket Kapoor: We have seen in many distilleries coming up with a notification that FCI has stopped the supply of grain. So, my point was that.
Rupark Sarswat: You are right and as I said that it seems there is a bit of a policy thing on a few factors. It is true. We expect it to be resolved quite soon. That is the information broadly that we have. But there is no ban as such. It is true that for a short period not supplying, but we have not been served any notice as such that this is banned and so on and so forth.
Saket Kapoor: As of now, we have been sourcing the grains but at the higher prices?
Rupark Sarswat: The moment the government says it is banned; the government will have to largely drop its blending program. So, there may be some issues, all of which I may not be completely aware of. We are thinking in terms of pricing, balancing, review of monsoon and so on. Obviously, government works in a sociopolitical environment. But the feedback that we have is that the broader picture is intact, some corrections here and there should be okay and I'm quite hopeful that is how it will be.
Saket Kapoor: So just to clear it, we are receiving the government blending program which is in progress and they have raised the grain prices and to commensurate the same, ethanol prices have also been

raised and we are participating in the ethanol blending program. This is what the current situation is?
Rupark Sarswat: Except it is true that for some days supplies have been withheld, which we don't think of it as a ban, and the reason it is not a ban is from my understanding of the matter is the blending program is intact, the PM has been talking about the blending program even after what I think is a temporary hold on supply and the stock position seems to be okay. So, it's not a ban. There has been a hold up. In order to resolve it. One of the actions that Anand Ji said is to improve the pricing for blending. So, it is a very clear intent by the government.
Saket Kapoor: Please repeat yourself what are you saying.
Rupark Sarswat: Stock position as a proportion looks fine. There is no as such official ban. Yes, there has been a hold up on supplies. The government is acting on several fronts, including improving final prices, as my colleague just told you. The government is completely on with this blending program. So, I am quite optimistic and hopeful that while there has been a hold because of internal review of some things, it's a bit of a speed breaker, it is not a dead end or anything.
Saket Kapoor: That has resumed already the way you are saying that the hold which was there….
Rupark Sarswat: But we are expecting that it should be resolved soon.
Saket Kapoor: That will impact our production numbers on the distillery front for this quarter as of now?
Rupark Sarswat: It may to some extent. We had also stocks of grain, you can also buy some grain from open market, etc., for some other purposes, we also can run on molasses, we can buy molasses, base ethanol and all, we can also import ethanol. I told you that import prices are looking interesting now. So. whilst I agree there is a bit of a road bump and a speed breaker right now, it is too early for me to sound alarm bells for the quarter.
Saket Kapoor: We are again pursuing CAPEX on grain based. So, once we come to know about this kind of risk propping up, how confident are we on further CAPEX again on the grain-based distillery or do we have other feedstocks also, provision for further CAPEX?

Rupark Sarswat: Strategic decisions are not completely changed based on technical situations. So broadly, our plan is that we are also in touch with people. But what does happen is, supposing we feel that there is going to be some delay, supposing that's o

ur starting point. So, with the CAPEX approval
we have, my intention is very clear. We can always phase it out.
Saket Kapoor: With this portable spirit numbers, there is also profit margins. How sustainable are these numbers on a top line of Rs.235 crores we reported probably the highest number in my nearest memory. So, are these numbers sustainable on ongoing basis or what should be penciling in going ahead?

Rupark Sarswat: For the time being, yes, we are on a little bit of high spirits on PS. Yes, they are good… and I think look, if you look at fundamentally, we have done a significant margin recovery, margins used to be quite good in potable spirits even before. So given the broad operating environment and the cost structure with some price movements may impact. I mentioned to you about ethanol cost stabilizing, I mentioned to you about packaging cost stabilizing. Of course, we are also taking actions to improve our portfolio in terms of margins, look at a few markets. Let me summarize it this way. There is no reason to believe that it is a blip. But if you look at data numbers earlier, we had a decline where our margins really eroded because of packaging, because of energy because of ethanol. Now, a lot of this improvement is on ground of top line sales, better product mix, better raw material cost, better packaging cost, and better energy cost. I don't see energy cost suddenly sharp rising again… I think they have come down from quite high levels. I think we are expecting packaging costs to be stable. We are not expecting huge movements in ethanol availability and cost. We hope we'll maintain our market. You need not fear, which is my perspective to your point is that I don't see that as a blip in this quarter.
Saket Kapoor: And a small point, what are our current utilization levels in the entire portable spirits currently, how are the plants? As you mentioned that we had closing stock of grades. As of now, what are our utilization levels?
Manish Pant: So, I could tell you that we are running on 100% capacity right now still, though the FCI has banned this grain, but you must understand that whatever the grain we are taking from the FCI grain has to be catered to the ethanol blending program. Our ethanol blending program sales could affect for the time being, otherwise, we don't see any shortage in reduction of the capacities or shortage of the raw material for us in any segment.
Saket Kapoor: On the Ennature Biopharma as you have told that if we compare it from the last year it has shown a flattish revenue growth but according to your product profile and your trajectory what criteria do we have as far as Ennature Biopharma is concerned?
Manish Pant: For this Ennature Biopharma, our main two USP products like Thiocolchicoside and nicotine. The sales have been booked for the forward months also in advance and there is a stress, that's why the margin has not picked up in this year because of some sales pressure on the nicotine by international scenario. Otherwise, the third product which we are right now trying to envisage the possibility and we are having some breakthrough in the US market with respect to our branded nutraceuticals product like Ginger, Lutin and other products. So, we are expecting that the same scenario would continue for the next quarter, but after the next quarter, we are expecting a huge jump in our branded nutraceuticals product.
Saket Kapoor: So, sir for the year what should we penciling in from this segment when we did revenue closer to Rs.192 crore last year?

Manish Pant: So against, last year of Rs.192 crores, we are expecting that our revenue would be around 250 crores.
Saket Kapoor: The margins should be similar to what we posted last year because of the improved value-added segment?
Manish Pant: So, this should be in the in

the range of 30% to be precise.
Saket Kapoor: Anand ji, what is our net debt number, cost of funds?
Anand Singhal: Average cost of fund is around 9.2% as of now. Regarding the debt number, our term loan outstanding as on 30th June is Rs.650 crores, EPBG is Rs.145 crores, apart from this, we have working capital fund base limit of Rs.350 crores and non-fund base limit of Rs.850 crores. So, this is all the debt.
Saket Kapoor: What is our current year maturity?

Anand Singhal: Around Rs.175 crores.
Saket Kapoor: A small understanding and a submission from my side is more in the investor presentation if that could be uploaded earlier, we would be getting some more time to review the same, if that could be looked into sir, it is submitted at the fag end of the call, hardly 30-45 minutes are left when the same is being uploaded. So please I would request the team to take care that ample time is given to us so that many questions which are there in the presentation already laid out can be negated out.
Anand Singhal: We'll take care from next quarter onwards.
Moderator: The next question is from the line of Ram Mohan Rao, a private investor. Please go ahead.
Ram M Rao: I've been an investor for a long time in India Glycols. A simple question, on the premiumization of portable liquor, can you give me an update on the launch of new branded premium brands of liquor or increasing the reach of premium liquor into new markets?
Deepak Satya: Sir Ram, this is Deepak here. On the premiumization front, our Amazing vodka is currently available in three flavors and they are spread across four states currently: UP, Uttarakhand, Delhi and Rajasthan. There are two more states which are in the pipeline. Having said that, we have also launched a premium White Citrus Rum with a name of Zumba Lemoni, it's again available in these four states. Rajasthan is currently under work-in-progress. Once the paperwork is done, we'll be launching it in the second quarter. And yes, our whisky has pretty much been well accepted in the states of Delhi, which is currently like as we speak, it's the fourth largest selling whiskey in its segment, that is a mid-premium segment. This is spread across the entire portfolio.

Ram M Rao: What about nutraceuticals, are you getting into branding there as well?
Deepak Satya: Sorry, I couldn't understand your question. Can you come again?
Ram M Rao: The nutraceuticals segment.
Manish Pant: Ram, we have already got some of the patents and the brand approval for some of the nutraceuticals like Lutin and ginger and curcumin and we are in the arrangement with some US firms to cater the US market.
Moderator: The next question is from the line of Naitik Mohata from Sequent Investments. Please go ahead.
Naitik Mohata: We are launching a new product and there are a couple of capacity expansions that are coming in the latter half of the year. So, keeping all that in mind, what kind of top line could we look at the end of the year from the Company? The second question would be, are these margins that we have achieved in this quarter sustainable throughout the year?
Anand Singhal: Regarding the growth and the margin, I can only give you this picture that yes, the performance of the Company will be good or better whatever we can say and the margin whatever you have seen in this quarter, we cannot commit for the next three quarters because there are so many ups and downs, but yes, our intention is to maintain the margins for the full year '23-24.
Naitik Mohata: So, what would be the kind of scenario or basically what would be the factors that would enable us to sustain these margins and what kind of risk do you see for the same?
Rupark Sarswat: See, I have already articulated some of the factors which have led to this margin improvement. It will be better if you look at that and then I think partly it answers your question f

or the future.
So, the reason you are seeing improved margin up to now is one, improvement in the quality of the business, discontinuing some non-profitable businesses, so therefore you see an improvement in EBITDA percentage, etc., Second, risk mitigation in terms of ethanol cost by making in-house grain-based ethanol. Third, improvement in some cases of the product portfolio, say in liquor or elsewhere, where we are selling products which are slightly better. So, none of these factors was an incidental one shot factor for the quarter. Now, as far as the risks are concerned, broadly, these factors how they play out over the remaining part of the year… and of course there was one more factor which was energy cost which have also suffered and packaging cost. Freight was another one for people. So, if you look at these four or five factors which have led to margin improvement, so we would imagine that they will not suddenly drop off the cliff. However, these very factors are also therefore something that we keep looking at going forward. I don't see a big issue happening with energy. In ethanol, there may be some variation, but fundamentally, we've set up our own ethanol manufacturing, etc., some cost fluctuation may stay. Also depends on suddenly ethanol prices for imported materials were to slide back anywhere close to what it was two years ago, it will be an upside in terms of our ability to manufacture our products as well as increase top line by selling more into biofuels. So

that's a potential upside, not a risk factor, but probably an opportunity factor. The other factor is how crude prices and crude-based alternative prices behave. It's not going to suddenly change because crude and crude-based prices are already quite low. In fact, if my understanding is correct, people who are manufacturing MEG, etc., are already under a lot of pressure and they are continuing to do because they have to continue to run their plants. So, I hope that will improve. But we do understand that while India continues to do really well, but globally there is a bit of a sentiment in the chemical industry, which is slightly cautious. So, I can't quantify what this will lead to. I have given you the factors which led to the improvement for you to see what you can yourself kind of extrapolate what will happen to those. And I've also articulated what are some factors that we need to keep an eye on.

Moderator: The next question is from the line of Rohit Sinha. Please go ahead.

Rohit Sinha: So, my question is on this new CAPEX on the specialty chemical segment which we are doing. So, I think a few quarters back we had announced around Rs.50-55 crores kind of CAPEX and now this is additional Rs.80 crores. So, wanted to understand if this is in order to expand those capacity or there are completely new products and what sort of end user industry would be focused on this?

Rupark Sarswat: See, this is part of the same thing. I think we had announced the intent now, we made a more specific announcement to the stock exchange, I think that's how it is and maybe the number is slightly higher, Rs.82 crores.

Rohit Sinha: So, we are seeing better visibility on those products or how basically we are considering this new CAPEX to culminate?

Rupark Sarswat: See, these products as you know, it's not like ethanol where the day you start manufacturing, you have a cost and you can start blending. These are performance application-based products. I can tell you that from my knowledge of the product pipeline, including products which are at an idea stage, we are looking at something like 30 products across several chemistry, of which, roughly 10 to 13 products are where we have completed the lab work, more than half of them we've done pilot plant and sampling. That's one way. The other thing is we are working with some very good customers which are global custome

rs, which includes Tao, includes Nobel, Lanzatech, New Park, includes Baker Tools, it includes a number of these names, I can articulate a few more. So, we are building that business. I am quite satisfied with the product and business development pipeline, but this is a business which takes time building, it's a knowledge-based business. It is about developing a number of customized products for people. As per our plan, I think we are more or less on track in terms of product development. Now, we are focusing more and more on commercializing and scale up and business development as the plant comes up.

If you make a product in the plant, we have to give samples, there is a gestation period, we work with the customers, there are internal approvals. So, it is relatively far more time-consuming. But I gave you a gist of the product and business development pipeline.

Rohit Sinha: What sort of asset turn we can expect from this CAPEX at peak utilization time whenever all these products would be at a commercial license?

Anand Singhal: The EBITDA margin we are targeting is around 15% to 16%.

Rohit Sinha: On this 130-140 crores CAPEX is there, so what sort of revenue contribution -?

Anand Singhal: This is for Rs.82 crores and we are not targeting a very huge amount of revenue in the first year '23-24. And depending upon the acceptability and the product development, then we'll target for '24-25. So, this year will be a nominal kind of turnover out of NSU, and then we'll decide.

Rohit Sinha: Secondly, on the JV business, how things are now looked at, the kind of growth or any kind of guidance from Clariant we are getting there for FY24 numbers?

Rupark Sarswat: On the JV, Q1 was much better than Q4. But it was not as good as Q1 of last year, mainly because of the delta I mentioned, on any petrochemical-based alternatives. So that pressure continues, but it is much better than what it was in Q2 and Q4 and we expect to continue to improve on account of a few things. So, what the JV is focusing on is one is increased exports where the EBITDA margins are much better. So, there is a pipeline and approval process that they're working on. They are also focusing on indigenizing some products which Clariant was importing and selling in India, and they're focusing on formulations. Based on this, our objective is and the way we look at is going forward is that last year was a tough year, Q4 was quite tough. Though it continues to remain somewhat challenging, but we'll continue to see steady growth and improvement.

Rohit Sinha: And on the IMFL side, what is the current market share that we are getting there…have you gained anything during last quarter?

Deepak Satya: To answer your question, you need to look at product-by-product wise. So, when it comes to different states put together, currently we are number 2 in Uttarakhand when it comes to the vodka segment, when it comes to the whiskey segment that is assortment and it’s associated with this in Uttarakhand, we currently hold number 2 position in that state, in that very price segment to be very specific. When it comes to. Delhi in vodka, we are currently the third largest selling brand in the state. When it comes to the soulmate whiskey in the Delhi market, in that particular segment, we are currently occupying the number 4 position out there. When it comes to UP where our brand has been pretty much well established over more than 3,000 plus retails, we currently hold premium position when it comes to the Tetra Vodka segment, which comes in the economy segment side. When it comes to the glass segment in UP, we currently hold number 3 position in the vodka. When it comes to the whiskey side of it, we are currently like in the phase

of improving our width of distribution, so it would be too early to comment upon the market share

because we are right now like 5th or 6th in the race right now. But currently the focus is all about like improving the width of distribution. In Rajasthan, currently we are in the process of introducing the brand in the market. So, we would not be in a good position to comment about the market share in Rajasthan.
Rohit Sinha: So, given the price hike which we have got in country liquor from April onwards, so can we expect somewhere around 15% to 20% kind of revenue growth in portable segment for FY24?
Deepak Satya: We are currently a bit bullish on the country liquor side of things because Uttarakhand market has also opened up a little bit. Previously, it was more from a quota perspective that okay, we were allocated certain districts, but now with the opening of market, we are expanding our footprint across the state. As we speak, we have seen a spike of about like 20% to 25% in our volumes on month-on-month. So, currently we are holding a run rate of about 1.1 lakh cases a month in Uttarakhand. And in Eastern UP, we continue to like to defend and grow in our existing market that is like Eastern UP, which happens to be the heartbeat of our operations. So, we are continuously like trying to expand towards the central side of the state and hopefully the volumes will continue to grow in the coming quarters.
Rohit Sinha: One last question on this MEG side, I mean, how has been the spread recently, obviously from last 6-7 months, it has been continuously falling, but how it has been in the recent time and how is the domestic and export business we are looking at right now?
Rupark Sarswat: Can you please repeat your question?
Rohit Sinha: So, on MEG spread, how it has been in the last few days I would say from July onwards and obviously since it has been on the lower side for the last few months, so how it is now placed?
Rupark Sarswat: Just hold on. What do you mean by MEG spread over last two days?
Rohit Sinha: I would say from July onwards for this Q2 FY24, and overall, what sort of movement we are seeing on the domestic and export front?
Rupark Sarswat: So first, let me answer your question to bring in the more relevant aspect which I have kind of alluded before as well. Our bigger MEG play's profitable growth is not competing with Reliance, at least for it has not been for the last some time one year plus and we don't see it currently, we don't see in the near future, as I commented about the delta and crude-based alternatives continues to remain quite high. So, it is not so critical for us to think on MEG cost, movement of crude or any petrochemical player with respect to MEG because we are not selling against them anyway right now.
Rajesh Marwaha: Initially my colleague mentioned that we moved out of certain markets which were low margin markets, one of the major markets was movement out of domestic MEG sales. So currently, all

the sales are basically focused into exports, which is a green MEG and where we are not competing with the crude-based MEG pricing structure.
Rupark Sarswat: I would however like to add is that over the last say, four or five years we have moved bio-based MEG from being almost a one customer product to something like pipeline of 20 customers which is good. Because of a drop of one big customer which went into recycled pet, it meant it impacted our volume quite significantly, but our margins were not that significantly impacted. So, in a sense, while we may not have seen an exciting growth in bio-based MEG, but I believe it is more resilient than what it was four or five years ago.
Moderator: Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for the closing remarks. Thank you and over to you.
Rupark Sarswat: Thank you, Rohit, and thank you all who joined us. I didn't realize that I would make a short presentation but would hav

e a long set of questions. Anyway, that was our pleasure, it allows us
to clarify things to you, also, give you a perspective on the business. Really appreciate the time
of you all have. Good evening and on behalf of my colleagues, and also to them, a big thank you
for hearing us out.

Moderator: Thank you, ladies and gentlemen, on behalf of Sunidhi Securities & Finance Limited, that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes.)

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Call: Nov 2023

10th November, 2023

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Mumbai – 400 001 Mumbai- 400 051

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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q2FY24 Earnings Conference Call

Further to our letters dated 27th October and 6th November, 2023 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q2FY24 held on Monday, 6th November, 2023 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

"India Glycols Limited
Q2FY24 Earnings Conference Call

November 06, 2023

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD, SALES & MARKETING
(BSPC)
MR. S.K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) & COMPANY
SECRETARY

ANALYST: M R. ROHIT SINHA – SUNIDHI SECURITIES & FINANCE
LIMITED

Moderator

Good evening, ladies and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to India Glycols Limited Q2 FY24 Earnings Conference Call hosted by Sunidhi Securities Limited. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Rohit Sinha from Sunidhi Securities. Please go ahead, sir.

Rohit Sinha

Thank you, Pelsia. Good evening, everyone. Thank you for joining on India Glycols Limited Q2 FY24 results conference call. We are joined on this call with India Glycols management, represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head, Sales and Marketing (BSPC); Mr. S. K. Shukla, Head - Liquor Business; and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we'll have a Q&A session. Thank you, and over to you, sir.

Rupark Sarswat

A very good afternoon, and thank you for joining us, to give us a brief on the performance for the quarter, also how we've done so far in the year. So, I will briefly take you through what the performance numbers have been, what the general story behind the numbers is, and then we can take questions. So, if you look at the quarter, the performance for the quarter, look at the comparison of Q2 2024 versus Q2 2023. You would see that we've had a gross turnover increase of about 4.5% with a gross turnover of INR 1,871 crores. You know that we have a business which has a very high excise duty of about INR 670 crore. Therefore, the net turnover is actually up INR 775 crore, up 15.7%.

We've seen a very healthy. In fact, you would see a very good EBITDA growth for the quarter, which is at INR 105 crores, up 43.4%. And, it is also accompanied by improving the quality of the business that the EBITDA margin is actually 13.5%, up 257 basis points. So, what I would like to generally say is that, this set of results is quite satisfying to us as a management team. But we were also expecting the results basis the kind of actions that we've taken over the last couple of years. And they are not different from what we have communicated to you in terms of what we have been doing. And therefore, I can say that the performance has been resilient.

It has been on the basis of a foundation that we kind of created in a situation where probably in the last couple of years or two-and-a-half years, ideal phase to one of the toughest times in some ways with our feedstock prices and energy prices really going through the roof. And we had spoken about before the actions that we would take on feedstocks and cost and so on. So, in that sense, it is a result of that foundation work, which has been done systematically, delivering profitable growth. And we are quite hopeful that these set of actions, of course, business as a level of uncertainty, as you saw in COVID times and all sorts of things can happen.

But there is reason for us to feel optimistic and believe that this performance and this trend will continue. And there's some satisfaction saying that we've taken the right actions to deliver a sustainable profitable growth in the times to come. And I will briefly touch upon what we've done to kind of deliver that growth. Let me just go back and give you a snapshot of what happened in the first half, and then I can talk about the common points together. So, if you look at H1, the story is by and large similar to what we are talking in terms of Q2. So, our net turnover is flat. And I say that whilst it's flat, this is also flat because we’ve discontinued some low margin or non-profitable businesses.

Some of which is trading business, but you would also know we have discussed before that because we were running a continuous plant, and because we faced a lot of headwind in MEG, and the continuous plant has to be run at a particular throughput rate, some amount of MEG had to be sold in the market, completing with food based MEG not necessarily making us money. So, we've made operational changes to be able to produce much less MEG and not having to sell all of that, which means that our net turnover is kind of flat. But if you look at our EBITDA for the first half at INR 212 crores, it is up 48.5%. We are happy about it and I'm sure our shareholders will also be satisfied.

And our EBITDA margin, this is also important. You see, just 2 years ago, I was trying to explain an EBITDA margin, I know exactly of 9.6%. And we have moved in about 2 years from 9.6% to 14.3% EBITDA margin, which looks quite healthy. And now coming to some of the general actions, which tells the story behind this trend. So, if you remember, we had said we are going to do a few things. One is that, the thing that had affected us really badly was that we were dependent on imported ethanol as a raw material feedstock for ourselves, particularly the chemicals business, and roughly, to give you a flavor, don't hold me to a precise number, the landed price of ethanol went up from something like INR 35 a liter to well above INR 60, INR 64 a liter.

And ethanol prices have continued to stay high, though not to such high levels of INR 64 levels. So, one of the key actions for us was to mitigate that risk. There were changes happening in the Indian marketplace or in the Indian economy, where the government was encouraging production of grain-based biofuel. So, we were very, very prompt in taking that calculated view and putting up significant grain-based ethanol

capacity, which we have done, and which is yielding results. So, which we can reduce the cost of ethanol for our potable spirit business. It's reduced, relatively speaking, the cost of ethanol also for the chemicals business.

In future, however, the cycle may be turning, which will be beneficial for us, and I will talk about it. And, so that is a big base of the business. And now I used to talk about our 3x3 metrics, where we have three options to get our ethanol - molasses, grain-based, or imports. And we have a way, a three kind of uses for our ethanol - potable spirit, biofuels, and as an intermediate for chemicals. So, it has also created a new segment of biofuels for us, which will also continue to drive top line growth for us in the years to come. So that is one action around ethanol manufacture, ethanol sourcing, and optimizing it with respect to the front end usages of it.

The other significant action for us was to look at our costs, for which we have done significant amount of work on energy, looking at our operational models, which has also helped us contain our costs. And the third bit, which is about growth. So, there are two significant factors on growth. I think one is, putting up grain-based or damaged grain-based ethanol capacity, have meant that we can now sell bio-based ethanol for petrol blending, which we are doing. And the second thing which we are making relatively steady progress, but it is expected to take time is to start manufacturing new value-added chemicals, which is something that we have started as well, though it is relatively smaller business right now.

We have just commissioned part 1 of the plant, part 2 is expected to be commissioned by the end of this year. But I am quite satisfied with the project pipeline that we had with the number of reputed customers. And over the years, we expect th

at that will continue to drive, to give us some top line growth, but also improve the quality and stability of our business. So, biofuels and new specialties is largely in terms of top line growth and some prompt actions. So, this I think by and large explains the numbers that you see on your chart. And, we've had a good performance in terms of potable spirit sales, driven mainly by in spirit country liquor sales, we continue to be market leader in Uttarakhand as well as UP, where sales are actually up 80% in Q2.

As far as ethanol is concerned, we still continue to have cost pressures, because ethanol cost within India is high. However, what has also happened is that imported ethanol prices have significantly softened, though they have not gone back to the levels which were pre-COVID close to INR 35, but they have been consistently hovering around INR 50, which means a very interesting thing for us. Now, we put up capacities which were meant to service ethanol requirement, but also, give some product for biofuel. We are seeing that if this trend continues, and we see that continuing. We could go back to importing ethanol for chemical use, and all the capacity that is needed in grain-based ethanol, because it fetches a better realization would go on to adding the top line in biofuel, which I think is, if it continues, it's going to be even more positive than what it has been right now. That is how we see it.

I've already spoken about, the new value-added product and a brief comment on the joint venture. Joint venture overall has been functioning quite well. I think the integration has been very good. The challenge of cost pressures like our chemical business has continued on the joint venture. And by and large, the joint venture has been focusing on formulated products, indigenizing products in India, and also looking at exports from India for bio-based products, fetching us some premium. So, there is some pressure there, but the joint venture is functioning well. And, we believe that as we do think about improving ethanol costs, including going back to the softened ethanol prices of internationally imported ethanol, that should help the joint venture.

In terms of headlines for our business units, if you talk about bio-based specialties and performance chemical, I think we are moving towards, calling it, chemicals and biofuels, as biofuels becomes a significant part of what we do in the space, so this will continue to drive top line. As I said, we have been somewhat, let’s say, being doing business in the sense that we have done business, which was not profitable, which we had to do for various reasons. And things like reduction in freight, reduction in coal costs have also helped improve our margins. And, yes, it is an important sector for us in bio-based MEG. Bio-based MEG has been, kind of flat or has been under pressure in terms of volumes.

But the development that we go seeing into the future is that the market for bio-based MEG will continue. Bio-based MEG goes into manufacture of polyester or PET, there was a feeling that recycled PET will replace a lot of bio-based MEG. We see that recycled PET has its own challenges, including the number of recycles that you can do. So, we will continue to see some traction for bio-based MEG in its own way. World is also working on 100% bio-based PET, which include bio-MEG and, bio-based PTA, we are engaged with those people who are working on those projects and as those materialize in the next maybe couple of years that will be another interesting growth period.

I have already spoken about what has happened in the portable space. In the Ennature Biopharma space, it is a relatively smaller segment for us. The headline is that, whilst we've been under some pressure for sales, largely because there's a lot of competition in nicotine and there's a lot of cost pressure there,

which
has also eroded our margins. However, we continue to maintain our position in Thiocolchicoside. We have our sourcing of raw materials well covered over there. And there is a push for data quantities and demand in the market. And to some extent, it will continue to mitigate some of the market pressures on prices and costs that we have in this segment.

So, that's a very, very quick summary of what are the headline numbers and what has been the story behind these numbers. And let me now request my colleague, Mr. Anand, to take you through the financials.

Anand Singhal

Thank you, sir. So, now for Q2 FY24, the net revenue from operations is INR 775 crores vis-à-vis the last year's Q2 of FY23 is INR 670 crore, showing an increase of 15.7%. The EBITDA amount for the current quarter is INR 106 crores consolidated basis vis-à-vis INR 74 crores in the last year Q2, so the improvement of 43.4%. The PBT in the current quarter is INR 50 crore vis-à-vis INR 31 crore in the last year’s quarter, which shows a 59.5% growth. And PAT is INR 38 crore vis-à-vis INR 24 crore, which shows an improvement of 61%. EPS for the current quarter is INR 12.3 vis-à-vis INR 7.6 in the last year's same quarter, showing an improvement of 61%. So, as CEO has said that there is improvement in all the areas.

As well as on a consolidated basis half-yearly result is concerned. So then, in H1 FY24, the revenue from operations of net of excise is INR 1,464 crores vis-à-vis INR 1,478 crores showing a decrease of say about 1%. EBITDA is INR 212 crore vis-à-vis INR 143 crores, showing an improvement of 48%. PBT is INR 114 crores vis-à-vis INR 66 crores in H1 FY23 last year, showing an improvement of 72%. And PAT is INR 89 crores vis-à-vis INR 51 crores in H1 FY23, showing an improvement of 74%. EPS in the first-half of the current year is INR 28.80 vis-à-vis the last year H1FY23 EPS of INR 16.50, showing an improvement of 74%. So now in the current half-year, the EPS is 28.8%. So, this is what is the consolidated basis. The standalone, I am not giving the numbers because I want to give more time for the question-and-answer session. That's all from my side.

Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. First question comes from Bala Subramanian from Arihant Capital Markets. Please go ahead.

Bala Subramanian

Sir, after two quarters we have seen a decent growth on bio-based and the chemical side. And, like, I just want to understand which of the sub-segments have driven the growth. And if you could throw some light on the overall demand environment on each sub-segment. This is my first question.

Rupark Sarswat

Okay. What is your second question?

Bala Subramanian

Second question is, we have the plan for Capex of INR 160 crore for grain-based facilities from 300 KLPD to 500 KLPD. So, what is the status of that? And the third question is, we have seen substantial INR 90 crore to INR 100 crore increase on that balance sheet, inventories, receivables, and payables side. So, if you could share more light on the working capital side also?

Anand Singhal

To take up your question number two, regarding the expansion in the grain project. So, as of now, from 300 to 500 KLPD, we have already completed 300 KLPD grain distillery in Kashipur, and the 400 KLPD will be finalized till 31st December. And 500 KLPD as per our projections will be completed by 31st March 2024. So, this is what is our internal projections. And to be very frank, till-date whatever expansion in the grain distillery we have done is as per the target. And third question, regarding the increase in the stock and the inventory means receivable, that is a routine kind of thing. I cannot comment on that right now. But that is as per the balance sheet as of 30th September 2023. So, not much about the increase in the working capital.

Rupark Sarswat

Yeah. So, let me take your first question. So, in terms of chemicals, you wanted to know what are the sub-segments which have given growth within chemicals, right? So, we divide our chemicals into three broad categories. They are not roughly equal. We may change the categorization in future. One is performance chemicals, which includes the specialties, which included by glycols, glycol ethers, and also biofuels. So here, we have seen a top-line growth of 16%. Significant part of that top line growth has come from supply into biofuels, which had roughly contributed about INR 100 crores of the increase. And we also have another segment called bio polymers, where we have seen some growth in H1, which is about 2%, but we have seen much better growth in terms of its contribution.

We also have a segment called industrial gases which is much smaller. There, we have seen something that's like a 35% increase. And this increase is mainly, mainly driven because of increased demand for argon gas and its prices. So, to tell you what has happened here is that my understanding is that with the India imposing anti-dumping duty on some stainless steel, India is manufacturing more stainless steel, so more demand for argon. And also, I think some package of suppliers were cutdown that led to a better pricing for us as well. So, this is how the growth has been under three sub-segments within what is broadly a chemicals space.

Bala Subramanian

Sir, my final question is, the industry is moving from molasses based to grain based. What would be the cost advantage overall the industry perspective?

Rupark Sarswat

There is no straight answer to this. I'll tell you why. Because when you say industry is not moving from molasses to grain based. Industry is doing as much molasses based as it can, plus it is adding grain-based capacity. Okay? So, the sugar mill has two grades of molasses. One is B heavy molasses, and the second is C heavy molasses. C heavy molasses has less sugar to be converted into ethanol. So, every sugar mill is trying that they should convert all B heavy and C heavy into ethanol. But the government is also now allowing ethanol being produced from sugarcane juice. Now, what the government has done, I don't remember the exact number, it is not based on cost alone. Government has given different prices for each one of them for procurement into biofuels. So, really speaking, based on the government prices, you have to look at how much margin you make on B heavy and C heavy or sugarcane - juice based usage ethanol. That is one.

People are not moving. People are adding grain-based capacities. Why are people adding grain-based capacity? Because there's a huge increase in demand for ethanol. The government has a plan to do 20% blending by 2025. We are well on track to achieve that. I think we did roughly, I don't remember the number, something like 10% last year, this year I think the target is something that close to 12%. And based on the capacities that currently exists, they will continue to be demand is exceeding supply. So therefore, people are putting up grain-based capacity, both damaged grain and whatever excess is available.

Moderator

Thank you. Next question comes from Saket Kapoor, an Individual Investor. Please go ahead.

Saket Kapoor

Firstly, Rupark sir, you mentioned about the benefit of lower ethanol prices will aid to the profitability of our JV. Am I correct?

Rupark Sarswat

As I mentioned, initially, we were procuring imported ethanol, ballpark just to explain the situation to you, something like INR 35 landed per liter in terms of imported ethanol. This is pre COVID times. This shot up because of a variety of reasons, energy tr

ansition, increased blending, so on and so forth, Ukraine war, to
something like INR 64 a liter, where it really started pinching us, okay. We invested in grain-based capacity for some time. We started to replace that and that helped us. Now, the imported ethanol prices are hovering around something like INR 50. If I make grain-based ethanol or molasses based ethanol, generally the realization on an average in biofuels is something like INR 63 a liter.

Now, irrespective of the cost that I produce at, whether it is INR 53, INR 54, INR 50 it depends on rice prices and DDGS prices and so on. If I have capacities, It makes much more sense for me to first sell to the biofuels market where I have a realization of INR 64. Now, which means, then I can use all my capacities or most of my capacities to serve biofuels. And if the imported ethanol prices hover around INR 50 a liter, it makes much more sense to start importing. If I look at the trend going forward for the next 6 months, maybe the next entire year, that is my estimate. It will make sense to import ethanol for use in chemicals, which means that ethanol which was much more expensive base because in-house produced, that cost will come down for chemicals in IGL. And one of the chemicals in IGL is a feedstock for the joint venture, which is ethylene oxide. So, we do expect it to help the joint venture.

Saket Kapoor

Right. Sir, earlier, our pain point last time when the commodity prices touched the roof, it was also for the coal prices. Now with the current trend, I think so the power and fuel cost on a QoQ basis is down from INR 95 crores to INR 83 crores. So, in the near vicinity what's the outlook, and I think we will be receiving the benefit of lower power and fuel prices going ahead also?

Rupark Sarswat

It's not about benefits. I think we had a huge pain because of the increase in coal costs. So, that that pain has got mitigated. And that we expect in the times that we see. It's a very dynamic world in terms of what leads to coal prices, et cetera. We see that coal prices have stabilized maybe marginally higher than what they were before COVID times to somewhere close to that. And in the near future, we expect the energy prices to be stable around those numbers. And whatever benefit or whatever contributions of that cost you see in the number there is expected to continue in the near future.

Saket Kapoor

Right. Sir, if I may add just one more point. In your presentation, especially, sir, if we see, you mentioned about that our Ennature Biopharma performance has been subdued for the quarter also and for the first half also. If we take the top line and you mentioned in your presentation about the nicotine prices and the pressures, there. So, what's the next step of mitigation activities we are doing? And also, sir, in your presentation, you have mentioned about that you have a commenced production of nicotine at Kashipur doubling the capacity. So, if you could just give us some more understanding, and also about the other product.

Rupark Sarswat

So, Saket, basically what has happened is, nicotine has use in first of all in therapy because for de-addiction people use nicotine, and I think it has some use of intermediate, et cetera. So, there is a large number of player in the marketplace has been quite competitive because which has meant that we have seen price realization fall off something like 10% to 15% in 2023-24 compared to 2022-23. So that is mainly because of increased competition, not because of suppressed demand. And as far as the Kashipur facility where we were converting some of our given assets that were concerned, it is looking at the demand scenario. What we are also doing for nicotine is working with and because it is in the pharma space and similar space, et cetera.

We are looking at newer markets where, say, the US, in Europe, et c

etera, where realization is better,
though the approval time is higher. So, we are working on our standards, our quality so that we can get those approvals. And, we are also looking at, in some cases, having tie-ups for some of our products which are right now not a very large part of what we do in Ennature Biopharma. It seems like where we could supply ready to consume B2C kind of branded products. So, we are looking at those kinds of tie-ups for curcumin, Astaxanthin etcetera. So, these are the main actions. And of course, in this scenario, we are also looking at how we can reduce our cost, improve our processes, improve our sourcing, for example, in Thiocolchicoside, that's the raw material plant-based, India is the largest producer.

So, your position with respect to sourcing also determines your margin. So, one of the good things that I understand, people have Thiocolchicoside supplies covered better than what we think some others have, and Thiocolchicoside demand has been strong. So, we expect that our top line and bottom line in Thiocolchicoside, will continue to remain healthy in the near future.

Saket Kapoor

And what has been its contribution, sir? This product which you mentioned right now, for the first half in terms of the top line and bottom line. Also, sir, if you take into account this segment performance, last year, our top line was at closer to INR 192 crore and the bottom line was around INR 49 crore profitability. So, taking into account the current situation, what should be the trajectory for the second half, since the profitability has moved lower QoQ from INR 13 crore to INR 7 crore, and for the first half it is closer to INR 20 crore. So, especially for the segment if can tell us the future outlook?

Rupark Sarswat

Look, also keep in mind that, before that Ennature Biopharma productivity and top line had grown very well. So, business has a bit of cyclicality. So, if you look at potable spirit for Ennature Biopharma, H1, we registered a top line of INR 99 crores, right? And we've registered, a bottom line of INR 20 crores, in terms of EBIT that is what has been shared to you in H1. The expectation is, while we expect the pressures on nicotine, et cetera, to continue in the second half, because we are working on approvals and new market, et cetera. But because of our better position in Thiocolchicoside, in terms of sourcing, we expect that, while the pressure will continue, our profitability in our top line will be better in the second half.

Saket Kapoor

Okay. So, is it fair to match last year's number, sir? Is there any visibility basis the current numbers?

Rupark Sarswat

We think that it will be better than first half. We are trying to kind of be equal or better what we've done last year. But we expect some challenge in the whole year, though the second half will be better than first-half.

Moderator

Thank you, sir. Next question comes from Makarand Tilloo, an Individual Investor. Please go ahead.

Makarand Tilloo

Thank you very much. Sir, I would like to ask you that, this LanzaTech, that was mentioned in previous presentations. When this project will be in full fledge next year? What kind of turnover we are expecting?

Rupark Sarswat

So, this question has been asked to us before. See, we are working with CarbonSmart products with Lanza with a number of reputed customers which include Dove, which includes Migal, which includes Unilever, and possibly some others where we have not or they have not made it public. As I have spoken many times, this is a new area. It is not going to suddenly grow, because there are various things like supply and cost and so on, but it is the future direction in which the chemical industry is going to move. So far, we've continued to make steady progress, but, you know, s

low progress in this area.

And because it is so new, it is very difficult for us to give you a number on what will happen in LanzaTech number next year. What we are hoping is that the CarbonSmart feedstock prices become lower. We know that some of the CarbonSmart feedstocks may become available in India. I'm sure they will become available in India. And I'm also sure that, the cost and prices of those feedstock will continue to come down. But to put a timeline number and how much will happen next year is difficult for me, and I'll have to give you that answer.

Makarand Tilloo

Okay. The second question was that, there was some information that there is a change in molasses policy regarding GST and it will help the distilleries. So, can you elaborate or let us know how our company will be care getting the benefit?

Rupark Sarswat

Look, I'll have to look at some of those details. So, why don't you just put in this question and let me talk to the concerned person with some details and we will revert to you on the specifics of the policy and specifically what it will do to us. Because I also need to understand what exactly you meant.

Makarand Tilloo

Yes. Correct. Sir, we have sold the Shakumbari unit. So, how we are going to get benefited due to this?

Anand Singhal

Actually, Shakumbari was closed and it was not working. So that was a dead asset or you can say a non-performing asset in the books of the account. So, that's why we have sold it out. We are not getting any benefit out of Shakumbari running or not running.

Rupark Sarswat

We didn't want to focus on running a sugar mill as-simple-as there. Sugar mill is a complex kind of business, for whatever reason 14 - 15 years ago, it was acquired. Anand Ji, when was it's acquired?

Anand Singhal

It was in 2008.

Rupark Sarswat

Right. So, I think the broad strategy was for a variety of reasons in the area, et cetera, that we don't want to be in the business of sugar mill. So, it was best for the company to liquidate or sell that asset, and that was the main reason.

Makarand Tilloo

So, whether it will help us in reducing our interest cost?

Anand Singhal

No. Shakumbari was not having any debt in the book. So as such, there was no interest cost in the books of Shakumbari sugar, except the ICDs which they have taken for repayment of the debt and other things.

Makarand Tilloo

Okay. And another question is that, our company will be completing around INR 3,000 crores of turnover this year, tentatively. So, internally, when company feels that it will touch INR 5,000 crore of turnover?

Anand Singhal

INR 3,000 crores you are talking about net or gross?

Makarand Tilloo

Net.

Anand Singhal

So, this year, hopefully, we will achieve about INR 3,500 crores net turnover, as per our internal projections. And we cannot give you the concrete year when we will reach to INR 5,000 crore.

Makarand Tilloo

Okay. And the last request to you, sir, that our company is now performing very well under all of your activity and actions and management. So, that has to be reflected in the digital way, our website has to be renovated and digital presence need to be reshuffled. So, are we planning anything regarding that?

Rupark Sarswat

So, yes, you're right. That work is more or less completed, very soon you'll see a new website, very soon.

Makarand Tilloo

Okay.

Moderator

We have a follow-up question from Saket Kapoor, an Individual Investor. Please go ahead.

Saket Kapoor

Anand Ji, for the first half, our capital work in progress closing balance is INR 102 crore. So, if you could just explain what is affecting to which project, and how much Capex exactly we have done and capitalized for this quarter as the depreciation has gone up by aroun

d INR 8 crore QoQ.

Anand Singhal

The depreciation has gone up because of the capitalization in Q1 and in the last year. INR 102 crore capital work in progress is related to more for the grain project, and the NSU project which is under process. Apart from this, there are some maintenance Capex which is continuously going up. And current year, we will be completing the grain project from INR 300-500 crores, which will cost about INR 160 crores. Apart from this, we are putting up one more project, one more grain project in Gorakhpur for adding 180 KLPD

distillery of grains. So that will also cost us about INR 80 crores to INR 90 crores, and project will be completed. So, more or less, the capital work in progress in process will be say about INR 300-350 crores.

Saket Kapoor

Sir, I miss the Gorakhpur point. When will we do the Gorakhpur capex and by when will it be implemented?

Anand Singhal

Gorakhpur Capex is in process. We have just completed the financing and other things. The process for finalization of the machinery supplier is going on, and hopefully, this will be completed by 30th June to 30th September.

Saket Kapoor

Next year, it will run to, say, the first quarter?

Anand Singhal

Yes. In the second quarter.

Saket Kapoor

Second quarter. And sir, what is our debt number currently? The long-term and the short-term debt?

Anand Singhal

That is already there in the balance sheet, you can see, Saket.

Saket Kapoor

Any change in the cost of funds, sir?

Anand Singhal

No. As such no. No major.

Saket Kapoor

9.5% was the last number. If I'm right?

Anand Singhal

The average cost of borrowing is around 9.45%.

Saket Kapoor

9.45%. Correct. Right. So, Rupark Ji, just to sum it up, going ahead, taking into account the current economic situation and also the demand supply. What should we look at H2 as a number? Because the key segment of bio-based specialties, we find that on a QoQ basis, there is a decline in the margin. Firstly, you can explain what led to this? Which chemical margins have taken a hit, because from INR 401 crore it has gone up to INR 508 crore, whereas the EBIT number is the same, which we had for the first quarter.

Rupark Sarswat

You're talking about?

Saket Kapoor

I'm talking about the bio-based specialty and the performance chemical margin. If you look at the turnover, the turnover QoQ has gone up from INR 402 crore to INR 508 crore, whereas the EBIT number is the same. That shows the margin decline. So, if you could explain the key reason for the same, sir?

Rupark Sarswat

See, I mentioned to you that the pressure in the chemicals business has largely been on account of increase in ethanol cost which happened over period of time. Going forward, we see that importing ethanol at prices which are now much more softer will help improve the profitability of the chemicals business. So essentially, that is a broad reason. Other than that, sometimes it is also about the product mix and what's happening in the competition. So, for example, MEG market has been very, very suppressed for a long time. So, the product that we were able to position there against that has been difficult.

Similarly, glycol ethers, butyl and propyl based glycol ether, the costs have been lower. So, some of those, that market has been very tough for us. This is where we have had pressure on margins. But broadly, I think in terms of the market trend, my expectation is that the market trends for H2 are largely going to be similar. We are going to be helped by increase in our biofuel supplies on account of, one, addition of capacity compared to last year. Second, we are going to substitute what we were producing grain-ba

sed
and using as an intermediate, using imported ethanol and lead capacities for biofuels, which will improve the overall top line as well as bottom line for the chemical portfolio broadly.

Saket Kapoor

Right. And sir, have we started importing of the alcohol, or we are about to do so?

Rupark Sarswat

Yes, we have taken action. It will start arriving pretty soon.

Saket Kapoor

And sir, the number for this Thiocolchicoside, the revenue and the contribution to the margin, do we have it separately?

Rupark Sarswat

I will take that as a homework, Saket, for myself. As in, I don't remember exactly. We’ll get back to you, if you can put a question. I don't know specifics of this.

Moderator

Next question comes from Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha

Just, on the country liquor side, I think, last year in FY 2023, we have the record sales and I mean, we have listed our name also on the record books. So now, after that, how has been the volume growth as of now and where we would be heading going forward? And, secondly, on this, IMFL segment, how has been the

market share as of now, because for last few quarters, marginally, I think we were gaining some market share. So, how right now it is placed?

Deepak Satya

So, let me take the country liquor first. So, country liquors volumes in UP are currently doing an average of about like 19 lakh cases a month. During the season, we had also, like crossed, closely touched 20 lakhs in one of the months. The major driving factor has come in from the state of Uttarakhand where previously we used to do around, like, an 80,000 cases a month, which is currently touching close to about 120,000 cases a month. So, there's a good jump of about, around like close to 45% to 50% on a volume basis, right? So, this is where the volumes have grown. We expect that once the policy regarding the Tetra packaging is clear in Uttarakhand. Possibly we will be able to replicate our existing capabilities in the state of Uttarakhand and also pick up on that volume as well.

So right now, this particular policy is sub judice. So, once the Hon'ble High Court clears it, we'll be in a good position to comment upon the volumes in the near future. Coming to your, IMFL market shares and volumes, right? So, just to give you an overview from a state perspective. In UP, previously, we have a good coverage of about, like close to 80% on the wholesale footprint. Coming to the retail footprint, which is about, like, close to 7,500 shops. We are currently able to cater to around 5,000 shops on a brand presence. Coming to the segment-wise market shares, we are doing good numbers, we are the 3rd largest player in the vodka space, with a share of around, like, close to 22%, 21% and 25%.

Coming to the whisky side there are other things, in the Tetra packaging in UP we are currently around like the 4th largest player in the market. The volumes continue to expand. But during the winter season, we are also expecting a certain kind of a delta volume increase when it comes to sales of rums in the coming two quarters. The Delhi market has also shown a kind of like a good uptick for us. We have been doing close to around like 30,000 to 35,000 cases a month. In the segment that we operate in Delhi, we are the second largest player in that particular segment, in the whisky segment. In vodka, we again continue to be the third largest player in Delhi, overall.

The same kind of market share you can replicate for the Uttarakhand market as well. But in the market expansion, we are looking to expand our footprint in the state of Rajasthan. And there has been a kind of like a state expansion in the paramilitary division as well. So, that's what the entire growth story of IMFL is.

Rohit Sinha

Than

k you, sir. And on this country liquor side, I think we got a price increase effective from first quarter, April 2023. So, looking at the kind of growth in this quarter or maybe in first half, would it be possible anything to give a brief overview that what would be the volume growth and how would be the pricing benefit we have, in getting?

Deepak Satya

So last year, if you see, for the similar amount of time, the average volume that we use do in UP was anywhere between 16.5 lakhs to 17 lakhs per month. That has actually increased by 1-1.5 lakhs if you see it for this particular year. That is on the volume front. And the price rise has been different for different kind of country liquors that we make, but on an average if you can think of, it's anywhere between like INR 15 to INR 25 per case, across this spectrum that we operate, right? So, that's where the entire growth story comes in.

Rohit Sinha

Secondly, on the JV side. I mean, again, in this quarter, some subdued number was there from the JV side. So, basically, how we should see JV performing in the second half ? Considering the kind of environment right now is there in the market? Any thoughts on that?

Rupark Sarswat

Yes. Some bit of it is a repetition on what I said. The pressures on the JV have had largely been on account of increased input costs. It has been account of ethanol costs. We expect that based on some of the actions that I just said that margin will improve, which will also help JV to improve its margin. The JV has a plan in place. I think the plan is to look at increasing manufacturing in India, indigenization, increasing competitive products, looking at exports. We also know that exports, however, has been slightly more challenging than what we had expected initially.

And it is largely because outdoor markets like Europe, et cetera, as you know, from the performance of various global specialty chemical company in the current environment have been facing some headwinds. So, given that the situation and the market situation is it is what it is, particularly in the exports. But the actions that we're taking in terms of trying to reduce the ethanol cost for the JV, should help improve their margins in the second half for sure.

Rohit Sinha

Okay. And what is the status on the payment we were about to receive from Clariant on this JV deal?

Anand Singhal

Payment to whom?

Rohit Sinha

I mean, we are supposed to receive from Clariant for the final.

Anand Singhal

That payment is as per the due dates, what I have understood from the question.

Moderator

Next question comes from Marsal L, an Individual Investor. Please go ahead.

Marsal L

My first question is regarding some, I think, nuance in the PPT. So, I think the quality of PPT can be improved, like somewhere they are mentioning NSU. We don't understand what is NSU. So, if you can just put an abbreviation at the end of the PPT so that we can understand. So, it will define it's mentioned that an NSU Phase 2 is going to start from the end of 2023. So, what does it mean, this NSU, and then during this call you mentioned that we are increasing Capex to 400,000 liters. Is it the same thing or what?

Rupark Sarswat

Your first question is regarding the abbreviation. Sorry, we had assumed that as we spoken about several times ago, but we will put the abbreviation. It stands for the New Specialties Unit. Okay. And your second question, can you please repeat?

Marsal L

Yes. Second question was, during this con-call you mentioned that for certain products you are increasing the capacity to 400,000 by end of this year, and then, to 500,000 by March. So, what is it? Do you mean to say, are we going to do just ethanol or something else?

Anand Singhal

This is relating to grain, and the c
apacity will become 400 KLPD by December and 500 KLPD by March.

Marsal L

So, what is the current capacity?

Anand Singhal

Current is 300 KLPD.

Marsal L

So, for both Gorakhpur and Kashipur.

Anand Singhal

No, this is only for Kashipur.

Marsal L

But like last time, I remember, like, last year, we started these two constructions and then we said that both are going to be commissioned during the last year. So, you want to say only one we have commissioned, second we didn't commissioned yet?

Anand Singhal

Last year, we did Kashipur for 180 KLPD and Gorakhpur for 110 KLPD, which is in operation. So, 180 KLPD distillery has increased to 300 KLPD till now, and we are further increasing to 400 KLPD and 500 KLPD. And it's not from 110, we are adding one more distillery 180 KLPD, so Gorakhpur capacity will become 290 KLPD. I think it's clear to you.

Marsal L

Okay. And then, you also mentioned that the landed price is 500,000 currently, for this ethanol. So just to understand it, the government is paying about INR 56 to INR 63 depending upon the B heavy, C heavy or

the cane juice. So, is it like whether the government only they are buying directly what is produced from India or like somebody can just import and supply to them also or like why they are not importing directly from the overseas market?

Rupark Sarswat

Yes. It is not allowed. You cannot import grain-based ethanol from US and put it for blending because the rationale for blending is several folds. The rationale for blending is to reduce Indian forex outflow, which will not happen if you import and blend it. The second rationale is to increase farm sector incomes, which will not happen if you pay famers of US. And the third rationale is also to increase farm sectors and do something with the damage grain which is lying in the warehouses. So, the government does not allow you to import ethanol and blend it for biofuels. You can only use it as an intermediate for chemicals.

Marsal L

Yes, sir. So, whatever we are producing ethanol, how much we are selling approximately to the overseas?

Rupark Sarswat

I'll have to look at the numbers, If you can give a question, I'll tell you how much are we selling. Just one second.

Marsal L

What's the email address sir, to which one?

Rupark Sarswat

So, I think we are selling something like close to 70 lakh liters per month right now, which will continue to increase to something like 140 to 150, during April, May, June, kind of period as we add the capacities that Mr. Anand just said we would be adding.

Marsal L

And what's the price, sir? What is the price for the grain-base, like is it a premium to the cane juice or B heavy molasses, like what kind of price selling?

Rupark Sarswat

It is at different prices. We are not doing cane juice. We are only doing largely grain. We are not selling cane juice or B heavy, C heavy, too much to biofuel. We are doing grain-based.

Marsal L

No, sir. I understand that. I'm only asking that what is the price approximately for grains? Is it more than the cane juice B heavy or is it less than the C heavy?

Rupark Sarswat

I think our average realization is around INR 63 to INR 64.

Marsal L

INR 63 to INR 64, Okay. The other thing you mentioned that it is a Bacardi, we are going to bottle. So, what kind of additional revenue and the EBITDA margin we can project for this one? And when it's going to start?

Rupark Sarswat

We didn't talk about Bacardi. Can you repeat your question?

Marsal L

No. In the PPT it is mentioned about Bacardi. That's like you have a tie-up with Bacardi for bottling of their products at the Kashipur bottling unit.

Rupark Sarswat

So, what's your question? Yes, there is a tie-up.

Marsal L

My question is that,

when it's going to start this bottling for them and providing to their customer and what kind of revenue and margin we can expect from this one in the year, in a quarter?

Rajesh Marwaha

Bacardi is a running business for IGL. We have not projected any additional business on Bacardi, that's a regular going on business. The Bacardi bottling plant is at Kashipur facility where we are supplying EMA for them.

Marsal L

Already going on there?

Rajesh Marwaha

Yes.

Marsal L

Okay. So, in the Slide number 8, like it is sentence mention. I'm reading sentences, maybe I'm not able to understand or there is some a mistake here. It says, Shakumbari Sugar and so and so, subsidiary of IGL received the last and final tranche of INR 11.76 crore on 8th September 2023, for the sale of IGL entire stake in SSAIL in addition to advance amount of INR 78.7 crore. My question is that, if IGL is selling its stake in Shakumbari, money should come to IGL, why the money is going to Shakumbari?

Anand Singhal

IGL is holding shares of Shakumbari Sugar. And Shakumbari Sugar has been sold out to some XYZ party. So by this, the IGL has transferred its holding to the new buyer. That's what we want to say.

Marsal L

No, sir. Sorry. IGL is holding stake in Shakumbari. Right? So, IGL is a shareholder of Shakumbari. And IGL has sold its stake to third party. So, if IGL selling its stake in Shakumbari to third party, then the money from third party must come to IGL, not to the Shakumbari.

Ankur Jain

See, as a part of deal, if you have read our disclosure to the exchanges. We have already clarified that the share has been transferred at a fair value. The balance amount has been stocked into or put it into

Shakumbari by the buyers to discharge the ICD or liabilities of Shakumbari. So that is why most of the money has come into Shakumbari, not to IGL. If you have seen the disclosure of IGL in the market during the last 1 year.

Marsal L

No, I remember. I remember once we said, something about INR 3 crore, something we sold our stake.

Ankur Jain

No, we have never said it INR 3 crores. The total value whatever Shakumbari has received is around INR 90 crore. And IGL has received about INR 30 lakh or INR 35 lakh. This is categorically mentioned in the disclosure made to exchanges. Can you refer the disclosure which you're referring to?

Marsal L

No, here I'm just reading this Slide 8.

Ankur Jain

So, Slide 8, we are saying Shakumbari has received INR 11.76 crores, that's right. For sale, when we say for sale, means it is a part of the transaction. You want to elaborate more on the deal part, because this deal has already been consummated during the quarter and adequate disclosures are in the market. So perhaps it was our intent to convey to the market as a part of the slide, but adequate our disclosures are already placed in the market. Maybe if you wanted to add one or more to sentence for the clarification, that we can always add.

Marsal L

Yes. So, like here it's not clear that why the Shakumbari, like, so if you're going to complete sense or like it will be easier, sir.

Ankur Jain

Good. But I think adequate disclosures are there in the market as such.

Marsal L

My last question is just regarding premiumization of our alcoholic products of our IMFL. So, as we can say that recently one of our Indian companies Whiskey has been rated our top 10 in particular kind of competition or whatever you can say. So, what's the plan to premiumize this whisky, vodka or whatever we are doing so that, that can directly increase your profitability?

Deepak Satya

To answer your question, the premiumization efforts that we are currently taking in is basically to introduce certain brands which are currently higher about the kind of price point that we operate in. We don't want to take the names of the competition right now, but it's kind of like a regular whisky segment that we are trying to target in, and there we have a kind of like a scope of better realizations currently. And on the vodka front, of course, the market is pretty much open because there are a limited set of number of players who are there. So, we want to introduce a higher grade of a vodka brand. So basically, like, our existing one becomes a carrier for that particular premium one. These are two categories we are working in right now. And also, on the Gin front, we will be seeing certain kind of a premium Gin coming in.

Moderator

I'm sorry to interrupt you, sir. Sir, I am sorry to interrupt you. Just a moment. Dear participants, kindly stay connected while we connect the management team back on the call. I welcome back to Chairperson, please go ahead.

Marsal L

Yes. So, you mentioned that we are going to open this Rajasthan market for our product, for alcoholic products. So, are you also trying to open some other market like Haryana, Punjab or MP?

Deepak Satya

Yes, we are in talks with a couple of the people out there. We are currently working upon the distribution channel network.

Marsal L

Because that will increase our sales also. So, one clarification, if we compare our standalone PBT and consol PBT, there is a hardly increase of INR 2 crore. Whereas we have one of the major entity in

consolidated, Clariant JV. So, does it mean that we are making only INR 2 crore in a quarter from Clariant as well as four-five other subsidiary, whatever we have? So, how is this Clariant JV heading now? Is it facing some headwinds or what?

Anand Singhal

Regarding the Clariant, the INR 2 crore is the profitability. And when we are consolidating, so the profitability is the figure which we are consolidating. I think our CEO has already explained that there are some cost pressure because of the higher alcohol costs so that they are getting the EO on the higher cost. So, that is the pressure which Clariant is facing and that's why the current quarter is not good as they or we expect. Maybe in the next quarter onwards, they start getting benefit of the lower alcohol cost.

Marsal L

Okay. And my last humble submission that during call we also mentioned, sir has just now explained that we are going to increase the ethanol to 400 KLPD and then 500 KLPD from this one. None of these things have been mentioned in the PPT. So, from going forward next time, suppose regarding all capacity, if you can give more detail in the PPT, so it will be more clearer to the investor and the analyst and it will be informative.

Anand Singhal

Okay, we will do.

Moderator

Thank you, sir. There are no further questions. Now I hand over the floor to management for closing comments.

Rupark Sarswat

Thank you all for your interest, and I'm sure you've looked at a lot of details because you're interested in IGL, and we have hopefully tried to respond to you and answered your queries. So, thank you very much for this meeting and giving us time. Thank you from myself and my colleagues over here and wish you all a very Happy Diwali.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha’s conference call service. You may disconnect your lines now. Thank you and have a good day

(This document has been edited for readability purposes.)

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Call: Feb 2024

9th February, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q3FY24 Earnings Conference Call

Further to our letters dated 25th January and 5th February, 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q3FY24 held on Monday, 5th February, 2024 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

India Glycols Limited
Q3FY24 Earnings Conference Call

February 05, 2024

MANAGEMENT: MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER

MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD, SALES & MARKETING (BSPC)
MR. S. K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: MR. ROHIT SINHA – SUNIDHI SECURITIES LIMITED

Moderator
Good evening, ladies, and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to India Glycols Limited Q3 FY24 Earnings Conference Call. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. Rohit Sinha from Sunidhi Securities Limited. Thank you, and over to you, sir.

Rohit Sinha

Thank you. Good evening, everyone. Thank you for joining us on India Glycols Limited Q3 FY24 Results Conference Call. We are joined on this call with India Glycols management represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head - Sales and Marketing (BSPC); Mr. S.K. Shukla, Head-Liquor Business; and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks post which we will have a Q&A session. Thank you and over to you, sir.

Rupark Sarswat

Good afternoon, everybody, and thank you for joining us for this investor presentation. As we normally do, I will take you through a quick update on the performance of IGL so far in this quarter and nine month and my quick comments on that and subsequently we can take questions. So, as you would have seen, it was a strong overall performance with robust growth in revenue and profitability for IGL. Our gross turnover at INR 2,119 crores was up 39.0% for the quarter. As you know, there is a very high excise component in our gross turnover. Our net turnover of INR 904 crores was up 63.3% for the quarter. Similarly, EBITDA at INR 107 crore for the quarter is up 40.3% and EBITDA margin at 11.8%, PAT at INR 42 crores up 90.1% and PAT margin at 4.6% up 68 basis points. As I will talk about it briefly a little later all three segments for us which we classify broadly as Bio-based Specialties and Performance Chemicals.

I was saying that there has been a strong overall performance with robust growth in revenue and profitability in all three segments delivering a strong double-digit revenue as well as profit growth. There also has been a strong margin growth in all the segments, particularly led by potable spirits for the quarter. If you look at the yearly performance, our gross turnover at INR 5,882 crores is up 17.0% and our net turnover at INR 2,368 crores for the nine months is up 16.6% as compared to the same period last year. Our EBITDA at INR 319 crores is up 45.6%. Our EBITDA margin is at 13.3% which is also up 267 basis points, and our PAT is also up 79.0% at INR 131 crores. So, on a nine-monthly basis also there is a strong revenue and profitability growth, particularly led by good performance in potable spirits and bio-based chemicals and specialties As I mentioned with a positive start in Biofuels, we expect to do better in the coming year as well. Amongst other things that we have spoken about, our actions to put in grain-based ethanol plants was timely and has helped us in mitigating the cost increases. And we've also discontinued some low-margin domestic business which has also helped overall performance. If you

look at business performance and drill down a little bit more, our gross revenue is up 39.0%, net revenue of 63.3% what I already said.

For the chemicals segment, which is BSPC, the net revenue grew by 87.8% in the quarter. For potable spirits it grew by 30.1% in the quarter over the same quarter last year, and for Ennature Biopharma it grew by 21.8%. Overall EBITDA grew for 40.3%. And if you look

at the nine monthly basis, it was supported by a strong growth
particularly in BSPC and Potable Spirit segments which is 15.4% and 23.3% respectively. As I mentioned to you, we have benefited from our actions really, wherein the fact that we are putting grain-based ethanol plants which

have helped us mitigate cost increases which have been very useful. Ethanol prices have continued to be high, but they have come down compared to the earlier very highs.

I have broadly indicated to you that for a long period of time import of ethanol prices have hovered around INR 35 or so before during the COVID period and the energy crisis and everything coupled together they went up to even INR 60 plus rupees a liter. They are significantly down and we have been booking imported ethanol for future requirements and we expect that those cost gains will start to come in Q1 onwards when we start to receive deliveries at those lower prices. What it also means is that the grain-based ethanol that were using for in-house use is something that we can divert to biofuel and use in-house or imported ethanol for our chemical business.

Another small bit of satisfying update from my side is that we have completed part commissioning of the new specialties unit, which is a relatively smaller investment and we expect to commission the unit completely by around Q1 of the coming financial year. We are seeing a healthy pipeline and good commercialization of new products and I'm sure in the quarters and years to come you will see this business growing as well. As a part of our strategy to diversify into the biofuel space segment, as we have kind of reported in the media as well, we have got a biofuel supply allocation. I have mentioned order, but I think the correct word that can be here is allocation of, this is 1,65,490 KL of ethanol, which is to be supplied between November 2023 and November 2024.

It has a potential revenue impact of roughly INR 1,100 crores for the year. So, we see this potentially as a growth area for us. Even for the joint venture, there has been a strong recovery in margins driven by reduction of material costs. So, for the quarter, the revenue for the joint venture is up 6% and EBITDA is up 118%. Essentially because the gap between price of say competition which is crude based ethanol sold in India and ethylene oxide that we supply to the joint venture has reduced. We expect that this trend will continue in the subsequent quarters and hope to see further reductions.

I'll give a quick highlight by the three business segments. So, talking about Bio-based Specialties and Performance Chemicals for Q3 revenue at INR 609 crores is up 88%. I must add here that in this top line there is a significant contribution of what we are selling to biofuels now as well. EBIT at INR 38 crores is up 26.5%. The 9M revenue is at INR 1,518 crores up by 15.4%. And we also mentioned that, internally, we also look at businesses from a like-to-like perspective.

Moderator

Hello, sir. Hello. Dear participants, kindly stay connected while we connect the management team back on the call. I welcome back the management team. Please go ahead, sir.

Rupark Sarswat

Yes. Sorry about slight disruption which happened because of the audio system. I was talking to you about Bio-based Specialties and Performance Chemicals. Where, I said that some contribution in top line growth has also come from the biofuels that we are selling now. I must also add that we look at our business also on a like-to-like basis. And if I look at the business on a like-to-like basis taking away, particularly, the manufacturing segment, on a like-to-like basis, within BSPC, our sales for the quarter are up by something like 50%, and for nine months they are up by something like 28%. So that is more to say that whilst we have discontinued some nonprofitable business, some of it

just trading business, our core manufacturing business has seen a decent for a very good recovery and growth in the chemical space as well.

As you know, we've developed a new biofuel portfolio which we expect will continue to add to our top line and bottom line in the quarters and years to come, and we have also focused on reducing some low-profit domestic business. Our focus for the years to come will also be the new value-added product or the new specialities unit which is in the process of getting commissioned. And in the quarters and years to come, we will start to see better numbers in this segment as well. In the Potable Spirit space, there has been a very good quarter for us with revenues up 30.1% at INR 244 crores and EBIT at INR 41 crores up 49.9%, and with a good EBIT margin of 17% up 224 basis points which is essentially on the back of improved portfolio as well as reduction in costs of ethanol, packeting material, et cetera. 9M revenues at INR 700 crores are up 23.3% and the sales essentially have been driven by country liquor sales growth which is excellent in Uttarakhand, and UP being a big market for us has seen good steady growth as well.

IMFL or Indian Made Foreign Liquor growth has been led by sales expansion, mainly in the paramilitary segment where our presence was relatively low, where we have expanded to 13 states, and also IMFL sales in Delhi, which have been significant contributors in driving the IMFL sales for this quarter as well as the year. In-house manufacturing of ethanol has not only helped us in the BSPC segment but also in the potable spirit segment, both from a supplier perspective as well as from a cost perspective. We've also been focusing on premiumization and improvement in the width of distribution, which is also yielding results both in terms of top line growth as well as quality of the business.

In Ennature Biopharma, we've visited a Q3 revenue of INR 51 crores up 21.8%, EBIT of INR 12 crores up 16.2%, 9MFY24 revenues at INR 149 crores and EBIT margin of 21.2%. We've had continued pressures, particularly on nicotine sales, because it's becoming a competitive market with more and more players. However, our efforts have been on building value-added pharma customers, which we believe will start to result in the times to come.

Fortunately for us, our position on the raw material has been stronger and there has been an upward trajectory in prices, but we had our bookings which has resulted in better margins for Thiocolchicoside & Colchicine. Broadly our focus also has continued to expand nutraceuticals in the key global market.

I will now hand over to my colleague Mr. Anand Singhal to take you to the financial. Anything else you would like to add? Okay. So, I think we will leave it for you to then ask us questions on financials or all the business. We can then take them to the Q&A.

Q&A

Moderator

First question comes from Bala Subramanian from Arihant Capital Markets. Please go ahead.

Bala Subramanian

Good evening, sir. Congratulations for good set of numbers. On the earlier call, the guidance was around INR 3,500 crore top line by end of this year. Is there any change in that guidance? And we got recently one order of INR 1,164 crore. Is that fair to assume around INR 300 crore revenue per quarter from this order we can expect? Because the order supply period is around November 2023 to October 2024. What's your view on that?

Rupark Sarswat

So, Bala, two points. One is that we do not generally issue specific guidance, there may have been some discussions. But my broad expectation for the coming quarter and for the year is that we expect the current business performance and the environment to continue. And that would guide you towards the kind of results that we would expect. The other small correction I would like to make for the purpose of bein

g precise is on
biofuel. It is an allocation and not exactly an order.

While we expect that this allocation, will translate into supplies which is what these big oil companies usually do. But I must mention that it is an allocation and not a purchase order for that period. However, from an allocation perspective, obviously it is a contract. And it will be fair to assume that depending on the macroeconomic environment, depending upon the policies of the government and some other factors which sometimes may affect biofuel blending from time-to-time. This kind of top line growth is something that we would like to potentially see from this allocation.

Bala Subramanian

Got it. On the second side, on the JV Clariant side, what would be the top line; and on margin side, what kind of opportunities we have in this business?

Rupark Sarswat

See, we have discussed this before. The joint venture actually caters to several consumer markets, which includes personal care, coatings and polymers, top care, textile auxiliary. Largely based on soft plates. And we did face some challenges last year like we faced in our business because of raw materials cost for biobased material is going up. However, with the difference in prices between crude and bio-based material is coming down. We expect that the joint venture will continue to grow with the end market, which is what I have mentioned. But it is difficult for me to give you a precise guidance on how the performance would be. Obviously, the joint venture has been formed because these are growth areas in India as well as in the world, and we also supply bio-based products which are considered greener.

And on the whole, if I have to not call it a guidance, but see what's happening in future, I think with the cost of materials coming down or the delta between food-based ethylene oxide and bio-based ethylene oxide that we supply, reducing and reducing further in the quarters to come, we should see a better performance from the joint venture. Not only in the quarter which I just mentioned, but in the quarters to come. That is what we would expect. And given the volatility that we have seen, I would hesitate from giving a longer-term guidance in terms of numbers. But qualitatively, the rationale for the business and the fundamentals of the business, I just mentioned to you, and we are optimistic about how the joint venture will do in the times to come.

Bala Subramanian

Got it, sir. On that chemical business side, whether the growth is majorly driven by volume growth, volume-based or price-based. If you go to bifurcate segment-wise, which are the segments are doing good. If you could talk about the demand environment on those segments? And what are the things are shaping up overall global levels, especially in China and how the competition is there?

Rupark Sarswat

Okay. If you look at the chemical segment for us, the way we have covered it right now, it has biofuels, which I talked about. We are looking at new value-added chemicals, which we talked about. We have a small segment in biopolymers. We also have a segment in industrial gases, and we have segments in glycols and glycol ethers. So, there are several factors which—

Moderator

I'm sorry to interrupt you, sir.

Rupark Sarswat

Yes, please. Okay. So, he asked me a question on chemicals. As I said, when we talk about chemicals, our big top lines will be driven by the biofuels business, will be driven by the glycols and glycol ethers business, mainly. Also, we have smaller segments, which is biopolymers and industrial gases, etc., within chemicals. We believe that particularly biofuels and new specialty chemicals, value-added chemicals will drive growth in the near future, definitely. As you've seen, I've already given clarity on the biofue

l segment in terms of bio-based ethanol, which
goes for blending. We are just in the process of commissioning our new specialties unit, where we see that we've got a strong initial pipeline. But as you would realize, these are initial days for the business. I would rather have the numbers speak for them in the quarters.

So that we will continue to drive, not only in the next year, but hopefully in the next few years. We are quite optimistic about it. We have done some good work, particularly in, say, the oil field segment. And we are looking at some other segments, like biomime, plasticizers, carbon smart products, etc. On the glycol front, bio-based glycols, we expect that we will see a steady increase in growth of bio-based glycols. There was some challenge because the prices of bio-based products had gone quite high. But we are seeing a slightly favorable shift as prices of bio-based ethanol are looking down. So, we will continue to see steady growth there as well. On glycol ethers, we have faced some challenges.

Okay, coming back to glycol. See, I would like to add a few things that our glycols business, just about five years ago I am talking about was quite different from how it is today. It is because our bio-based glycols were largely being sold to one customer, which was Coca-Cola and which was high volume and largely one customer dependent. The good thing is that now we are engaging with 15-plus customers which we are supplying in various parts of the world.

Moderator

I'm sorry, sir. Disturbance is from Bala Subramanian line, sir. He got dropped. Shall we move to next question?

Rupark Sarswat

Yes, please. Thank you.

Moderator

Thank you, sir. The next question comes from Saket Kapoor from Kapoor & Co. Please go ahead. I repeat. Question comes from Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Yes, sir. Namaskar, sir, and thank you for this opportunity. Sir, I just missed some part of your remarks to the previous participant. So, pardon me if I'm repetitive. Sir, firstly, taking into account the current scenario with respect to the raw material, we may expect an increase in margin for our bio-based specialty and potable spirit going ahead. That is a good understanding?

Rupark Sarswat

I think that's a fair expectation based on how we at this point in time see imported bio-based ethanol prices coming down. However, I may need to say that with caution as far as biofuels and potable spirits is concerned. And the reason I'm saying this, I am not so concerned about the top line. The reason I'm saying this is that the dynamics of the two is different. Whilst for chemicals, we can use imported ethanol as well as ethanol produced within India either by ourselves or purchased domestically by us. However, for potable spirits, we can only use ethanol which is produced in India and for biofuels, there is a predetermined price by the government on various feedstocks, C heavy molasses, B heavy molasses, cane juice and damaged rice or FCI supplied rice and MEG, etc.

Which means that our profitability can get affected based on price movements of two or three things, which is the grain that we buy or the molasses that we buy, as well as sale price of one of the byproducts, DDGS, which is a protein into the market. So, while it is a reasonably fair assumption for bio-based chemicals, and however it is not something that I can exactly predict for potable spirits as well as for biofuels. Within potable spirits, there is a cost factor which involves cost of ethanol. Yes, this year it has benefited us because instead of buying we have been producing grain-based ethanol. But grain-based ethanol costs can be variable in the future as well. But the larger focus in the potable spirit space for us is about expanding, one, to selected new markets and also improving our product mix.

So, does that answer your question, Saket?

Saket Kapoor

Yes, sir. I got the understanding. So, my next question was also pertaining to this policy framework, pertaining to both our potable alcohol as well as bioethanol segment. In terms of I think so, for this sugar season, the levy molasses percentage has also been increased by the Uttar Pradesh government. So, how does that gel for us as a company in terms of the purchase of molasses, as levy molasses percentage goes up?

S. K. Shukla

See, this is a good part in UP because government is giving the full security in the raw material, availability of raw material as well as the price both to the manufacturer of potable liquor. So, this year also as compared to the last year when the reservation percentage was around 19%, now the government has increased from 19% to 26%. So, we are assuming that next year would be the very comfortable year for the potable spirit manufacturers in UP as

far as the raw material is concerned. So, we are hoping that margin should be fair in the coming months from the

Potable Spirit sector.

Saket Kapoor

Hi Shukla ji, like you're saying and we also got some price increase in potable alcohol segment. So, that will aid our margins only going ahead, since the cost is not going to go up.

S. K. Shukla

Yes, certainly we are hoping that and now this year new segment of the grain ethanol this government has added in 36 degrees. So, we are hoping that the coming years will be the more good months for just evaluating or just increasing our potable production for the grain in UP annual category in the 42.8 and 36 degree. So, these two steps are good for the industry.

Saket Kapoor

My question to Rupark, sir. When we look at our number for the company sequentially, we find that for the bio-based specialty performance and also for our potable alcohol, we see a dip in margins. You were alluding to the fact that margins have improved YoY, but how? Please correct me here. When we look at our September quarter performance with December quarter for both the segments, it is only the Ennature Biopharma wherein we have seen an expansion in margin. Both the other segments, there is a dip in margin with the commensurate revenue the margins have taken a hit. So, if you could explain the key reason why these two segments have not performed with the increase, why there is a reduction in margin.

Rupark Sarswat

You mean in margin percentage?

Saket Kapoor

Correct sir. On a top line of INR 508 crore for September quarter for bio-based, we posted an EBIT of INR 40 crore. Whereas for this quarter, on a revenue base on INR 610 crore, the EBIT is INR 39 crore and simultaneously for potable spirit also INR 1316 crore had INR 40 crore of EBIT, and now INR 1459 crore had INR 41 crore, we can see contraction in both the segments. If you can explain this anomaly?

Rupark Sarswat

See, as far as this quarter for bio-based chemicals is concerned. Overall, the number we have shared with you for the business, all the margins are not only coming from Ennature Biopharma, that is a relatively lower contribution. So, if you see, there has been a margin expansion in BSPC from at an EBIT level for the quarter from 30-38 and for 9M from 80-121, right?

Saket Kapoor

Yes, sir, continue.

Rupark Sarswat

So, we had an overall margin expansion, margin meaning overall absolute margin. But in terms of percentages, let me just have a look, I have the numbers. In terms of percentages, there is a slight drop for the 9M period for chemicals, and it has also happened because of grain prices going up quite sharply. And for the time being, there is a lag between before the government acts to revise the prices etc., which also as far as I understand they have revised efforts, so that

eroded some margins. That impacted the percentage margin for us.

Saket Kapoor

Okay. And lastly sir for Ennature Biopharma. In your presentation, you have articulated about nicotine sales continue to face pressure, but also you have pointed out to strong raw material position in an upward trajectory in Thiocolchicoside and another word terminology you have used. So, if you could give us the trajectory of what the likelihood should be? Because we are flat on the Ennature Biopharma for the 9M. So, how are we performing in this segment? And sir, the base that's being prepared for the next year, what growth can we expect depending upon the business environment?

Manish Pant

Saket, Manish this side. So, as far as nutraceutical is concerned, first two quarter was in stress, no doubt. But in Q3 we have a recovery, not only in margin but also in sales volume. And the Q4 is going to be remained same as Q3 or it could be more than the Q3. So, we are going to end the whole of the year as far as the nutraceutical is concerned at par with the previous year at least, if not less. With respect to the next year guidelines, in nicotine, no doubt, it is under pressure as far as the export is concerned.

So, we are now developing the nicotine derivatives for which we have already backed some very good orders from the local manufacturing of the tobacco-related and the nicotine patches related companies. So, I hope that nicotine will recover somewhere in the Q2 of the next year. And Thiocolchicoside, right now the prices are very

good and we are having quite raw material already available with us in the lower margins, in the higher margins with respect to the preview prices. So, I think the first two quarters would be same as the Q3 and Q4 of this year.

Saket Kapoor

If we get the split between nicotine and Thiocolchicoside out of this INR 50 crore, what should be the percentage or even for the nine months if you could give the split between the two?

Manish Pant

As far as Thiocolchicoside, there is a very much price difference in that. Like Thiocolchicoside is a very high-value item like INR 4.25 lakhs per kg and on the other nicotine is hardly INR 7,000 per kg. So, the value comparison would not be there. As far as the EBITDA percentage is required to maintain the overall EBITDA. Thiocolchicoside is certainly going to give some very good margin to us. And nicotine, we are trying to recover and trying to increase the margins by adding the new derivatives in the nicotine segment, not pure nicotine.

Saket Kapoor

Okay. And last point to Anand Singhal ji is about the finance cost part, sir. If we look at the number again for QoQ also and I think for YoY also, there is a significant increase from INR 26 crore to INR 32 crore. So, Anand ji, if you could give me, first of all our current debt numbers, what is our net debt as on 31st December and what has led to this increase in the finance cost?

Anand Singhal

Saket, finance cost has increased because of the recent expansion for which we have raised some term loans, and that is in our radar to reduce the finance cost for which we are taking some measures. As far as the term loan is concerned. Sorry. Net term loan as of 31st December it is around INR 650 crore.

Saket Kapoor

And our working capital, sir?

Anand Singhal

Working capital, Fund-based working capital is INR 350 crore and non-fund-based sanction limit is INR 850 crore.

Saket Kapoor

INR 850 crores. For the 9M how much we did on CapEx, how much have we spent?

Anand Singhal

Till 9M, the total work in progress in our book is around INR 414 crore and hopefully the CapEx for about INR 300 crore will be completed by 31st March which will be capitalized and rest of the funds will be shown under CWIP and which will capitalize

in next year when the CapEx will be completed.

Saket Kapoor

Okay, sir. If the time permit, just a small observation. We have found that this time Pragya madam has chaired the meeting. Any particular reason or do you generally find Mr. Bhartia there? Anything to be mentioned? Succession planning or what could be? Anything to read about it, sir?

Ankur Jain

Please don't make any speculation or like that. Mr. Bhartia was not well that time.

Anand Singhal

You would have noticed, we have not noticed Saket this thing.

Saket Kapoor

Okay sir. I wish him a speedy recovery.

Moderator

Thank you. Next question comes from Bala Murli Krishna from Oman Investment Advisors. Please go ahead.

Bala Murli Krishna

Hi, good evening. This is my first call. First of all, I would like to say that I've gone through Annual Report and it's a very well described product wise and category wise. This is one of the best Annual Report I came across. Regarding this distillery segment I have a few questions. So as of now, we have around 340 KLPD capacity and we are going to add 700 KLPD in the coming maybe three-four quarters. Is it right sir?

Anand Singhal

Right now, in Kashipur we have 400 KLPD grain-based distillery which we are further increasing to 500 KLPD. In Gorakhpur, we have 110 KLPD distillery which is working right now and adding 180 KLPD distillery more in Gorakhpur, which will be completed say in 2024-2025.

Bala Murli Krishna

But sir, in recent action selling and in Kashipur I think we are showing that existing capacity at 140 KLPD.

Anand Singhal

That is biofuel not distillery.

Bala Murli Krishna

Biofuel. Okay, understood. So, my question is regarding this biofuel only.

Rupark Sarswat

I think it will just be good to understand that we produce ethanol. This ethanol, basically, is produced using various feedstocks which include grain and molasses, both at Kashipur as well as Gorakhpur. This ethanol is then used for potable spirits, biofuels as well as potentially as an intermediate for chemicals. So, this interlinkage, it is good to keep in mind, and sometimes if we understand that, we will be aligned in terms of our understanding. Okay, please go ahead.

Bala Murli Krishna

So, regarding capacity additions. Are we planning to sell all the ethanol to OMCs or do we have any plan to use for captive consumption also?

Rupark Sarswat

Look, it is a dynamic situation for us where we evaluate, what is the best mix for us to sell into potable, to put it into potable spirits, which obviously gives us good returns per liter of ethanol, to use it as an intermediate for chemicals or to sell it into biofuel segment. The reason I'm saying this is that, for example, when imported ethanol was very expensive, we diverted significant quantities of our grain-based ethanol produced in-house as an intermediate to the chemical segment. Now that imported ethanol prices are correcting, it makes sense for us to start importing ethanol for intermediate use in chemicals and divert higher quantities into biofuel. So, it is a combination of demand and allocation that we have got, the price of imported ethanol, the realization that we are getting in potable spirit.

What we find is that given the scenario that I more or less see for the year ahead, based on how we see our businesses going, we will be able to place all our excess feedstock in terms of ethanol into the biofuels market. We should not have a problem in filling up our plants there. And that is obviously based on allocation that the

government has decided, making some assumptions with respect to grain availability, making some assumptions with respect to imported ethanol. We believe going forward for some time we will be buying, getting back to buying imported ethanol

for chemicals, and releasing more and more capacity of grain-based ethanol for biofuels, obviously after covering for our potable spirits.

Bala Murli Krishna

Okay sir, understood. Thanks for the explanation. So, sir, regarding this 700 KLPD, normally 200 KLPD can contribute approximately INR 500 crores of revenue on annual basis. So, the 700K LPD can contribute around INR 1,700 crore of revenue with the EBIT margins of around 16-18%. As I compared with the peers, I'm tracking them also. So, is it the fair assumption, sir, in your case also?

Rupark Sarswat

See, I have already indicated to you the biofuels part of the turnover. I also mentioned to you that it is not as status calculations for us to assess turnover for our case because our ethanol can go into intermediate use, will go into potable spirit where it will go as intermediate. Now, you are probably making an assumption for a plant which only produces ethanol and sells all the ethanol that it produces. And also, you may yourself need to check your numbers based on the cost which can be very variable in terms of margins which as far as I understand, that is not the margin that industry is making on selling biofuels at this point in time. It was the case earlier, but not at this point in time.

Bala Murli Krishna

Okay, sir. And regarding the feedstock for these new capacities, which feedstock we are preferring and are there any sourcing already happened like long term contracts of feedstock, raw material?

Rupark Sarswat

Can you please repeat your question? I'm not very clear.

Anand Singhal

I think you are asking about grain supply, no?

Bala Murli Krishna

Yes.

S.K. Shukla

So, as of now, government is not giving any sorts of guarantee for long-term supply of grain. Though they are very curious, and they wanted to divert all the ethanol, grain-based ethanol, manufacturer to the major raw material. And for that, the different types of schemes, policies are going to be amended by the central government for promotion of the cultivation of maize based. And we are also aggressively working on that. So as of now, the distilleries are free to take the grain from the open market without any supports of the government. Hope this is clear.

Bala Murli Krishna

Yes, sir. If we assume that there will FCI rice supply, rights will not be resumed. Then, do we have any maize or plan to run based on maize?

S.K. Shukla

Yes, certainly. So, now the central government has already involved the method for the procurement and supply of control based MEG to the distilleries. But it will take another two to three years because it requires a huge extension of the whole supply chain management. I'm talking about the storage of corn. Right now, it is not available. So, it will take certainly two to three years. But certainly, industry have a better hope. And the government is giving the incentive for the supply of ethanol from the maize based. So, still it will take another 18-20 months to get the sufficient corn in India. But certainly, the corn would be the future.

Bala Murli Krishna

Okay, understood. And lastly on CapEx cost, sir, for this Gorakhpur.

Moderator

Sorry to interrupt you. I request you to join back the queue, sir.

Moderator

Next question comes from Prasanth Shah from AM Investments. Please go ahead.

Prasanth Shah

Hi sir, just wanted to understand in our JV with Clariant, what is our pricing strategy for selling it ethylene oxide? Whether it is cost-plus basis or it's a dynamic?

Rupark Sarswat

So, it is not dynamic. I think the kind of agreement that we have. There is a nominal margin which has been built in and it is done on that basis. That's a part of the agreement.

Prasanth Shah

Okay. Recently we have commissioned this

solar plant. So, what type of savings can we expect on the energy costs?

Rupark Sarswat

It is something where we are in agreement with ReNew Power for hybrid power, which is solar and wind power. It is something that initially was expected to start delivering power to us in a period of two years. I think there have also been certain policy changes, etc. So that is something that needs to be reviewed. However, the expectation at the point of the contract was that it will get started early next year which is probably 2025, and it had a payback of close to two to five years.

I must add there that there is some ongoing discussion based on some policy changes and I am not in a position to completely update, and neither have we built in those savings into any of our future projections as of now. Yes, we did announce that and we are hopeful that starts based on the original plan at the original terms. But it is something that we are reviewing based on some policy changes and the way the client company is looking at it.

Prasanth Shah

Okay. Thank you.

Moderator

Thank you. Next question comes from Ram Mohan Rao, an Individual Investor. Please go ahead.

Ram Mohan Rao

Good afternoon. Thank you for an excellent set of numbers. I just wanted to check whether for potable branded alcohol. Do you have any plan for expanding your network beyond UP, Uttarakhand and Delhi?

S.K Shukla

Yes, certainly, we are seriously looking to expand our brands in CSD and paramilitary and Rajasthan. So, we are very keen and we are looking sizable increase in the next financial year.

Ram Mohan Rao

Okay. Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have any question please press * and 1 on your telephone keypad. We have a follow up question from Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Yes, sir. Anand ji, as you mentioned that we are keenly looking to reduce our debt. I think so, sir, non-core assets we have already disposed off. So, it is from the cash flow only or what steps are in the annual? Or if you could give us some understanding, what kind of debt reduction are we going to undertake going ahead, sir?

Anand Singhal

Saket ji, it’s very difficult to give you the numbers right now. But only thing is, whatever we are planning that is in process and most of the debt repayment will happen out of the cash flows.

Saket Kapoor

For the JV part, Clariant balance amount, that we have received or how much is due from them?

Anand Singhal

I think that number is around INR 90 crore, which will come in the current year. So that will also be used for the debt reduction.

Saket Kapoor

Okay, by March 2024 we will be receiving the INR 90 crore also.

Anand Singhal

I'm not aware whether they will get till March or 2024, 2025. But this year, yes, we will get.

Saket Kapoor

Okay. And what are current maturities to us as of March? Is there any dues for us to pay in terms of the borrowing?

Anand Singhal

They have to pay in February and March, the total liability for term loan payment is around INR 45 crores.

Saket Kapoor

And that will go from the cash approved?

Anand Singhal

That will go out of the cash approval.

Saket Kapoor

Okay. And lastly, sir, Rupark ji, for the allocation part for ethanol. Have we factored in our expanded capacity in terms of the ethanol allocation that we have got?

Rupark Sarswat

When we get an allocation, there is a commitment from us to supply. And we have factored in capacities that we have. And our assessment is that if that allocation is translated to us in terms of concrete orders which we hope so, we should be able to supply. And that is why we spoke about further expansion we are required as well.

Saket Kapoor

Okay. So, our expanded capacity will be fully utilized with this allocation for the period mentioned in terms of the deliverables.

Rupark Sarswat

I think broadly well utilized. Obviously, it's a function of several factors. Including whether we are diverting or whether we are not diverting to intermediate use. But we will be operating and utilizing our capacities very well.

Saket Kapoor

Thank you and all the best.

Rupark Sarswat

Thank you.

Moderator

Thank you. Next question comes from Rohit Sinha from Sunidhi Securities. Please go ahead, sir.

Rohit Sinha

Hi, sir. Thank you for taking my question. Just one clarification I would be looking at. In last call, we have announced this thing on the CapEx side, that our capacity of grain-based ethanol would be expanding from 300 KLPD to 400 KLPD, and then probably by another 100 KLPD in six months. So, this Gorakhpur addition is included in that, or this is a new one which we are talking? And with this biofuel thing for Kashipur, how we should see this different as compared to this branded ethanol side?

Anand Singhal

Kashipur, we are making this capacity to 500 KLPD. And Gorakhpur, 180 KLPD is over and above that 500 KLPD. Okay. And whatever cost you have taken from us, that doesn't include the cost of 180 KLPD distillery at Gorakhpur. Regarding the biofuel, there is not much investment. That is hardly INR 10 crore, INR 15 crore investment which will be taken care by the company itself.

Rohit Sinha

Okay. And One thing on this tender thing from this tender side. Just to understand that how much incremental revenue we should be considering from this tender. And going forward as this is, I think recurring-based or tender-based thing. So that we will be tendering again, next year also it would be a continuous process. So, how to make it sure that this size will continue to us or there would be only addition to this kind of tender size?

Rupark Sarswat

Rohit, there are two questions that you've asked. One is future growth and how assured do we feel about that. And second, is what is the top line this will deliver to us broadly. So, I think that's in my presentation as well, in terms, and I said that the contract is on allocation. The estimate potential revenue based on the allocation of close to INR 1,100 crores in the year is already mentioned. As far as the business going forward is concerned, I would say that in a business environment, obviously there are certain uncertainties. But broadly, for us to understand whether we are in the right place and whether this is the right investment, I would like you to consider the

following. The government has clearly articulated a plan to move up to close to 20% blending by 2025. And there was hardly any blending by 2014.

The track record has been that the government has, by and large, been able to meet its target. If you see, we have moved from nearly very little blending to close to 12% blending, and the government has met its blending targets YoY. And they would like to meet the blending targets going forward to 20% and maybe even higher going forward because there is a strategic objective. The strategic objective is to increase farm sector incomes, is to find a way out for sometimes excess grains, to reduce forex dependence and dependence on oil for many other companies. So that strategic objective stays. We can only say that so far, the blending program has been on track. And by and large, some ups and downs notwithstanding, it should be on track in the years to come as well.

That is what I would like to believe gives us an assurance that this is a good business to be in. Sometimes there may be some hiccups, sometimes there may be some issues with respect to raw material availability, price, et cetera. But the broad poli

cy direction on this government is very clear. In fact, they have a proper paper on this in terms of what they want to do with the blending program. I think there is no other way except to look at that, to get an assurance that this is a business which should by and large continue to grow.

Rohit Sinha

Okay. Okay, that is from my side. Thank you and best of luck.

Moderator

Thank you. Next question comes from Makarand Tilloo from Makarand Tilloo Investments. Please go ahead.

Makarand Tilloo

Good afternoon, sir. Heartly congratulations for excellent number and as well as excellent website upgradation displaying company's potential.

Rupark Sarswat

Thank you very much.

Makarand Tilloo

Now my question is, we have seen that this expansion of capacity of biofuel ethanol plant, the costs are meagerly INR 14 crore. But whether it will increase our profit margin in future?

Anand Singhal

INR 14 crore, how you are calculating, Mr. Tilloo?

Makarand Tilloo

Investment required they have written.

Anand Singhal

That INR 14 crore is only for biofuel.

Makarand Tilloo

Yes, for biofuel only. So, for biofuel it is INR 14 crore. But with this, our capacity is going to expand very much. So, whether it will increase our margins also?

Rupark Sarswat

I think we need to clarify here. There is a cost which goes in putting up the distillery, and there is some cost which goes into further processing of ethanol, if I'm not wrong, to convert it into biofuel, which is increasing its purity. And when you look at evaluating a CapEx and its profitability, actually this may be how we do our CapEx, but you have to take into account the entire cost.

Makarand Tilloo

Okay. Yes, I got it now. Now the second question is that, how much maize we are currently utilizing for producing ethanol? Because we have seen on Facebook that we are promoting maize cultivation in nearby districts also.

S.K Shukla

Yes, we are aggressively to increase the cultivation in our catchment area. We have started this journey in the last November and probably in the next month, I think March and February swing, we are putting our efforts to increase the maize production in our catchment area. So, we are very ahead. And hopefully this year, next coming year, our catchment, we will develop around 50 to 100 acres maize forming in our catchment area.

Makarand Tilloo

Okay. Currently we are utilizing how much of capacity, by maize?

S.K. Shukla

Not much. I think most probably 1,000 tons to 1,015 tons in the last couple of months.

Makarand Tilloo

Okay. But when maze will be utilized more. For that purpose, do we need to have additional, some cost for that?

S.K. Shukla

Not too much. Some cost may be required for the enzymes and nothing else. So, it may be hardly INR 0.10, INR 0.15 paisa, but not much. But certainly, the output of DDGS will get more and prices of DDGS will reduce as compared to the right DDGS.

Makarand Tilloo

Okay. That means whenever maze will be more available, our margin expansion will be more also, correct?

S.K. Shukla

Correct.

Makarand Tilloo

Okay, sir. And now the second point is, sir, in that you have written that NSU, there is a growth potential part commissioning is done. Can you elaborate more on that, sir?

Rupark Sarswat

I have mentioned to you that part commissioning is done. We'll have complete commissioning by Q1. We have a good pipeline, we have commercial supplies have started, and we are already doing, starting to do close to 150 metric tons of business per month. And we see this we have further, I would not say contracts, but we have got further business development done with a few customers. And largely, they are in several spaces in the oil field chemical space, they

are in the carbon smart space.

We expect that we will have significant volume coming from the new specialty unit in the next financial year. Definitely. You may be wondering why I'm not giving a number. In a new business, our approach has been kind of entrepreneurial. For a business where you are developing the initial pipeline, trying to get the initial contracts

going. We are very happy with the pipeline. We are very happy with some of the order indications which have already come.

For a plant which has relatively just been commissioned, starting to do 150 tons to 200 tons per month is a good start. But as you can understand, for a new business like, it is not an ethanol business or a cement business, that you can say I have this much capacity, I will start sending that into the market. Once you have the plant, you start working, you start working with your customers and you start having application and development projects.

And this is a business which has a gestation period, and every product is customized and that is how you build this business. It is very different from biofuels. In biofuels, we have already told you capacity and what kind of potentially top line we can expect. But I can only tell you there is a good pipeline. I am happy with that the fact that we are supplying 150 tons to 200 tons per month tons is a good start for a new project with not that much investment.

Makarand Tilloo

Fantastic. So, if that it is customized then whenever the orders will be fixed from the customer you will get more orders in future also, correct?

Rupark Sarswat

We are very much hoping so. Our salespeople obviously have internal targets. We obviously have internal numbers as to how we would like to see this year and next year panning out. But it is not something that I would like to go ahead and give a commitment here. I would rather have a set of numbers which will give you a confidence and for you to see the growth.

Makarand Tilloo

Correct. Sir, last question is that internationally MEG prices are again increasing, correct?

Rupark Sarswat

Yes, I heard.

Makarand Tilloo

So, whether it will also help us in bio-MEG?

Rupark Sarswat

In a small way, yes. We are not so dependent on MEG prices, to some extent, yes. See, what happens is that our customers are already paying a significant premium for Bio-MEG. And sometimes when they are using MEG, their shift, green shift is affected if the crude-based MEG prices are much lower. So, if MEG prices or crude-based MEG prices goes up, the incentive for them to invest in greener products is higher, in that sense, yes. So, the bigger is the gap, the bigger is our challenge.

Makarand Tilloo

Okay. So, in future their offtake will also increase if the regular MEG prices are increasing.

Rupark Sarswat

I think the viability of our business, new businesses will be better. But it is very difficult for me to immediately start saying that you'll see volume pickups. I think we'll be better positioned and hopefully it will translate into more sales.

Makarand Tilloo

Thank you, sir. Thank you very much and all the best to you. Within two years, we hope to see the company INR 5,000 crore mark on net basis.

Anand Singhal

Great. Thank you.

Moderator

Thank you. There are no further questions. Now I hand over the floor to management for closing comments.

Rupark Sarswat

So, thank you, Rohit, and special thank you for Saket and team. He does so much reading up on our company that he's more well informed than many of us in terms of numbers. So Saket, thank you for taking that much interest. That was on a lighter note. I think it feels good if there are people who are taking that much interest in everything that is happening and many of you do. Not only in ter

ms of what the company is doing, but I am also very impressed to see how you have a good idea of what is happening in the marketplace.

I was thinking how much reading you do on the potable spirit space, how much you do on the biofuel space, on the blending space, international MEG prices, et cetera. Considering you are covering so many chemical companies. So, it feels good to have your interest. It is also good that so many of you have come to attend our investor call. Some of you encourage us. Thank you for that. Some of you congratulate us and then ask us difficult questions. That's also fine. Hopefully, we've answered them.

So, with that and on behalf of my colleagues here, I would like to thank you and wish you a good day and a good week ahead.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

(This document has been edited for readability purpose.)

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Call: Jun 2024

4th June, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q4 & Full Year FY24 Earnings Conference Call

Further to our letters dated 21st May and 30th May, 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q4 & Full Year FY24 held on Thursday, 30th May, 2024 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

India Glycols Limited
May 30, 2024
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India Glycols Limited
Q4 & Full Year FY24 Earnings Conference Call
May 30, 2024

MANAGEMENT MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA - HEAD - SALES AND MARKETING (BSPC)
MR. S.K. SHUKLA - HEAD-LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST MR. ROHIT SINHA - SUNIDHI SECURITIES LIMITED

Moderator:

Good evening, ladies and gentlemen. I am Saumya, moderator for the conference call. Welcome to India Glycols Limited Q4 & FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. Rohit Sinha. Thank you and over to you.

Rohit Sinha:

Good evening, everyone. Thank you for joining us on India Glycols Limited Q4 & FY24 results conference call. We are joined on this call with India Glycols management, represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head - Sales and Marketing (BSPC); Mr. S.K. Shukla, Head-Liquor Business; and Mr. Ankur Jain, Head (Legal) and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks post which we will have a Q&A session. Thank you and over to you, sir.

Rupark Sarswat:

Yes. Thank you, Rohit. Very good afternoon to everybody who has joined on this hot summer afternoon, particularly from a Delhi perspective. I'm joined here by my colleagues, who Rohit has already introduced. I'll take this opportunity to give you some overview comments on the performance for this quarter as well as the year, and then subsequently, we can take your questions.

So as you have seen, we've had a good year overall and good quarter as well. So if you look at the numbers in Gross Revenue terms, we have clocked a growth of 19% at INR 7,922 crores. Our Net Revenue is up 24% at INR 3,294 crores for FY24. And in terms of EBITDA, that is about INR 428 crores, up 34% and PAT, which is INR 173 crores, up 23% for the full year.

So overall, there is a good performance both in terms of revenue and profitability. Particularly, it has been led by both top line and bottom-line performance by the BSPC segment, which is essentially chemicals and biofuels as well as potable spirits. And particularly good start as we added capacities for biofuels in the biofuels segment. As we have spoken over the last 1-1.5 years, it is in line with what we had anticipated after putting up grain-based capacities for ethanol, which has allowed us to do a risk mitigation as far as ethanol supply and costs are concerned.

And now the situation is that we are importing significant quantities of ethanol for chemical intermediates production, and which has meant that the capacity that we have put up is now available to therefore contribute to the biofuels revenue as well as contribution.

For the quarterly performance, the Gross Revenue at INR 2,039 crores is up 26%. The Net Revenue at INR 926 crores is up 50%, and EBITDA at INR 109 crores is up 9%, and PAT at INR 42 crores is up 6%. So we can see that there is a strong performance overall, both in terms of gross and net revenue.

Particularly, the top line growth has been driven by potable spirits. It has been relatively modest in the Chemicals segment for this quarter.

And in terms of high level highlights for the company, you see a revenue growth of 24%, EBITDA up 34% and a healthy EBITDA margin of 12.9%, which is better than before. As you know, we've had a couple of tough years, and as we have kind of anticipated and also taken actions for this has led to improvement. So, I already spoke about grain-based capacities and the new biofuel portfolio helping us both top line and bottom line. In potable spirits, sales were driven mainly by increases in country liquor sales with both good performance in Uttarakhand and UP, where we

are close to our market
leaders, particularly in Uttarakhand.

And in IMFL, most of the growth has come from our new market, which is Delhi and the paramilitary segment, and we will talk about it more later on. As you know, our key feedstock is ethanol for multiple businesses. The cost pressures on ethanol to some extents have continued with high international ethanol prices. Although, they are not as high as they were earlier when we spoke about, 1.5 years ago. And what has also happened is that in the biofuels segment, there has been some volatility with respect to cost of grain and sales price of DDGS, which has meant that there have been periods in between where the margins of grain-based ethanol being sold as biofuels have been a little soft.

Ennature Biopharma, a relatively smaller segment for us, has registered a growth of 7%. However, here we've seen margin pressure in particular due to a challenging market, price erosion in nicotine and API segment. Having said that, I think the strategy is on track. We are focusing on long-term risk mitigation and building a pipeline of value-added products. We've also been talking about new value-added products, and I'm happy to share that there is a steady and a good start to commercialization of projects in the new value-added pipeline.

In fact, we are expecting the plant to be fully commissioned in about a quarter's time, though we've started significant production already. We are anticipating that the capacities that we have put up, even though they are not very large to start with, and that was part of a strategy to have a modular approach. We are expecting that those, by and large, taking a little bit here and there will, at least in some sections, get fully occupied in the current financial year, and we may be talking about incremental expansions to take the value-added chemicals portfolio ahead.

As you know, we have a joint venture, wherein we are putting a specialty chemicals business a couple of years back, IGL having 49% of the share. So that reflects on our overall profit performance. There has been a strong recovery in margins in joint venture performance, mainly driven by reduction of material costs. As you know, we've spoken earlier, one of the key factors, which affects amongst others, the joint venture performance is the cost of Ethylene Oxide, which IGL supplies to the joint venture. And for the factors that I've discussed, which is energy cost increases, which have moderated, which have come down for ethanol costs, which have moderated, plus the fact that we have put up our own grain-based ethanol capacity, has meant that the cost difference between crude-based ethanol in the market and ours has come down, though the delta is still there. And therefore, the relative competitiveness of the JV is better.

So Q4, for example, the joint venture showed revenues going up 3% and EBITDA, though on a smaller base for the constraints that we said, getting up by 68%. And for the full year, there has been some recovery. We had lost sales. So now the full year in terms of top line looks flat and there's a modest EBITDA increase of 4%. So it's a good news from the perspective of the joint venture as well.

A final dividend of INR 8 per equity share has been declared. And we are utilizing our grain-based ethanol capacities nearly fully to what we have right now to service the contracts that we have with oil marketing companies, and that looks steady. But before I move on to a segment-wise commentary, what I'll do is I'll request my colleague, Anand, to give you a quick update on the financial performance.

Anand Singhal:

Good afternoon. I will take the results on consolidated basis. In the current quarter, the gross sale is INR 2,039 crores, vis-à-vis INR 1,616 crores in the last year corresponding quarter, showing an increase of about 26%. The net sale is INR 926 crore

vis-à-vis INR 619 crores, showing almost about 50%
improvement in the net sales in the current quarter. The EBITDA is INR 109 crores vis-à-vis INR 100 crores in the last corresponding quarter showing 9% increase, while PBT is INR 55.6 crore as compared to INR 45.64 crore, showing an increase of 21.8%. The profit after tax is INR 42 crores against INR 39.84 crores, showing 5.9% growth. The reason for this is due to the higher provision of the income tax. The EPS in the current quarter is INR 13.63 vis-à-vis INR 12.87 in the last year's corresponding quarter.

To take up the yearly results, for the year end 31st March '24, gross sale is INR 7,922 crores, vis-à-vis INR 6,641 crores, showing an increase of about 19%. The net sales is INR 3,294 crores, vis-à-vis is INR 2,651 crores, showing an increase of 24.26%. EBITDA is INR 428 crores, vis-à-vis INR 319 crores, showing an increase of 34%. PBT is INR 223 crores vis-à-vis INR 165 crores, showing a 35% increase and PAT is INR 173 crores, vis-à-vis 141 crores, showing an increase of about 23%. The EPS for the current year is INR 55.87 vis-à-vis INR 45.55 in the last year.

I'll say as far as the operations is concerned, this year is the best year in the history of the company as far as the sales and the profitability.

Rupark Sarswat:

Thank you, Anand-ji. I have broadly talked about segments, but I'll give you slightly more detail, keeping it somewhat short. So if you look at quarterly and annual performance for our 3 broad sectors, the largest one being chemicals and biofuels or which we call Bio-based Specialties and Performance Chemicals (BSPC). I am consciously also saying biofuel because that is a significant chunk of the chemicals business.

So in terms of the BSPC segment for the quarter, we had INR 623 crores revenue for the quarter, up 60% and EBIT of INR 47 crores, which is up close to 11%. And for the full year at INR 2,141 crores, the revenue is up 25%, and EBIT is up 35% at INR 168 crores. Potable spirits has had a good year. And before I talk about potable spirits, let me give some additional comments on chemicals. I think in the chemicals business, a significant top line contribution has come from the biofuel business.

It's a steady business with not so exciting percentage margins. But it is something which is kind of adding significantly to our top line and reasonably to our bottom line as well. At an overall strategic level, we see that we are on track in terms of what we are doing in the chemical space. We are leveraging our sustainability credentials much better. We expect that the year will be better for several of the key segments within chemicals. We expect it to have better traction as far as glycols are concerned. We expect an overall better year as far as biofuels are concerned because several of these capacities have actually come up this year, and you'll see full utilization of capacity in the current year. And we expect that there will be a good addition of value-added products in terms of how we perform in the current financial year. So that is as far as BSPC is concerned.

In the portable spirit space, we had a good quarter in terms of revenue at INR 247 odd crores, which is up 32% compared to the same quarter of last year, and EBIT of INR 40 crores, up 37% compared to the same quarter of last year. And for the full year, we've registered a revenue of INR 947 crores, up 25% and a EBIT of INR 164 crores, up 61%, which is a very good performance. And it is primarily, as I said, being led by growth in two new areas, which is in the IMFL space, which is Delhi and Paramilitary as a new segment for us. We've continued our strong performance as far as country liquor is concerned for both our key markets, which is Uttarakhand and Uttar Pradesh. Also, you see a very good improvement in profitability, both on account of cost actions as well as pricing acti

ons, which
are not so much dependent only on what IGL decide, but it's a factor of getting those approved through the government as well. So it has been all in all a very good year for potable spirits.

For Ennature Biopharma, as I said, a relatively smaller segment for us. It has been a good year as far as top line is concerned, particularly the quarter has been good at around INR 56 crores of turnover, up 28%. And for the whole year, the full year turnover at INR 205 crores is good. It has crossed INR 200 crores, for the first time for the year. So that is good from a top line perspective.

But we faced, as I mentioned earlier, some pressures on pricing because the market for nicotine and APIs has been quite competitive. And our broad strategy to look at taking costing actions and more importantly, build the value-added pipeline is on track. So that's how we see that we'll continue to take care of the business and may grow it both in terms of top line as well as bottom line. So those are my high level comments as well as far as the various sectors are concerned. And I will take a pause now and then we can take some questions.

Moderator:

Thank you, sir. Our first question comes from Bala Subramanian from Arihant Capital Markets. Please go ahead.

Bala Subramanian:

Good evening, sir. Congratulations for a good set of numbers. Sir, we have seen significant margin improvement on YoY basis from like 11% to 12% kind of thing, especially it comes from chemicals and the potable spirits segments. So if you look at 2018-19 that time, so we have seen margin of higher digit rates and for this chemical side. So around more than 9% kind of margins we did it. And potable

spirits also, once upon a time, we did it around more than 20% kind of margins. So we can able to do those range in next over 2 to 3 years.

And Ennature Biopharma side also, like earlier, we did about 20% kind of margins, but right now, it came down below 20%. So what kind of realizations do we have on that Ennature Biopharma and especially in the agriculture and nicotine side? You could share more details on the margin side.

Rupark Sarswat:

If you look at overall margins for the last couple of years, I remember our EBITDA margin actually going up, it came down from close to 12% to 9.6% then it went up to 11.9% and this year we are looking at 12.9%. So over the last few years, I can say, that while the margins, we want them to better and you would also like them to be better. But if you look at the last few or four years, that's at an overall level, the margins have seen steady improvement. And I expect that at an overall level, this trend will continue.

We've had last couple of years of significant pressure, as I mentioned, some of the cost pressures continue. But we are taking a few set of actions, and I'll comment on both chemicals as well as the Ennature biopharma at a very high level. I mentioned to you that some of the actions that we are taking are on the cost front, which includes operational cost, efficiencies, energy, etcetera. And we have a pipeline of actions, which we'll continue to take next year as well. The other key things for us is that some things are not always entirely in our control in the sense that as you saw freight, energy and feedstock prices for us really went through the roof over the last couple of years.

That has adjusted to some extent, but not entirely. Strategically, we feel that our strategy in terms of building on our sustainability credentials, working on newer greener technology is perfectly all right. And to some extent, it is also helping us recover the margins. As I mentioned, the other key actions, apart from managing the bottom line, is to enrich our product mix based on more value-added products.

And I can say, as I mentioned, that we creating specialty chemicals businesses takes time because it needs a sig

nificant amount of R&D effort, formulation effort, application development effort.
Sometimes the collaboration with the company, even though the volumes are not flat, can take a couple of years for our product to materialize. I can only say that we are taking those actions. Those are on the right track. And as you can see and you'll continue to see over the next quarter, our progress on the value-added product is steady.

So that's the broad strategy. I think you are also probably talking about years, which is more than 2.5 years ago, when we were comparing the business slightly differently because the entire specialty chemicals business was also part of the IGL portfolio, which is now part of the joint venture. I must accept that as a percentage in the entire chemicals portfolio, the margin percentage is of the specialty chemicals business or the dense specialty chemicals business was higher and we are also operating on better time.

Let me give you a little bit of context. If you heard some of my calls earlier, I used to say that we faced the time where for a long period of time landed ethanol imported price cost to us was close to INR 35 a litre. It went up to as high as INR 70 a litre. So we were also talking about those times. It's not cost have come down. They have come down, but they have not come down to those earlier levels. So those pressures are there, but I also talked about the strategy to build it. Now as far as Ennature Biopharma is concerned, I told you about the price pressures and again, the focus on building a pipeline, but I'll request my colleague, Manish, to give you some more comments.

Manish Pant:

Yes. So Bala, basically, as Rupark said regarding this new value added production, but we are thinking as per the pipeline. And the prices are under stress because of which margin has become low in our key USP product which are Thiocolchicoside and Nicotine. So these 2 products are our bread and butter till now, but now we have envisaged with our new product line like branded nutraceuticals and we are presently in the USA and Europe. Hopefully, this year turnover would be at least increased by 25% and the margin would be much better than this year.

Bala Subramanian:

Got it, sir. So, on the realisations, like last quarter, if I have mentioned, Thiocolchicoside INR 4.2 lakh per kg and then nicotine INR 7,000 per kg. What are those in current level, the price points, right?

Manish Pant:

I will have to check and will get back to you separately.

Bala Subramanian:

Fine, sir. Sir, on the Power cost side, it's continuously like coming down in terms of sales right now in this quarter, 7.8% of sales. So we have seen significant improvement on the power cost side. And we have signed agreement with the RENEW to procure captive wind and solar hybrid power. So it is expected in which quarter supply is expected? And whether this trend will continue? Or how do we see in coming quarters?

Rupark Sarswat:

We've already given an update that there has been a delay as far as RENEW is concerned, and the delay has been explained on account of change of certain regulations or court directions based on which there are certain challenges, which is what RENEW have told us in terms of the current structure of group captive. Now what this means is that we are in discussions with RENEW to look at it again, which means that we are not in a position to give a timeline on when we will be able to realize those benefits.

However, we are continuing to pursue not only RENEW, but also in discussion with other companies as to how we can look at not only low-cost power but secure green power for our operations. Having

said that, I may also add, which may be of interest. We've not spent any money as far as RENEW is concerned so far, especially after we've come to kn

ow that there are some challenges. So we are in
discussion with RENEW and also some other people who can potentially supply us green and cost effective power.

Bala Subramanian:

Got it. And on the NSU side, mostly commission is expected in Q2. So what kind of volumes we can expect in coming months? Like earlier, we mentioned around 150 metric tonnes, whether we can able to 200 or 300 in that range?

Rupark Sarswat:

Yes. So, this is a plant with multiple capabilities and multiple reactors. A significant portion of the plant has already been commissioned. But we have said that complete commissioning will happen when it happens, which is Q2 etcetera. Now as far as the volumes are concerned, I am cautious that I'm not going to give projections for the business. But I think in a few months, we expect our monthly volumes to cross 400 to 500 tons per month.

Bala Subramanian:

Sir, ethanol, the supply started for this INR 1,164 crore order from oil companies. Because the contract time period is November '23 to October '24, we have started the supply and when the revenue recognition will happen, whether we can expect in this year?

Rupark Sarswat:

So I would first like to slightly correct you. We call it allocation and not a contract in the sense that this is the allocated quantity based on what the oil companies are able to blend to pick up the material. Having said that, I think by and large, I have looked with a little bit here and there. We are in line with supplying what is the allocation given to us. I don't remember the monthly number. We can get back to you separately. But I think by and large, we are in line with it. So to some extent, we've already started clocking the revenue. And we expect that the revenue will go up a little bit as we start to cater to the allocations that they have been allotted to us.

Bala Subramanian:

Thank you, sir. I'll come back in queue for further questions.

Moderator:

Our next question comes from Manish Sithana, an individual investor. Please go ahead.

Manish Sithana:

Yes. My question is regarding the country liquor space and with the new excise policy being announced by the government of Uttarakhand. So how do the company foresee that impacting our top line and bottom line in terms of the margin as well as the sales figure?

Raju Vaziraney:

As far as country liquor policy in Uttarakhand is concerned, it is quite favourable, because of two reasons. One is we have got a higher selling price, we call it ex-distillery price, which everybody has got because it is as per the slab. Now the second thing with because of the foresight of our top management, we have very quickly been able to install a Tetra machine. This is the first time in Uttarakhand, I'll give you a small background. Because of these changes, Tetra was not allowed in Uttarakhand for so many years, for ever since Uttarakhand was formed.

But now as the policy change, from 1st April, Uttarakhand Excise has seen reason for them to bring tetra pack for country liquor as well as IMFL. And as our CEO rightly said, we are leaders in country liquor as far as Uttarakhand is concerned. Now we have been able to quickly garner all the resources, and we are the only supplier of Tetra Pack in Uttarakhand. Now we are following a steady build approach. We can dump a lot of Tetra into the market, but we want both the bottle as well as Tetra Pack to coexist.

The margins in Tetra Pack naturally are higher because there is no glass bottle, there is no cap, there is no label. It is only a smart pack if I may say that. So we will have this, we will be able to harness the first over advantage. And as you know in our various calls, there are only two major players in Uttarakhand. We are there and another is Radico Khaitan.

Radico Khaitan does not have tetra machine. In foreseeable future, we don't see because it i

s highly
capital intensive. It is a very sensitive thing. It is not like any other machine. It requires lot of care because for various reasons. Now the first initial reports of April and May are encouraging, and we have made our very good mark as far as country liquor in Uttarakhand is concerned. It will not be fair for me to give you a figure, but I can only say we will be able to get most of the country liquor sales, whether in bottle or tetra in Uttarakhand. Secondly, since the policy allows Tetra Pack for IMFL also, we have a definite plan to introduce Tetra Pack in IMFL as well. IMFL already, we have about more than 25% market share. And the third step we are taking is introduce new premium brands, which is as far as all other states are also concerned.

To sum it up, we have two, if I may, sustained competitive advantages. One is we are the only company to have quickly installed a Tetra machine and also given the output. Though the consumer acceptance, I cannot make a statement that it is successful, it's yet to be ascertained. But the first reports are encouraging. But only over a period of three months to six months, maybe one year, you'll be able to make a statement that, Tetra will overtake glass bottle. And the second is the price increase in realisation. So these are the two changes of Uttarakhand, country liquor, and IMFL.

Manish Sithana:

So the price increase that you're mentioning would certainly translate into a better margin, I may say so?

Raju Vaziraney:

Yes, definitely. Yes. Definitely. Unfortunately to discuss many details, but we are very cautious. This is our home state. We are quite focused.

Manish Sithana:

Yes. And my second question is on certain financial aspect, which we are bifurcating some cost of material consumed and purchase of stock in trade, which was not that amount in, let's say, March quarter of the last year. So what is the difference between the cost of material consumed and the purchase of stock in trade? And why are we, showing them separately? Why are we showing and what is the difference between the material consumed and the purchase of stock in trade? What is the difference? I want to understand the difference between the two items.

Anand Singhal:

Stock in trade is basically the stock in trade with clients, while the material consumed is basically the material actually consumed by the company for the different products.

Manish Sithana:

So are these materials again of a raw material or consumables or what exactly are they?

Anand Singhal:

This is basically the molasses and the alcohol.

Manish Sithana:

You're referring to materials consumed or purchase of stock in trade. I'm asking a line item, which in the current quarter was INR 115 CR.

Anand Singhal:

Stock in trade is basically the trading activity that we are doing for some of our products.

Manish Sithana:

Well, I still didn't get you, if it is a trading activity, why it didn't show as an expense? Because corresponding March quarter was INR 2 crores and I mean, this quarter, it is INR 115 crores. So what exactly is the difference?

Anand Singhal:

This is basically the material which we have sold out on the trading activity. And this figure is the basically the balancing figure which I can say has been shown as a stock in trade.

Manish Sithana:

Still not clear. I'll get back to you separately on this. So, thank you.

Anand Singhal:

I'll give you the clarification separately whenever you are.

Moderator:

Thank you, sir. Our next question comes from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj:

Thanks for the opportunity and congrats on good set of numbers. So my first question is on, importing ethanol. So you mentioned that you've started importing ethanol. However, recently we hav

e seen
that there is again surge in terms of logistic costs. So what is your assessment of the situation in terms of the incremental imports, whether there'll be again cost that will go up and will it have impact on the margins? So just a broader view on the sales. Thank you.

Rupark Sarswat:

Yes, Rohit, good to hear from you. After a long time, how are you?

Rohit Nagraj:

All well, all well, sir. Thank you.

Rupark Sarswat:

Rohit, you understand the business quite well. You have followed it up for a long time. And I think, overall, there is some increase, as I mentioned. There was softening of imported ethanol prices, which went up to 47-48 or thereabouts in terms of the weighted average that comes to us. And then it has gone up a little bit. So there is some increase, but at the same time, given the option that we have for

what we produce in-house and sell it for biofuels, it still usually makes sense to use imported ethanol for making chemicals, and I expect that will continue for the foreseeable future. And foreseeable as well depends on so many things, but I see that that will continue. I expect that there will be some volatility, some increases. But overall, I do not expect a significant amount of dent either in terms of our top line or our bottom line. There may be some, but I think compared to what we've seen over the last 4 years, it is relatively nominal compared to that. Broadly, I don't see our numbers or our top line getting significantly impacted because of that as of now.

Rohit Nagraj:

Got that. The second question is on potable spirits. So I think we have been doing geographical expansion. So where are we currently in terms of reaching beyond the existing geographies? And what is the plan in terms of going across different states over the next maybe 2 to 3 years? Thank you.

Raju Vaziraney:

See, as you know, we have as our CEO mentioned in the beginning, we have added 2 new areas of business, one is Delhi. Delhi, we changed this RTM, as we say, route to the market. We were earlier working through the distributor. Now the company has good focus, and 6-7 brands are already there in Delhi market, and there has been a phenomenal growth. So there is focus on Delhi market.

And what has happened is, paramilitary consists of BSF, CRPF, ITBP and SSB. So now what was happening earlier for so many years, all these 4 formations would give or tender separately. So last year, as luck would have it became one tender, and we could see it quickly. I am a IMFL person, and I understand this fairly well. So we quickly applied for tendering in all 5 brands.

And to our good luck, all over five brands because of our quality consciousness at Kashipur, where we also co-packed Bacardi for so many years, and we are known for good quality IMFL. Our 5 brands have done very well, and we are among the top sellers to paramilitary. Now the good news is, again, the tender came a few days ago, and we have been able to add two more brands, and we will be able to take the volumes up. But mind you, this paramilitary is a limited business. It is not CSD. CSD is army, while this is paramilitary forces.

There is moratorium in CSD till 30th June, and we are quite prepared to and there are certain restrictions, as you would know, since you're asking portable IMFL question. There are certain restrictions on quantity achievement before you introduce brands into CSD. We have been able to do so on two of our brands, and that we will apply. Now it is very easy to increase the geography as far as the IMFL is concerned. But our top management has taken a cautious decision to go steady build, as I said, and also focus on improvement in margins.

So at the moment, we have introduced we have made Delhi successful, paramilitary, and Uttarakhand, of course, will blossom, if I may use the word, and UP will be steady. This is our second home st

ate.
We are at least in the next 6 months or a year, we do not have any plans to add new states instead. We have all the plans to introduce premium brands. Because it is very easy to start new states, but

the working capital requirement is so high and open credit has to be given. So we don't want to lose money in the business.

So as a strategy or as a cautious step, what we have done, we are not increasing in this year more states. Instead, we are bringing in two more new brands. And I'm glad to inform you, it is already signed and under production. We have tied up with Amrut Distilleries. Amrut Distilleries, as you know, is a world-class single malt company, and they have visited our unit. They know about us because of the Bacardi co-packing, and we have bought their brand called Maqintosh.

Amrut is not a listed company, so you may not be able to have access, but I can it is underway. Excise approval has been given. We have got the license. So Maqintosh Whiskey, which is a 35-year-old whiskey of the company, we will be making on royalty or franchisee rule. In other words, we will be making all the we will be investing into working capital and also making all the profit and giving away a certain set of royalty to Amrut. This is the first time Amrut has tied up with another company in view of our quality standards.

So this is one step. Another is we are going to our Amazing Vodka has been quite popular and successful in the last 3 years. Wherever we have launched, we are among the top 3 vodkas, whether this is in Delhi, whether it is in UP, whether it is in Uttarakhand, or any other state. We are among the top 3. We want to sustain and extend this success to another flavour. For obvious reasons, it is not in public domain, so I cannot give more details. But we have these two steps we are taking in IMFL. So we are quite poised.

Rohit Nagraj:

Sure sir, thanks for that elaborate answer. It clarifies a lot of things. So just one last question in terms of investment in pipeline. So what are the current investments across the segments which are currently underway? And what is the plan of capital expenditure for, say, FY25 and FY26? Thank you.

Anand Singhal:

For the current year, there are 2 major expansions which are going on. One is the increase in the capacity in Kashipur from 400 KLPD to 500 KLPD, which will be ethanol manufacturing. And for Gorakhpur, we are increasing the capacity from 110 KLPD to 280 KLPD. So these are 2 major CapEx and there may be some expenditure on NSU because I think there will be some expansion depending upon the market demand. So these 3 are the major expansions for FY24-25. After that, we are not planning for any major CapEx till FY25-26 except the maintenance CapEx, which will be ranging from INR40-50 crore.

Rupark Sarswat:

Just to add there, I think based on how some of our new Chemical businesses' opportunity is built up, as I've mentioned earlier. We may be looking at some incremental CapEx, but it is not something that we have firmed up right now.

Rohit Nagraj:

Sure. Fair enough. Thanks for answering all the questions and all the best, sir. Thank you.

Moderator:

Thank you, sir. We have a question from Shubh Jain from Emerge Capital. Please go ahead.

Shubh Jain:

Thank you, sir, for the opportunity. A couple of my questions have already been answered. Just one question. Can you please give some colour on our debt profile and how we plan to reduce it and over what period of time?

Anand Singhal:

Currently, our debt position is about INR 900 crores, including the EPBG, which we have taken about 10 years ago. So, this year, the total repayment is about INR 350 crores, which for which we have already, made some prepayment amounting almost about INR 100 crores. And we are also planning to make some of the p

repayment out of the better cash flow. So, this is what is the planning. And as far as the new CapEx is concerned, since we are already through with the new CapEx, So I don't foresee any major term loan raising from the bank or from the market.

Shubh Jain:

Okay, sir. And what is our average rate of interest?

Anand Singhal:

It is around 9%.

Shubh Jain:

Okay, sir. Thank you, sir. All the best.

Moderator:

Thank you, sir. Our next question comes from Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor:

Yes. Namaskar, sir, and thank you for the opportunity. Firstly, our closing balance, closing net debt level, when we will be repaying our debt, what should be the expected long term loan level for the closing FY24-25?

Anand Singhal:

FY24-25?

Saket Kapoor:

Yes.

Anand Singhal :

Saket, it will be around INR 625 crore-INR 650 crores.

Saket Kapoor:

Okay. So we have closing balance of INR 725 crores, which will go down to 650 crores.

Anand Singhal:

Actually, I don't know from which sources you have seen that INR 725 crores. My debt is around INR 900 crores as of now, which will come down to INR 650 crores. That INR 725 crores is not including the EPBG. I am talking about the amount including EPBG. Okay, which is the export advance which we have taken, say, about 9 years back. So the entire EPBG which we paid in the current year, FY24-25, which is about $17.8 million and rest is the rupee loan, so this entire outstanding for the term loan will come down to about INR 650 crores.

Saket Kapoor:

INR 650 crores from the current level. And we look at when we look at the cash flow, we find we have spent around INR 553 crores for FY24. So what is the breakup for this and for the 2 years that we have spent around INR 1,000 crores?

Anand Singhal:

Actually, this year, we have capitalized all our projects, which has been completed. That includes NSU, that includes the grain distillery up to 400 KLPD and the boiler. Apart from this, there are some, I will say, the miscellaneous CapEx and one is the nicotine CapEx in the Dehradun. Major amount is coming from Grain, 400 KLPD and NSU.

Saket Kapoor:

Okay. And for the Gorakhpur part to 180 KLPD is still left to be spent, it will be spent for this year?

Anand Singhal:

180 KLPD is in pipeline and this hopefully will be capitalized in the current year after completion.

Saket Kapoor:

Right. And sir, can you give me the feedstock also by now with the expanded capacity, we will be 500 for Kashipur and 290 or 280 for Gorakhpur. So what percentage for this we have to depend on the grains and how much will be the molasses?

Anand Singhal:

This 290 KLPD and 500 KLPD is totally on grain.

Saket Kapoor:

Okay. And these are the broken rice which we are dependent, sir?

Anand Singhal:

It is all broken rice.

Saket Kapoor:

Yes, yes. Sir, is it the broken rice sales from the FCI that is our feedstock? We are sourcing it from FCI only or from open market?

Rupark Saraswat:

We have from time to time looked at both options. FCI rice is currently not available, so damaged food grain is available depending upon what is the price, what is availability, we look at those options. There is no hard and fast. And it is also a factor of how the government wants to make FCI rice available or not available, etcetera. But we've also looked at price from the private market.

And these grain plants subsequently, I think the government has a policy to diversify the feedstock for grain that we will use for ethanol. I think going forward, and we are in the process of evaluating, taking price, etcetera, I see that significant part of grain may start also coming from corn as a feedstock. Most of these effects with some modifications can be used as corn as well. So as you se

e, most of the ethanol
that is produced in the U.S. is actually corn-based. I see that also backing up in the time slot.

Saket Kapoor:

Maize and corn are the same feedstock?

Rupark Saraswat:

Yes, yes. Maize and corn are the same feedstock.

Saket Kapoor:

So just to conclude, availability of raw material is not an issue even with the expanded capacity.

Rupark Saraswat:

Let us put it this way that the government, if you look at various articles and the policy, is very clear to continue to push to go for 20% blending. And so far, if you look at the blending program from whenever it was announced, there has been by and large, give or take stuck to the percentage increases that we have planned. In between, there have been hiccups, where sometimes FCI rice availability, etcetera, has been difficult. And we expect, as we have discussed before, that some of these hiccups will continue from time to time.

But if you strategize and look at a longer time horizon, I think we see that we will continue to be able to by and large utilize our capacities to supply to the oil blending companies because the government strategy is quite clear. And the government also when the prices have gone up, for example, if you look at grain prices when this went up. I mentioned earlier that to some extent we saw softening of margins, but the government responding by supporting to some extent by increasing those prices. So we see by and large the business for biofuels in the portable sutures unless something drastic happens like a drought or something to continue and not only to continue but also to steadily increase in terms of percentages. It is very difficult to have a crystal ball and give an exact forecast and what exactly will happen, but that's how we see it.

Saket Kapoor:

Right, sir. And just for the last point subject to ethanol is for the allocation of supply, can you give the revenue which we have booked for this financial year and the next balance we know what the contracted value is.

Rupark Saraswat:

I don't have the numbers completely ready with me as I have not and we've not given a forecast either for the business or segment by segment. As I mentioned earlier, by and large, so far we are tracking the respect to allocation. If the oil blending companies don't pick up etcetera, those kind of issues. What will be potential hiccups or somewhat derailer. Derailer is a strong word, I think raw material availability to some extent. We saw some challenges, but by and large we coped. Picking up our oil blending companies for various reasons, that could be a potential issue. But other than that, we see that by and large we will be tracking on allocation, we expect to track on allocation.

Saket Kapoor:

Right, sir. And Rupark ji, you mentioned about 400 to 500 tons per month to be the dispatcher for the NSU. Can you also provide some numerical number to it? What would be the run rate?

Rupark Sarswat:

I don’t call it a projection. I will say that give or take depends on how it goes. I'm not talking only about products produced from this specific asset. I'm talking about various new value-added products. We are expecting and don't take this as our projection is that something like in the financial year, something like INR 200 crores from new value-added product is something that we are targeting.

As I mentioned with the disclaimer, it's not a projection that I'm giving. And hopefully depending upon how some of our collaborative projects work out, there may be a little bit of slowdown happening, there may be escalation happening. As I said, it is a business which is different from ethanol or Petrochemical, this is the business that we have to build with our partners, brick-by-brick based on various products.

Moderator:

Thank you, sir. Our next question

comes from Meet Gada from Emkay Global. Please go ahead.

Meet Gada:

Hello. Thank you for the opportunity. I wanted to ask, what will be the peak revenue potential for the company on current gross block?

Anand Singhal:

Actually, your question is not very clear to us. You are talking about for the which division? This is basically for the chemical, liquor or?

Meet Gada:

Chemical and Liquor separately.

Anand Singhal:

Chemical and liquor separate. For liquor we are already on 100% capacity. For country liquor in Uttarakhand our country liquor in UP, we are already on 100% capacity utilization. And for chemical, I think Rupark Sir can answer.

Rupark Sarswat:

Yes. We have significant headroom in some of our key chemicals like glycols, glycol Ethers, Glycol Ether Acetate, ethylene oxide, etcetera. And as I mentioned, based on how some of our new value-added products and specialty chemicals projects develop, we will be adding capacity incrementally to take care. It is very difficult right now for me to give you a peak revenue potential on current Asset based on the speciality chemicals because it is a function of the product mix. I have already given you

indications in terms of what we are targeting and the fact that over and above this, we will be doing incremental investments.

Meet Gada:

Correct. Got it, sir. Thank you so much.

Moderator:

Thank you, sir. Our next question comes from Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat:

Yeah. Thank you for the opportunity and good evening to everyone. So my first question is regarding the biofuel. So how much of the biofuel do we internally use and how much of it is sold in the market or to the government?

Rupark Sarswat:

So sir, we do not use any biofuel internally. Let me explain this to you slightly. It will help you to understand about the business. So we have 3 potential sources of ethanol. One, imported ethanol, which comes either from U.S. or Brazil, if it comes from U.S., it is corn-based, if it comes from Brazil, largely it is sugarcane-based. The second source is manufacturer of ethanol from molasses. The third source is manufacturer of ethanol from grain and the fourth source is either of these two sources purchased domestically.

None of the imported ethanol can be used either in potable spirits or for biofuels. This ethanol is then converted to various different things. It is converted to extra neutral alcohol if it is to be used in beverages, which can find way for our bottling, for Bacardi or for example, IMFL brand or our country liquor brand. But in that case, ethanol is converted to ENA, extra neutral alcohol. If this alcohol is to be sold as biofuel, it is converted to whatever 99.9% ethanol because you can't have moisture when it gets blended with fuel.

And that is a different technology. Taking ethanol from 96% to 99.9% is not distillation, it has to be done differently because it's formed at 96% what is known as an as you go, difficult to separate. This, which is dried up to this extent is supplied to biofuels. So it is not that we consume biofuels. We have different sources of ethanol.

All sources cannot go into all different applications. Some of the ethanol, which is either from molasses or from grains, which we produce, we don't buy and sell biofuel, can be converted into biofuels by drying it up to 99.9% and therefore that goes into biofuels. And we have a complex set of sums, which we do based on what is the best trade-off for us, and therefore, it is difficult to give you an exact number. We don't have enough time, subsequently we can explain it to you. The reason I'm saying this is, for example, if like it happened last year, if the imported ethanol became very expensive, it makes sense for us to divert things in the amounts of our manufactured ethanol for chemical intermediates.

But now that imported ethanol has come down, hence we have shifted largely except for certain chemicals which require molasses-based ethanol to using imported risk now for chemicals. So this is a trade-off activity which we keep doing. I don't have one single number which I can tell you as a percentage, but if you do want more details, we'll be happy to explain it to you in detail later on.

Pradeep Rawat:

Okay, okay. So can you provide a number like how much litre of ethanol do we use internally?

Manish Pant:

Yes, we can provide you a number, ballpark. So for chemicals around 50 lakh litres is being consumed for our own purpose. And 50 lakh litres is being supplied to the joint venture.

Pradeep Rawat:

And this potable spirit?

Rupark Sarswat:

Potable spirit is around 15 lakh litre per month as in ENA. And remaining that we manufacture, which is leftover is supply to biofuels. I may have made a slight miscommunication. The consumption that we're talking about currently for chemicals and that's the complexity I explained to you. Currently, it is coming from imported.

Pradeep Rawat:

Yes. Okay. So 50 lakh litre is used for chemical and the other 50 lakh is used for?

Rupark Saraswat:

Sir, can I request you one thing. Mr. Manish will be more than happy to explain this in slightly more detail to you if you can connect with him. So all the numbers and how it's actually a complex set of planning is honestly really not on my fingertips now. Very difficult.

Pradeep Rawat:

Yeah. Okay. Okay. I will connect with him offline. So thank you. That's all for my side.

Moderator:

Thank you, sir. Due to time constraints, we won't be able to take more questions. Now I hand over the floor to Mr. Rupark for closing comments.

Rupark Sarswat:

So thank you for giving us that attention, for coming to our call in a busy day when we have got a number of calls to attend, asking us a number of questions, testing our knowledge of our own business itself. I'm sure I hope I gave you reasonable replies to most of the questions, and I'm conscious that some of you needed some more details from my colleagues Anand as well as Manish. We'll be happy to take them on later on. Otherwise, that's all from our side. Thank you. A very good evening to all of you, and have a good evening.

Moderator:

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you, participation, and for using Doorsabha's conference call service. You may all disconnect your lines now. Thank you and have a pleasant day.

(This document has been edited for readability purpose.)

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Call: Aug 2024

5th August, 2024

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Mumbai – 400 001 Bandra (East), Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 – Transcript of Q1FY25 Earnings Conference Call

Further to our letters dated 22nd and 31st July, 2024 and Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q1FY25 held on Wednesday, 31st July, 2024 is attached.

The same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

India Glycols Limited
July 31, 2024

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India Glycols Limited
Q1FY25 Earnings Conference Call
July 31, 2024

MANAGEMENT MR. RUPARK SARSWAT - CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL - CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA - HEAD- SALES AND MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD - LIQUOR BUSINESS
MR. ANKUR JAIN - HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST MR. ROHIT SINHA – SUNIDHI SECURITIES LIMITED

Moderator

Good evening, ladies and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to India Glycols Limited Q1FY25 Earnings Conference Call hosted by Sunidhi Securities. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Rohit Sinha from Sunidhi Securities. Thank you, and over to you, sir.

Rohit Sinha

Good evening, everyone. Thank you for joining us on India Glycols Limited Q1FY25 results conference call. I would like to thank the management for giving us this opportunity to host the call and congratulate them for a good set of numbers. We are joined on this call with India Glycols Management, represented by Mr. Rupark Sarswat, Chief Executive Officer; Mr. Anand Singhal, Chief Financial Officer; Mr. Rajesh Marwaha, Head- Sales and Marketing (BSPC); Mr. S. K. Shukla, Head - Liquor Business and Mr. Ankur Jain, Head Legal and Company Secretary. I would like to invite Mr. Rupark Sarswat to initiate this proceeding with his opening remarks, post which we will have a Q&A session. Thank you, and over to you, sir.

Rupark Sarswat

So, a very good afternoon to everybody who has joined, and thank you for joining us. I, along with my colleagues, will give you a quick snapshot of how the quarter has been, and then we will take some questions. So, I'll take you through financial highlights, a quick review of the segments and a quick view of the financial results. So as you may have had an opportunity to look at, we've had a good quarter, I can say, especially I know over the last couple of years or probably more than that, we have been through a bit of a tight situation on the India Glycols front for all the reasons that we have discussed with you and several questions that we have answered. But it appears that broadly in terms of the strategy of the company, it has kind of worked for us, and it is also reflecting in the performance for the quarter as it also did in their performance for the last year.

So, if you look at our Gross Revenue is up to INR 2,283 crores in the quarter, which is up 21%. On the Net Revenue front, which is net of excise, we clocked a Revenue of INR 969 crores, which is up 41% and also, our EBITDA is up to INR 128 crores, which is up 21%, and our PAT is also up by 18%. So overall, I think a satisfying and a good growth quarter from our perspective. And if you look at most ratios, they have moved in the right direction. Now, there are several things we will talk about. I think I would highlight here that one of the things which has driven our top line as well as addition to the bottom line is the emerging biofuels business. And having said that, I think even in the chemicals space as well as potable spirits segment, we've seen good growth in top line as well as bottom line.

Now you remember we have had several discussions where we have briefed you that our strategy to get into grain-based ethanol was kind of also expedited by the fact that imported ethanol prices were very high, it was something that happened after many years of stability. So that helped us to mitigate the prices, but it also provides us the opportunity to cater to the blending market that we are serving right now. And more importantly, the imported ethanol price has softened and therefore, all the grain-based ethanol that we're producing, we were able to channelize into the biofuels space. And I will talk about what's happening in the biofuel and ethanol space whilst many of you may be quite aware of it anyways.

So, if I look at it again, one level below,

our Net Revenue surged by 41% and, now what we've also done
is that till last quarter, we were reporting ethanol sales into the power fuel blending sector as a part of

chemicals. But considering that it has become significant by itself, it is now reported as a separate segment. So, you see that our Chemicals business and basically specialties and performance chemicals business is 17% up YoY in terms of top line. And the biofuels business on a YoY has improved from INR 65 crores to INR 139 crores, which contributes significantly. And the Potable spirits business has also done very well to grow by 19.1% YoY. Our Ennature Biopharma business has also seen a modest, relatively speaking, the modest top line growth of 8%.

And that is, therefore, also reflected in an EBITDA increase by 21.3% and an EBITDA margin, which is also better than the last few years, and you would see a steady trend at 13.2%. So, in terms of some of the things that we're talking about, we have over the last 2 - 2.5 years, talked about our intent to invest in new value-added chemicals starting from almost scratch from R&D pilot plant, commissioning in 1 plant. We are nearly full commissioning. And I think I can say that whilst it's a little early, I do know, Specialty Chemicals businesses take time to build working with customers through partnerships and development work, which is what makes them Specialty Chemicals. We've had a good start, and we are quite confident in terms of the foundation that we see has been built for the new value-added chemicals business.

And the other thing that we've talked about, our joint venture has also seen significant recovery in margins, which is the joint venture with Clariant, which had also been under cost pressure for some time. And now you see whilst the joint venture top line has seen nominal growth, but there has been quite a significant growth in terms of the gross margin, which is upwards of 35%. And a lot of it is on account of the improved cost position and Equinox side that we supply to them. So that's one thing. And Anand ji I will give a bit of the segmental commentary, but could you highlight financials?

Anand Singhal

Thank you, sir. Now, for the Q1 FY25 on consolidated basis, the gross revenue is INR 2,283 crores, which is up by 12% vis-à-vis last quarter and 21% vis-à-vis the Q1 FY24. In net, turnover, net revenue from operations is INR 969 crores vis-à-vis INR 926 crores in the last quarter, which is up by 5%. And Q1 FY24 was INR 689 crores up by 41%. PBT is INR 64.93, I would say INR 65 against INR 51 crores in the last quarter that ended on 31st March 2024 and Q1FY24 it was INR 58 crores. PAT is INR 60 crores against INR 42 crores in the last quarter and INR 51 crores in Q1FY24. For the current quarter on a consolidated basis, the EPS

is INR 19.5 vis-à-vis INR 13.6 in Q4 of last year and INR 16.5 in Q1FY24. So, this is about the consolidated results.

Rupark Sarswat

Thank you. Let me talk about our segments a little bit. So, if you look at our Chemical segment, for example, we have seen an EBIT margin of 9.9%, and which is up from INR 336 crores to INR 393 crores. And for our Potable Spirits business, the number that I talked about, we saw a growth from INR 235 crores to INR 280 crores, which is 19% up and with the EBIT margin of 17.5%. In the Biofuels segment, our EBIT margins, not only have we seen an increase in terms of our top line, which I mentioned, but also because of the improved structure of the cost, which is dependent on several things, which includes the cost of grain to us, the selling price of DDGS and the sale price of ethanol, the overall EBIT margin position for Biofuels has also improved from close to 5% to close to 8% now.

In general, top highlights in terms of the segmental performance, I talked about the numbers. We see that to some extent; our cost pressures have continued. B

ut despite that, we have seen improvement both in
top line as well as bottom line as well as percentage EBIT margins. And we continue to work on optimizing our costs, mainly by looking at how we can optimize our ethanol costs, energy costs as well as processing costs.

Whilst you know the numbers for Biofuels, since we've also separated it as a segment just now, I'll give you a quick update on what's happening in this space. So, if you know from 2014, where India hardly did any blending, in 2019-20, we moved about 5% blending against the target of 5%. In 2020-21, the government had a target of 10% and we moved about 8.7% blending. In 2022-23, the government had a target of 12%, and as a country we did a target of 12%. In 2023-24, there is a target of 15% blending, and the blending fee ratio was about 12.1%, but blending in May is 15.4%. So, in short, what I'm trying to say is that the blending program is on track, and we expect that the 2023-24 blending program will finish it with about 14% blending. Now we also have some assessment, I may not be precise here, in terms of the capacity that exists in the country for ethanol. And we see that the blending program will move up from 15% to 17% to 20%. And it will be fair to assume that even by 2025-26, even if we don't do 20%, hopefully we will do, it will be fair to look at the track record and say that we probably end up doing 18%-plus blending.

What this means is that if this level of blending has to happen, the country is still significantly short of ethanol capacity, which in some sense is a good news for the business that we don't see overcapacity happening over the next few years and considering that IGL has an advantage in terms of our cost structure, in terms of our brownfield site and also in terms of our synergies in ethanol, I think it is good from an IGL perspective. And also the government has supported its mandate by increasing the procurement price for ethanol, which can get close to INR 64 for damaged food grain-based ethanol, surplus rice-based FCI at 58.5. We see going forward an encouragement for people to also start using

maize and the supporting price for that ethanol is also good by the government at point in time is close to INR 71.86.

So that history, in general, I shared this data with you to highlight that it appears that the blending program is on track, and we are confident that this part of the business over the foreseeable future, will continue to remain an important driver for top line as well as bottom line for IGL as well as some other players who've made a head start in this business.

So far, the Potable Spirits performance, we've seen our revenue at INR 280 crores is up 19.1% and EBIT at INR 49 crores is up 14.2% with EBIT margin of 17.5%. Of course, we look at some of the questions later on, but sales have been driven mainly by increase in country liquor sales in Uttarakhand, and we continue to maintain our dominant positions, a big dominant position in Uttarakhand, but also a dominant position in the UP market. In terms of IMFL sales or Indian-Made Foreign Liquor sales, our sales have been driven with excellent growth in the UP market and also a relatively new area for us, which is our product approved in the paramilitary sales.

In Ennature Biopharma, which is a relatively smaller segment, which is plant-based extract and nutraceuticals, we've seen a healthy top line growth, but we've had because of a number of reasons, cost pressures particularly both on nicotine as well as Thiocolchicoside, which means that our margins have remained under pressure. However, we continue to look at one, greater penetration of the regulated markets of US and Europe that needs significant amount of work and we are in the process of working on that. And two, we continue to look at more value-added products in this area. So that is a quick snapshot of the quarter

from my side, and I think Rohit, we can take questions and respond to the specifics.

Q&A

Moderator

Thank you, sir. First question comes from Balasubramanian from Arihant Capital. Please go ahead

Balasubramanian

Good evening, sir. Congratulations for good set of numbers. Sir, my first question is regarding this INR 1,160 crore allocation to oil companies. How much you're confident in achieving those allocation contract by this year? And secondly, in biofuel side, we can see 7.8% kind of margins. Can we see double-digit margins in coming quarters? These are my first questions.

Rupark Sarswat

In terms of the allocation, we've looked at the numbers and we have seen that they give an allocation and we’ve tracked our allocation number for what is known as Ethanol Supply Year, which starts in November.

And the tender allocation product for us starting with November 2023, we have seen that the actual orders that the oil companies placed have been only slightly lower than the allocations that they have given. And I don't have the exact numbers, but it has been 90-95% of the allocation that has been given. Our projection is that this kind of trend will continue. And whilst we may miss the allocation numbers slightly, by and large, the kind of numbers broadly that we have given to you, we should be able to meet. It does depend on, it's not a contract as such while it's an allocation that they give. There are many factors like logistics etc. based on the ability of the oil companies to be able to blend throughout the country. Sometimes the orders are a bit lower than allocation.

Now, from your perspective, I had mentioned to you, and I had given data for many years based on the target that the government had on percentage blending and the actuals that the country achieved. So, if you look at the last several years, more or less we've cracked the target. And our projection is that compared to a target of 15% blending, we will do 14% this year. So, I think by and large the blending story is intact.

Now as far as gross margin is concerned or the EBIT margin that you talked about 7.8%, I think it's very difficult for me to speculate whether this will become better because it is a function of several things. It is a function of grain prices, which have been tight. It is a function of what we are able to do in terms of DGCS sales. I think DGCS is as a source of protein, we are looking at newer ways of utilizing. It’s not only are we looking at it, but the industry is looking at it. And it is also a function of the price that the government gives on procurement of ethanol.

I would imagine the right thing to assume would be that the government is committed for the blending program and because the government is significantly involved in regulating it, regulating it and controlling it in some way, they will keep it profitable, but it is not a business where suddenly if the demand is high and the supply is low, you can fetch a huge amount of price. So that's my overall take. Shukla ji would you like to add something?

S. K. Shukla

Yes. Because the government is continuously insisting to promote maize to increase the profitability of the industry and the farmer both. So, industry and associations are doing hard and we have already started our maize farming in our own catchment area of Gorakhpur and we are going to start from Kashipur. And we are expecting approximately 20-25% would be the self-placement area maize availability in 2025-2026. So certainly, we are focusing on the variety, which would increase the ethanol yield. And second, the catchment area in which we are focusing, we would like to ensure the back-to-back logistics, so that the entire approximately 70-80% maize which is grown by the farmer would be made available to our industry.

So, the state government is also assisting us. So, as far as raw material is concer

ned, in couple of years,
we are very positive about the availability of the new maize crop, which is the most essential for those land where the water availability is a challenge in part of UP and in some part attached to our Kashipur

plant, where the irrigation is the problem. You know that the 40% less water is required of the maize crop. So, looking to all these scenario, the availability of maize for the industry would seem to be very comfortable in next 2-3 years.

Balasubramanian

Sir, this NSU plant is supposed to be complete in this quarter. Right now we are doing around 150 tonnes per month and post these completions, what kind of ramp up we can expect? What kind of additional revenue opportunities? And other CapEx plans also you can likely touch upon, like this grain-based distillery and bio-based ethanol CapEx progress. So, how much CapEx we spend in this quarter, Q1?

Rupark Sarswat

Yes, so, I’ll take the question around new chemicals and I think Shukla ji and Anand Ji will take the question on CapEx on bio ethanol. So, look, as I mentioned to you, we've had a good start in terms of our projects. And if this business is different from, say, an ethanol business or a petrochemical business where you have a ready demand and you are able to then starting to cater to it. It involves working with partners to customize work on development projects. So that for us has been a good story and don't take this as a projection, but I think in the financial year we are targeting to do INR 150-200 crores kind of top line through new value-added products, which in my opinion, if we are able to do is a very good start.

Considering, keep this in context compared to some other specialty chemicals businesses or our own business, which was there, which after many, many years had reached levels of INR 600-700 crores. So in that context for a specialty chemical business to start making INR 100-200 crores in the kind of 1st year after commissioning is, I think, a very healthy time. But these are projects which are not only dependent on capacity, these are dependent on application knowhow, technology development. The pipeline is robust, and we are working on it.

Anand Singhal

Regarding the CapEx, which we are already in for the increase in the capacity in Kashipur from 400KL to 500KL, we hope that CapEx will be completed in Q3. And as far as the CapEx, which we have undertaken in Gorakhpur, from 110 to 290KL, I think that will also be completed in Q3.

S. K. Shukla

Sorry. We will be able to start both the plants adding the 50% of additional capacity from the new ethanol year, maybe November second half or first week of December, which would be adding our 50% additional capacity.

Anand Singhal

And with respect of the expenditure on the CapEx in Q1 FY25, we have spent around INR 60 crores on all the CapEx whatever is going on right now, and hopefully, will be capitalize once these are complete.

Moderator

Thank you, sir. I request the participants to restrict with 2 questions in the initial round and join back the queue for more questions. Next question comes from Imran Khan from Longbow India Capital. Please go ahead.

Imran Khan

Hi. Thanks for the opportunity and good afternoon. I am fairly new to the company, so my questions would be a little fundamental and maybe repetitive, so please excuse me for this. First question is on the Potable Spirits business. I wanted to understand what raw material do you use for this business to make ENA?

S. K. Shukla

So, 100% grain-based ENA we use, which may be the broken rice, which is unfit for the human consumption. And second, maize, so we are consuming both the feedstock for the making of Extra Neutral Alcohol.

Imran Khan

And sir, lately, where is the raw material basket tilting towards? Is it maize or it is still substa

ntially broken
rice?

S. K. Shukla

So maize in India, which is more popular for using and making the ethanol from the last 13 to 14 months, so maize is very new, so mostly we are using grain. I am talking about the Indian made foreign liquor. Indian made foreign liquor we make from grain-based ethanol, and country liquor we make from the both grain-based and the molasses base.

Imran Khan

Got it. And the second question is on the biofuel business. Sir, you reported EBIT margins for Q1 and Q1 for FY2524, but I was looking for the same margins for Q4 FY24, but I didn't find it. So can you please share that if it is possible?

Anand Singhal

Okay. We will share separately.

Imran Khan

Would it be similar or there would be a marginal difference compared to Q1?

Rupark Sarswat

We can share the numbers to you, but in fact, I had spoken about it earlier that our Biofuel margin has actually improved slightly. But we can give you the specifics, we have the numbers.

Imran Khan

Okay. Okay. I'll wait for that. Later you could…

Anand Singhal

For Q4 FY24, the EBIT margin was 7.9%, while in the current quarter it is 7.82%. So as CEO Sir is saying, it has improved.

Imran Khan

Right. So then in that case, you don't make biofuels from grain, is it? Because in Q4, I think the grain cost was very, very high and people had very -- margins were a little lower for almost all the people. You haven't seen that thing at all?

S. K. Shukla

No, no. We are making 100% ethanol from the grain-based and our margin would be operational efficiency and better sourcing. So all these things will be dependent on the making margin.

Rupark Sarswat

Just to add to that, I mentioned to you, I think the previous Bala had asked us a question or somebody had asked us a question, as to whether our margins in the biofuels business, we see getting into double-digits when I responded there, that is actually a function of many things. Grain price is one of the factors. There is also selling price of grain base, there are energy cost and conversion cost. And more importantly, there is a procurement price, which is decided by the government. So if you're seeing an improvement in

margin, it is on account of while grain have gone up, they've also come down a little bit. It is a function of a combined effect of these factors.

Imran Khan

Right. Completely understand. Just one last thing before I move to the queue. Can you call out the average grain cost for Q1 and Q4, if it is possible?

Rupark Sarswat

So, you want separate numbers, or you want what is it running right now?

Imran Khan

If you would be able to share for rice and maize separately, that would be very helpful, yes.

Rupark Sarswat

I suggest you just, you know, drop us an email, we will share these numbers with you. You want for previous year and this year and so on.

Imran Khan

Not previous year, maybe last quarter and Q4 only, just 2 quarters.

Rupark Sarswat

We will share with you.

Moderator

Thank you. Next question comes from Ranbir Singh from Nuvama. Please go ahead.

Ranbir Singh

Thank you. Thank you for taking my question. And congratulations to the board members for this quarter. Two questions I have, one, related to industry dynamics around ethanol. Just wanted to understand that how much ethanol is required to meet up 20% blending? And of that, how much has already been supplied? So what I see in news that roughly 401 crore liter has been supplied and that constitutes 15.9% against targeted 20%, so they have reached 15.9% in June. So that translates into some 500-550 crores

liters required for 20% blending. So I think somewhere my calculation seems wrong. So just I wanted to understand how much liters actually government need to meet the 20% blen

ding?

Rupark Sarswat

So I will respond to this in terms of our assessment. I don't have some authentic source to quote you that this is the exact number. But our assessment based on percentages, and I think some sources which my colleagues would have looked at is that the total demand for ethanol has risen at 5% blending, obviously the consumption also increases also, so 5% is also increased number. From something like 173 crore liters in 2019-20 to expected 725 crores liters in 2023-24, which is at 14-15% blending. Now this number is expected to go up to broadly 1,000 crore liters in 2024-25, and in my assessment, if you do 18% blending rather than 20% blending to about 1,100 crore liters and you can proportionately increase if the blending goes up to 21%.

Ranbir Singh

Okay. So roughly ballpark, I think 1,100 crore liter would be required.

Rupark Sarswat

1,100-1,200 crore liters.

Ranbir Singh

Okay. And because our capacity is in KLPD, so what would be the annual capacity if you convert into liters? So how much liters that translate into if we have the expanded capacity, it would be roughly 1,000 KLPD, 1,095 KLPD. So, how does it translate on an annual basis?

S. K. Shukla

So, basically, we'll be able to supply in the next ethanol year, which starts from November or December, 25-26 crores liter.

Ranbir Singh

Okay. Sir, normally we multiply because in case of molasses or sugar year, normally one season, half of the season, normally, we take for calculating this annual capacity. So, in grain also we calculate the same way? Or for grain, it is that whole year we normally process to produce ethanol?

S. K. Shukla

Correct. Your question is very correct. See, sugar season start from November and ends by April or lately by May in a few cases. But grain distillery would run around 350 days in a year. And sugar mills, whatever they will store the molasses at the last working days, they again can be utilized in 3-4 months maximum depending upon their storage capacity of molasses. So, you can say sugar based on an average they are running around 260-270 days and grain based roughly 340-350 days.

Ranbir Singh

Okay, fine. And the last one, in Potable Spirit, how much cases we have sold in this quarter for IMFL and Country liquor?

Anand Singhal

Okay. What I will do, you send me the mail I will give you these figures, because right now we are not having the ready data. Okay?

Ranbir Singh

Okay. No issue.

Moderator

Thank you, sir. Next question comes from Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor

Namaskar to everyone and thank you for this opportunity. Sir, when we look at the current quarter's performance, the finance cost is still hovering at around INR 35 crores plus. That means on competitive basis wherever we compare within QoQ or last year, this number is rising unabated. So if you could give us some color on what's our strategy in lowering our finance cost? That would suffice my first question.

Anand Singhal

Saket, finance cost has gone up only because of the reason that all term loans are continuing. Plus, whatever Capex we have done that has been funded by almost term loan. Apart from this, the overall rate of interest has gone up because every bank now is giving a very good deposit rate. So, MCLR of all the banks has gone up. So that is hurting us and of course we are planning to reduce the finance cost, but in this year, we are not hopeful for drastic reduction of the finance cost. Maybe from the next year onwards, maybe FY25-26, yes, the finance cost will start coming down.

Saket Kapoor

Okay. And that will happen, sir, only when this capacity for both our distillery and biofuels kicks in, and that will lead to improved margins and cash flows. And that will be when the repayment start, that should be th

e cycle you are referring to?

Anand Singhal

That is true but the finance cost only because we have almost done the INR 1,000 crores CapEx . So, INR 1,000 crore if we have taken INR 500-600 crore loan, which is ultimately capitalized. But we will still have to pay interest, right?

Saket Kapoor

Correct, sir. And sir, what is the current maturity for this year?

Anand Singhal

Maturity of what?

Saket Kapoor

Maturity of loans. How much repayment is due this year?

Anand Singhal

In the current year, approximately INR 250 crore maturity including EPBG.

Saket Kapoor

And sir, when we look at the Ennature Biopharma numbers also, I think so, last time also when our head of biopharma spoke, he did allude to the fact that there is pressure in the nicotine market and all. So, sir going ahead what straegy are we making for the current year and how much utilization levels do we have and what changes are we making in product mix ? If you could just highlight how this segment is going to perform? I think we should have, yes.

Manish Pant

Saket, Manish this side. Saket, the numbers which you are seeing right now for this first quarter, we would expect it to remain same in the next quarter also. And there could be a spike in the Q3 onwards because now we have started for the value-added in this branded nutraceuticals. And our facilities are being

upgraded according to that. And shortly we are going to have US FDA and one CB audit over there to get the certifications done. After that we would be able to sell our branded nutraceuticals in the European and American markets. Other than that, there are other few major products like Thiocolchicoside is facing pressure but still we are maintaining the pole position in all of India by supplying the maximum Thiocolchicoside.

So, the margins certainly has gone down, but we are in absolute terms we are having that profit over there. In nicotine because of certain new facility came up the price are under pressure. But now this nicotine we are having certain major tie-ups with the local bodies who are into this making of international products in more prime format. So we are going to supply the pure nicotine to them, that will going to be added certain margin to our bottom line.

Saket Kapoor

Sir, just in understanding, how are you seeing that and given the current market conditions, how is the visibility as compared to last year? Because these are things which are dynamic also. But taking today's condition, how should we conclude? Because this is where the disappointment has been for the last year.

Manish Pant

So, are you talking about only nutraceuticals?

Saket Kapoor

Only Ennature Biopharma. Yes.

Manish Pant

The revenue would be more than whatever we have done in the last year. But certainly, the margins are under pressure, and it would remain under pressure. We are just waiting to see the Q3 performance, then if it then improves then there is a possibility that we would surpass the last year numbers, otherwise it will remain same, almost same.

Saket Kapoor

Right. Sir, I will join back the queue.

Rupark Sarswat

Saket, I was almost waiting for your question. You see, as I mentioned earlier, we are looking at two broad strategies in this space. One is, penetration of regulated markets through approvals, which is various

standards, US FDA et cetera as Manish mentioned and also getting into the branded nutraceutical space. As you would imagine, both of them are slightly time consuming so we expect some of these pressures will continue in the near term. But there is a strategy that we're working on, which we briefly explained to you.

Saket Kapoor

Rupark ji, if I may just add one more point. So that given the parameters and the base which we have built for the Q1, especially also the performa

nce of the JV also, contribution has just doubled QoQ. So can we consider this as a base for this year, at least this would be a good showcase of what this year can translate because if we take all the variables into account, or can there will be a different picture, that may appear going there.

Rupark Sarswat

Sir, you know the company as you have been tracking the company and we have been discussing, we have been explaining, that we don’t track or predict the numbers. We talk about macro trends as terms of what we are doing. Then we give that assessment and I think you are well-positioned to take an assessment. And my language has been consistent for the last 2 – 2.5 years. We believe that ethanol prices imported have come down a little bit. If we are lucky, we will see some more reduction in the months to come, which will impact the overall business, including the JV business in a good way.

We don't as of now, nobody can, especially in today's world, be an astrologer. But we believe that there are reasons to believe that the fundamentals of the business, which have led us to a healthy this quarter as well as last year, are not changing, and therefore, these trends would continue. There is nothing which has happened suddenly because of which we've got a windfall. I think it is based on the broad strategy for the business. There is an element of macroeconomic dynamic, which plays out sometimes, which we discussed with you. I don't see any major structural shifts happening there, which as of now look to me to be fully we have done.

Saket Kapoor

Okay sir. Thank you. I'll join back the queue.

Moderator

Thank you. Next question comes from Tushar Vasuja from Yogya Capital. Please go ahead.

Tushar Vasuja

Okay, sir. So, my first question is, what's your capacity for MEG and ethyl oxide? And what would be the utilization for FY24 and Q1 of this year?

Rupark Sarswat

See, our capacity in terms of MEG equivalent or ethane oxides are significantly higher than what we are producing right now. In fact, we have taken cost optimization actions to ramp down the plant that we are running to make sure that our costs are kept in control. So, from a growth perspective, that is not a concern at all. It's in the sense that IGL was a player in the MEG potential market where we were selling large volumes. The dynamics have changed, a lot of our business and profitability in MEG now comes from bio-based MEG. So, we don't have high-capacity utilization numbers. I don't have the precise numbers with me right now. If you write to us, we'll give it back. Our total capacity in terms of MEG equivalent, ethane oxide as well as MEG put together is about 600 tonnes per day.

Tushar Vasuja

Okay, sir. And sir, what's your capacity for producing nicotine and what's the utilization right now? And what can be the peak revenue potential for that capacity as per current prices?

Manish Pant

Tushar, I don’t have the precise number right now. If you could send an email to me or the email ID whatever has been given in the presentation, then we would reply to you.

Tushar Vasuja

Okay, sir. So one more question. In your Investor Presentation, you mentioned that after the Kashipur expansion, your ethanol capacity will be 500 kilo liter per day and your biofuel capacity will be 590 kilo liter per day. So will you procure more ethanol domestically for producing biofuel or how that work? Can you please talk a bit about that?

S. K. Shukla

We have the in-house capacity to make ethanol, as mentioned in the capacity for the Kashipur. We don't go to buy ethanol locally. We have the in-house capacity.

Tushar Vasuja

Sir, biofuel, your ethanol would be only self-produced. Is that understanding correct?

Rupark Sarswat

There are two things we need to understand. When we talk about our

total biofuels sales, we talk about
total sales from two of our sites, Gorakhpur as well as Kashipur. I think there is some confusion there, so the two need to be added up. And just to clarify, no imported ethanol can be sold into biofuels, and we

don't do that. It is not allowed in the country to take RS from imports and selling into biofuels.

Tushar Vasuja

Okay, sir. Okay. I have few more questions. I'll fall back in the queue for that.

Moderator

Thank you. Next question comes from Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri

Yes. So, sir, I just wanted to understand like from like our Q1 numbers are very good. So we hope to be able to sustain these numbers like and can the margins improve?

Rupark Sarswat

I've answered this question. As much as you would like to have a precise answer, and I would like to have a precise answer, and I would like to have a better answer. I explained this answer just before that the macro trends and what the business is doing strategically, we think is the right thing and right now things are moving in the right direction. I think to answer your question whether the numbers can improve? The answer is yes whether I can project that the numbers will be higher, I will restrain.

Darshil Jhaveri

Okay. Fair enough, sir.

Rupark Sarswat

Sorry for the disappointment.

Darshil Jhaveri

No worries about it, sir. And, sir, just one small clarification, sir. I think you were saying that with the new capacities around INR 150-200 crores revenue we could see for this year, right? So just like, it's for, for

what part were you saying that, sir? Like, our new total CapEx will come online in Q2 and Q3. Was it for that?

Rupark Sarswat

So see, what I mentioned was that there is something like INR 150 -200 crores of top line in this financial year that we are targeting to do based on new value added products, which is Specialty Chemicals, okay? Which is a different business compared to glycols or bio-based ethanol because the longer term strategy of the company is to also build a good value added sustainable, hopefully more profitable portfolio of businesses. And so that is one part of the CapEx. Our CapEx is in several areas. Our CapEx of Specialty Chemicals was lower, but our major CapEx has happened in grain-based expansion, or ethanol expansion. So that is what it was about. It was only the two Specialty Chemicals that I gave that number.

Darshil Jhaveri

Okay. Fair enough, sir. I just wanted to understand in terms of the ramp up for our grain-based plant, so what kind of utilization would we get in the start? Like what kind of extra revenue could we hope to achieve from those in the current year?

S.K. Shukla

As I told you that our capacity is proposed to be 50% additional on this year from the 1st of December. So accordingly, we hope our margin will be increased.

Darshil Jhaveri

Yes, but it would take some time to ramp up. Like what kind of utilization will we be able to hit in maybe the Q4 quarter like?

S.K. Shukla

Around, we can say, 80-85% capacity will be utilized.

Darshil Jhaveri

Okay, fair enough sir.

Rupark Sarswat

What happens here is that we are quite confident, and we base it on based on how we see the government is improving the blending. And we have kind of try to phase our capacity and what we do is, we kind of maybe it's not the right word, we apply for allocations, okay? And then we have allocations and we tie-in or tie-up or couple our expansion plan based on allocation. I also explained in the beginning, somebody asked me a question that allocations are there, but how much will happen. So, I said I cannot predict, but I have looked at the trend and the actual pickup has more or less been in line with allocation, a slight percentage below. And I expect broadl

y the trend to continue, and we are kind of mapping our capacities to follow the government's ramp up.

Darshil Jhaveri

Okay. Fair enough. So yes, that's it from my side. Thank you so much, sir.

Moderator

Thank you. Next question comes from Manish Sadanand, an individual investor. Please go ahead.

Manish Sadanand

Yes. So, the first question relates to the last conference call of the last Q4 FY24. We were expecting the margin in the country liquor space to improve on threefold factors. One, the increase in the supply rate of quarts, pints and nips, and second, increase in the volume, and third, the lowering of the packaging cost. But when we compare the EBIT with regards to the Q1 FY24 available and Q1 FY25, the margins have down slightly. So what factors have played out exerted pressure on those margins? And we are already in the first month of the Q2 and how are those factors playing in the current quarter.

S. K. Shukla

The county liquor margin, we have increased already our volume around 20% as compared to Q1 of the last year. So certainly, our overhead expenses reduced and the packaging prices, around dip of 10-11% as compared to last Q1. Since we have increased our capacity in both the plants, Kashipur and Gorakhpur, so relatively our margins in the Kashipur plant is little bit higher than the last Q1. So this is the reason as of now, the increasing the more profitability in the country liquor segment.

Manish Sadanand

So how are these sectors being playing in the Q2 and the first month? I mean, do you see any improvement in the margins going up?

S.K. Shukla

No, margin would remain same because both prices because mostly country liquor, all the raw material prices, basically feedstock prices is already fixed by the government. So, we don't think any negative impact in the Q2.

Manish Sadanand

Okay. And my second question is regarding the debt. I know I was going through the MCA website, and there were certain charges being created in the month of June and July. So to extent of INR 165 crores from Exim Bank and two other banks. So are these the fresh borrowings? Or are these the modification of the charges are taken over, the loan being taken over by the other banks? So what is the rationale behind it?

Anand Singhal

That is the fresh borrowing, Manish.

Manish Sadanand

Okay. So, and this fresh borrowing that we are utilizing it for the -- for what Capex are we utilizing that?

Anand Singhal

For running Capex as well as raising some funds for the working capital requirement.

Manish Sadanand

Okay. So our net debt as on date stands at what figure? And we were to get some money from Clariant, have we got that? And what is the delay? And when do we look forward to receive that and reduce our debt?

Anand Singhal

Our debt is around INR 1,000 crores right now. Regarding the money, which is to be received from Clariant, that is still outstanding and that will come by 31st March 2025.

Manish Sadanand

So, this INR 1,000 crores that you mentioned includes the fresh borrowings of the working capital and that is being reflected in the MCA website.

Anand Singhal

The amounts is debt as on date. That's what I'm saying. It means that already includes the debt that we have already taken.

Moderator

Thank you. There are no further questions. Now, I hand over the floor to management for closing comments.

Rupark Sarswat

Yes. Thank you very much for your time, and as usual, good probing questions. It's good to be here with you all after a decent or rather good quarterly performance. And we hope as much as you hope that we'll have a positive trend continuing for the business. We are here to make sure that we have the right strategy, we execute it well. And hopefully, with your good wishes continued, we'll continue to support ou

r shareholders. Thank you very much on my behalf as well as my colleagues here, who have been here on the call.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now.

(This document has been edited for readability purpose.)

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Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

IGL/SE/2025-26/37

15th August, 2025

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

Scrip Code: 500201 Symbol: INDIAGLYCO

Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q1FY26 Earnings Conference Call

Further to our letters bearing no. IGL/SE/2025-26/29, IGL/SE/2025-26/34 and IGL/SE/2025-26/35 dated 31st July and 11th & 11th August, 2025 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q1FY26 held on Monday, 11th August 2025 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

"India Glycols Limited
Q1 FY26 Earnings Conference Call"

August 11, 2025

MANAGEMENT : MR. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. RAJESH MARWAHA – HEAD SALES & MARKETING (BSPC)
MR. S.K. SHUKLA – HEAD LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD (LEGAL) AND COMPANY SECRETARY

ANALYST: M R. NITIN AWASTHI – INCRED EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q1 FY26 Earnings Conference Call, hosted by InCred Equities.
As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity to ask the questions once the management presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitin Awasthi from InCred Equities. Thank you, and over to you, Mr. Awasthi.
Nitin Awasthi: Thank you. Good evening, everyone. Firstly, I would like to thank the Management for giving us this opportunity to host the conference call today and also congratulate them on a good set of numbers.
We are joined on this call with the India Glycols' Management represented by Mr. Rupark Sarswat, who is the CEO; Mr. Anand Singhal – the CFO, Mr. Rajesh Marwaha – Head Sales and Marketing (BSPC), Mr. S.K. Shukla – Head Liquor Business, and Mr. Ankur Jain – Head (Legal) and Company Secretary.
I would now like to invite Mr. Rupark to initiate the proceedings with his opening remarks, post which we shall open the floor for a Q&A session. Thank you, and over to you, sir.
Rupark Sarswat: Yes. Good afternoon, everybody. And thank you for joining us. So, we have uploaded two versions of the presentation. So, before you start getting confused about it, you can look at either. There were just two minor points which are in the latest version in terms of uploading the prior one got uploaded. So, even if you have printed the earlier one or if you looked at the earlier one, there is no major change, you need not bother. But obviously, you might see two presentations getting uploaded, I thought I will clarify so that there is no confusion.
And as you know, we will talk about briefly the performance of the company:
So, we have had a good quarter, as you know. So, we have had a strong performance for the quarter with a net revenue which is up 7%. More importantly, the EBITDA growth is very strong at 18% and PAT growth is at 21%. So, you have seen a gross revenue go up from Rs. 2,283 crores to Rs. 2,503 crores, 10% up; net revenue to Rs.

1,040 crores from Rs. 969 crores, 7% up. EBITDA Rs. 151 crores from Rs. 128 crores, 18% up and PAT to Rs. 73 crores from Rs. 60 crores, 21% up.
From a margin perspective also, it has been good. So, our EBITDA margins are up 128 basis points. PAT margins are up 80 basis points. In terms of the revenue growth, I think we are very happy to report great growth in both the Potable Spirits and the Bio-Fuel segments. It has been a weaker kind of quarter for Chemicals and Ennature Biopharma. But when you look at chemicals, while the overall margin growth is actually better than the weakness in the sales growth. And in terms of percentage margins or the mix, we have seen improvement both in potable spirits as well as BSPC. And as I will tell you a little later, the joint venture performance has also been very good, which has contributed to the overall results.
So, to summarize, in terms of net revenue, our Bio-Fuel's top line is up by 45% to Rs. 348 crores. Our Potable Spirits revenue is up by 22% to Rs. 342 crores. Ennature Biopharma at Rs. 51 crores. And Chemicals or BSPC stands at Rs. 300 crores.
So, EBITDA margins have increased to 17.7%, to be precise, to Rs. 151 crores from Rs. 128 crores. And as I mentioned, that has expanded by 128 basis points. For Potable Spirits, our EBIT margins have improved from 17.5% to 21.1%. For Chemicals, our EBIT margins have expanded from 9.9% to 10.9%. Of course, there are several factors, but from an operating business, the EBITDA margin improvement in chemicals has been better. Our PAT stands at Rs

. 73 crores with margins at 7.0% against 6.2% last year. And we have had a very good increase in terms of the profit that we post from the joint venture, which is up 73.7% year-on-year to Rs. 19 crores from Rs. 11 crores.
In terms of overall financials, I have more or less highlighted them, so I will not go through the entire sheet. Several other points with respect to financial parameters, I

will ask my colleague, our CFO – Mr. Singhal, to talk to you about later. At a high level, I think we have continued to see a solid performance in Country Liquor, which is a good part of our Potable Spirits business. And we continue to be both reputed and a robust business with Bunty Bubli being recognized as the highest selling any brand of liquor in the country. Despite being a strong shareholder in Uttarakhand and UP, we have increased our shares in Uttarakhand marginally, and we have kind of maintained our close leadership position, which we have had in UP.

We have talked about it before. Our Amrut partnership has been gaining momentum. I think we have settled down in terms of getting that partnership going, and we are starting to see good momentum in UP, Uttarakhand, Delhi, and we are increasing our

focus on premium brands. And one of the important objectives for us this year is also to enter the CSD, which is the Canteen Services Department.

Within the Chemical space, I will talk a little bit about the businesses. But from a highlight perspective, we have a new value-added Performance Chemicals business, which is still small. But just to let you know that that is growing very well, and we are quite confident of the business pipeline that we have put in place. In fact, in select areas, we are doing incremental capacity expansions. And I think the indicators from our perspective are that this will continue to drive growth in the quarters and years to come.

For the joint venture also, there was very strong sales growth, excellent profit growth numbers. I think several factors have helped. One is that there has been a reduction in the EO price gap vis-a-vis Reliance, and we have seen much higher gap numbers earlier. And the JV obviously also has been focusing on what products they can bring from Clariant worldwide to position them in the Indian market, which is the imported products. That portfolio has increased and also helped to increase margins. In general, manufacturing in Kashipur also continues to focus on more innovation, more formulations, more value-added products. And I think that strategy is more or less in terms of the plan. And I think we have come back from tough situations over the last couple of years ago to the JV starting to look neat and tidy and doing well. And so, from a sales perspective, I think JV sales are also up in double digits. EBITDA is up in high double digits or well in excess of that.

And as you know, 12th August 2025, has been fixed as a record date for determining the entitlements of eligible equity shareholders for the purpose of subdivision split of equity shares of the company. And I think these are areas which we will talk about later.

Let me give you a high-level input on our segmental performance for our Performance Chemicals business:

Our top line has not done so well. It has been a weak quarter, and I will talk about it a little later. So, our turnover is down to about Rs. 300 crores, whereas for the Bio-Fuels business it is up from Rs. 239 crores to Rs. 348 crores, with EBIT margins at 6.5% in Q1FY26. The Chemicals business has EBIT margins of 10.9%. For the Potable Spirits business, top line up to Rs. 342 crores from Rs. 280 crores and EBIT margin is up from 17.5% to 21.1%. For Ennature Biopharma, margins have been under pressure, sales have been weak and so have been the margins for this business.

So, we have some amount of

portfolio shift that has been happening. So, you see that compared to other segments, the Potable Spirits business and the Bio-Fuels business have taken a larger share, both in terms of revenue or EBIT this year, which is more or less in line with our expectations. But we do think we have a strategy in place which is working for the Chemicals business as well as the Ennature Biopharma business.

So, let me start by talking about the Chemicals business:

So, we achieved a Rs. 300 crores top line with an EBIT of Rs. 33 crores, margin expanded by 100 basis points to 10.9%. I mentioned to you about Performance Chemicals and the strong growth by the joint venture, we sell ethylene oxide into the joint venture. Some of the areas in the Chemical segment have been under pressure. While we continue to sell glycols in niche markets, the gap with respect to crude-based MEG has increased, which means while there is still interest for green MEG, but if the gap continues to be high, there is increased pressure.

Crude prices have been lower, which means crude-based MEG prices have been lower. The demand for PET, PET resin, etc., has been softer. Having said that, I think at a more longer-term level, we continue to believe that MEG will continue to see steady growth. More importantly, greener MEG of which plant-based MEG is one part is expected to see double-digit growth over the period of time.

In the Potable Spirits business, our revenue is up to Rs. 342 crores, up 22.4%. EBIT at Rs. 72 crores is up 47.4%, and margins are up at 21.1%.

We have been focusing since last year on the partnership with Amrut because that gives us an opportunity to look at premium brands and acquire some brands which Amrut had not been focusing on as they focus more on their single malts, and it allows us to move up the value chain. Our focus so far has been UP, Uttarakhand and Delhi. And we have now included Amrut's Prestige Whiskey, which also in addition to others, we shall be adding to manufacturing, bottling and marketing that IGL shall be doing for these brands on a royalty basis. I spoke to you about strong performance in Country Liquor with our flagship brand, Bunty Bubli, continuing to be the highest selling any liquor brand in India for three consecutive years.

In a newer segment that we had entered last year, we have seen strong growth, which is the Paramilitary segment, where we have strengthened our sales position and where IGL now supplies five brands and is amongst top four suppliers out of the 66 companies that had participated. We have also introduced some of our in-house brands

like Zumba Lemoni, Amazing Vodka in Kerala, which we consider a high potential market and also a market where we would like to increase sales for some of these relatively premium brands. We continue to hold leadership position, as I mentioned, in Country Liquor and IMFL, I mentioned that before.

We have spoken about the Bio-Fuel strategy before. I think it is something that we take some satisfaction in. Many of you have been attending our calls for the last three-plus years when we have been speaking about the Bio-Fuel segment. So, by and large, I think the government's strategy to blend Biofuels starting from 2017 onwards has been very robust. It has more or less gone as per plan. In fact, the initial plan of blending 20% was to be there by 2030, that was preponed to 2025. And as far as I know, we are well on track to deliver in '25.

Now when we say 20% blending, it does not mean that 20% is happening throughout the country. There are some portions, for example, in Northeast where blending is lower. But it means that in several big states up to 20% blending has been achieved. An empowered set of personnel from ministry, along with NITI Aayog, are looking at enhancing the blending to anywhere between 25% to 30% by 2030. There are signs that, to some extent, govern

ment is likely to move that forward.

But I think we will wait for the final call, and which essentially means that the Bio-Fuels business is expected to continue to grow. One, because of increased consumption; second, because of increased penetration across the country; and thirdly, if there is an increased blending mandate. And the more India looks at energy independence, I think that is one more added factor to continue to drive this forward, looking also at FOREX outputs.

The Ennature Biopharma segment broadly has two big molecules, thiocolchicoside and nicotine and various derivatives of them. Two of them have been facing some challenges, primarily because of slowing demand in terms of the developed country markets. Thiocolchicoside particularly goes via Turkey to EU. Nicotine demand is there, but there's also capacity and there are a number of new entrants that is putting some margin pressure.

But broadly, the strategy of the company has been to continue to come with differentiated products on purity profiling, continue to get regulatory approvals to participate in developed markets like U.S., Europe, Japan. We made good progress in that area. Continue to look at our formulations and the branded portfolio. So, whilst this particular business has been under pressure, but I think the broad strategy has been

very clear, we will continue to maintain the market but look at differentiation, registrations and regulatory qualifications, branded and formulated products to drive this business forward.

You have all heard about restructuring. I will just talk about the rationale. You are aware of it. And I think greater details, if you have any questions on it, my colleague Mr. Singhal will take it. Broadly, the idea has been to look at our businesses to enhance value. The idea is to put together Potable Spirits business and the ethanol or the Bio-Fuel business together into one business, which will be called IGL Spirits. To put the Chemicals business, value-added Chemicals business and the Clariant JV into one cluster. Clariant JV, I think because that sells chemicals and the profit from the joint ventures come into that entity. And to put Ennature Biopharma along with the biopolymers business into another business.

The idea is that different investors have different appetites for different kind of businesses. So, that gives us an opportunity to ride these businesses with different strategies satisfying how different investors may have interest in different businesses. Whilst we will continue to build on some synergies that we have because of the proximity of our plants and the integration of our business models that exist. There are some numbers to share, which have already been shared.

I will take a pause here and see that I may have missed out, particularly on the financial front because I have just given a very high-level overview. I will request Anand ji to give some more details and take your questions.

Anand Singhal: So, I think the results are already with all the investors. And just to read out the brief. So, on the consolidated basis, I think the CEO sir has already briefed.

EBITDA vis-à-vis Q1 in the current quarter is almost about 18% up, amounting to Rs. 151 crores vis-à-vis Rs. 128 crores in Q1 last year. The PAT is Rs. 73 crores vis-à-vis Rs. 60 crores in Q1 in the last year, which is up by 21%. And the EPS for the current quarter is Rs. 23.7, which is again up by 21% in the last year for Q1.

So, this is very brief I am giving and ready to take the question and answer. Because I am not taking much time, I will request to start the question-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital Markets Limited. Please proceed.

Bala

subramanian A.: Good evening, sir. Congratulations for the good set of numbers. Sir, my first question in the Potable Spirits side, I think we have seen highest selling brand of Bunty Bubli, I just want to understand how this dominance is sustainable. And secondly, we are focusing on especially in Delhi, Haryana and targeting Paramilitary in CSD channels and how these channels are picking up? And thirdly, in the Amrut side, we are targeting Rs. 850 to Rs. 1,100 in that range for our brands. And how these things are getting adaptable in the market? And finally, if you could share what is the breakup between IMFL and Country Liquor, approximately that would be.

Rupark Sarswat: So, Bala, thank you. You have given us a question paper. I have my colleague, Raju ji here, but I will try and answer just the first one, which is strong Bunty Bubli. And I will request Shukla ji. Shukla ji, are you there?

Shashi Kant Shukla: Yes, sir. I am here.

Rupark Sarswat: Shukla ji, so their question was, how have you managed to be number one in Bunty Bubli? And how do you think that will be sustained? So, I would request you to respond that. I was not sure if you are there. So, yes, please. And then I think you and Raju ji can take the remaining.

S.K. Shukla: Okay. Thank you. So, Bunty Bubli is the brand which came in the picture in 2006. And after 2006, because we are growing this brand approximately 15% to 20% every year. And the peculiar character of this brand is made from the rose and lime, which is more comfortable to the drinkers. So, that's why in the Country Liquor segment, the liquor is in three categories, 25-degree, 36 degree and 42.8 volume by volume strength. And in all strength, this brand is the most favorable brand because customers liking is growing day by day. And our size is currently approximately we are holding more than the 24% to 25% the share. And amongst the share, this brand is around 16%. So, this is undoubtedly the most favored brand in the Country Liquor segment, especially in UP. Raju ji, over to you.

Raju Vaziraney: Hello. The next question was on Delhi and Paramilitary and other segments, how are we growing? See, Delhi is a very safe market as far as payments are concerned, it's well known. And Delhi, I take satisfaction in mentioning that we are in three segments in particular. One is the regular segment where our Soulmate Blue is among the top three brands in the state of Delhi, and we command that position for the last so many years. We have a license in Delhi for the last 25 years. So, in other words, IGL is a prominent player in Delhi market.

Second is the segment of Vodka. Again, we are among the top three brands. There are more than 35 brands in Delhi of vodka, but we are among the top three brands of vodka in the state of Delhi. This is because of the fact that we use imported enhancers, which cost a little bit more, but the consumer shifts from other regular vodkas to our vodka. And once he or she shifts from the regular vodkas, he or she stays with us. We are increasing at an increasing rate in terms of market share. So, this is the Vodka segment.
The third segment, in fact, you clubbed it well with the third question, if I may say, that Rs. 850 and Rs. 1,000 segment. See, these are the two segments which are galloping. Galloping in the sense, the consumer is all the time very aspirational and all the time moving upwards and trading up the price ladder. So, it is very difficult to establish a whiskey brand in this premium price point. This is with reference to Delhi. As you rightly said, these are the price points of Delhi market.
So, this segment is growing in high double digits, and there was every reason for us to address this because of two reasons. One is our extra neutral alcohol, which goes to Diageo, Pernod, Radico, name the top big, big companies' world over, it is used by all of them. S

o, there was every reason for us to use it for our captive consumption. And as our CEO rightly said, we have, in conjunction with Amrut, taken certain brands on royalty basis.
So, we have made two brands, one is Maqintosh White Label, which is at Rs. 850 and one is Maqintosh Black Label which is at Rs. 1,100. These two segments are growing, and we are able to capitalize on the growth, and we are able to get more than 10% market share. We have not even completed one year of its launch. And it is quite satisfying that we have more than 10% market share.
Now as far as your third question or partially third question was Paramilitary. As our CEO rightly mentioned, this is an annual contract just to elucidate for the benefit of everyone, Paramilitary means ITBP, BSF, CRPF and SSB. So, these are the four arms of the defense forces which are paramilitary, they defend the internal that is India operation. Army defends the borders. That is the difference. So, they are under Ministry of Home Affairs. And they do an annual contract, which is generally extended for one more year. So, effectively, it is two-year contract.
It is noteworthy that out of 66 companies who tendered, less than half of them got approval, including IGL. And we are the number four company already in India. And just to mention that this is all-India supplies so it has a snowballing effect on the civil sales as well. So, this keeps us in good stead as far as our long-term pursuit of going

national is concerned because we are able to feed as many as, as our CEO rightly mentioned, five brands across our price spectrum that we have got into the entire country. I can talk more about it, but I will be very glad to field any other question.
Balasubramanian A.: Thank you for a detailed explanation, sir. In that Bio-Fuel segment, what is the capacity utilization at this point of time? And we have seen the revenue growth is much, much better, but we have seen some margin contractions. Are we facing on that raw material side, any issues, how are we dependent on domestic line supply? And is there any risk on the gross margin side if corn adoption faces any regular hurdles?
Rupark Sarswat: So, Bala, let me try and take that. And then if there is something else, then Shukla ji may add. So, your question was with respect to the Bio-Fuel segment and whether there is a margin squeeze there or whether there is raw material issue. The short answer is, there is no raw material issue. There were some hiccups last year, more to do with internal arrangements. There are multiple sources which the government has allowed, which includes sugarcane juice, C-heavy molasses, B-heavy molasses, rice, which is DFG, damaged food grain rice, surplus food grain as well as corn. And it is not a completely free market kind of system because the government has come up with very well thought through administrative price mechanism. They recognize what the various feedstocks costs are. And accordingly, if you see, different prices are given for ethanol, which is produced for using different feedstocks to make sure that there is balanced growth, there are many factors to be balanced. There is agricultural factors, there are climatic factors, there is factors to do with MSP, factors to do with excess foodgrain storage, etc.

And in terms of gross margins, as you know, there are three factors which lead to the money that we made in the Bio-Fuel space. One is the administrative price. Second is the cost of the grain, which is used, which is, for our case, either damaged food grain, DFG or surplus food grain. And the fourth factor is, at what price are we able to sell DDGS, which is the byproduct. So, like we continue to look at the overall profitability that we get, the government also continues to look at that. It is a flagship program for the government, so it's very important that people who have i

nvested continue to support this program.

So, what we have seen ever since we have participated in the market, there have been times when margins go up, margins come down a little bit. But the regulatory bodies play a significant role in making sure with respect to availability of feedstock, with respect to adjustment of prices which they have done from time to time. But by and large, a steady decent margin, not necessarily steady in the shorter term. And I have no

reasons to believe that that will go away. Now, we also keep track of overall capacities that the country has. So, the country has put up capacity but we do not have much excess capacity compared to the total demand. The market will continue to grow and people will continue to add steady capacity, but there is no huge excess capacity which will impact.

So, to answer your question, we are not in a situation where suddenly you will see a glut because of either raw materials are not available or suddenly because of market factors prices collapse. Prices are determined by the government. The government takes several supporting actions to make sure feedstocks are available. So, whilst there is some level of uncertainty on all businesses, and to some extent you may say that at times we may think that we could make more money, but this is a more steady, reasonably supported business backed by our national ethanol blending program. And at least I do not have undue concerns, and I have definitely spoken to you about this for the last three and a half years.

And at times, I was a little conservative, which also some people did not like. But at the same time, I was reasonably confident that this is not just a splash in the band. This is a well thought through agenda which the government has executed quite well, and I think industry players have come up to support that and deliver it throughout the country quite well. And if you look at how the blending has gone up in the country from something like 5% in '19-'20, to 10% in 2021, to 10% in '21-'22, there was a hiccup, to 12% in '22-'23, to 15% in '23-'24, to 19% in '24-'25, and we are expecting to do 20% in '25-'26, which, mind you, is ahead of the original plan of delivering this by 2030. So, I would not be overly concerned, and I would request you not to be overly concerned.

Balasubramanian A.: Got it.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please proceed.

Saket Kapoor: Namaskar, sir. Thank you for this opportunity. Sir firstly, with now Q1 through and we have the remaining three quarters. So, as an organization, what are our key operational and financial agendas or the thought process of the management for this current year? Because I think so finance cost is the area that needs attention and what steps are we taking to reduce the impact of the same? My first question. Secondly, on the CapEx part, last year we did around Rs. 750 crores, Rs. 700 crores-odd number,

what has been envisaged for the current year? And what are the current maturities which are payable for the current financial year?

Rupark Sarswat: So, Saket, after we answer your question, hopefully, you will buy some more IGL shares. No, that was on a lighter note ahead. Yes, go ahead Anand Ji.

Anand Singhal: So, regarding the finance cost, Saket, as such, as of now we are not planning to raise equity or something. That is always in the pipeline, always from last seven, eight years.

But since inception 1989, the company has not done any public issuance. So, yes, that finance cost is in our mind that, that is increasing, and we will certainly check that.

But number two, regarding the CapEx, we are not planning to do any huge CapEx in the current year. So, hopefully, the current year CapEx will be the rollover CapEx, which are coming

from last year or maybe maintenance CapEx, which will be about
Rs. 40 crores to Rs. 50 crores per year. So, we are not targeting any big size CapEx in this year, and we will like to consolidate. And after the demerger, the separate companies will think over the CapEx.

And regarding the financial performance, what you said, so I think the Q1 number is already indicating about the financials of the company when the company has already achieved Rs. 23.66 EPS. So, rest, you can think of on your own. I cannot give you the numbers and the projections because that is not allowed. But you yourself can rather guess what will be the financial numbers of the company.

Saket Kapoor: Sir, my question was really towards the trajectory part since a lot of CapEx has gone through. So, as you mentioned that our key agenda should be how to sweat those assets and create value out of it. So, that was the premise of the question. And for the current year, sir, what are the current maturities? How much is payable? And are we going to pay through the internal accruals?

Anand Singhal: Whatever CapEx is going on, that has already been funded. So, we are not targeting any fresh loan. And whatever the maintenance CapEx will be there, that will be from the internal accruals.

Saket Kapoor: Okay. Current maturity, sir, how much of the loan is due for repayment for this year?

Anand Singhal: Current year, the repayment will be about Rs. 300 crores.

Saket Kapoor: Okay. And this will be through the cash accruals only. We will be lowering the debt by that tune for this year?

Anand Singhal: Hardly any debt will be there, maybe Rs. 100 crores, Rs. 150 crores. But yes, Rs. 325 crores is the figure, which is payable, which will be paid out of the cash accruals.

Saket Kapoor: Right, sir. And sir, now coming to the JV performance, I think so the JV performance has been very good if you take the Q-on-Q number. And last year the contribution was closer to Rs. 47 crores, and this first quarter itself it is now Rs. 19 crores. So, what factors, actually Rupark sir did mention, but if you could describe more on to the same and the continuity of the same, what should be factored in?

Rupark Sarswat: Okay. So, Saket, I mentioned a couple of points. One is that we had faced a challenge where the cost differential between Reliance’s and IGL EO had gone up to as high as 42% in around mid of '23, July, August. Now, that really came down to close to 12% to 14% in the quarter. And that was the highest that we have seen, which was 42%. In fact, if you go back prior to mid of '22, or before that, for 5, 10, 15 years, never had been seen something like this, which was pre-COVID times. In fact, if at all, IGL EO cost was slightly lower than Reliance’s EO sales rise.

So, the good thing is that we have tided over the biggest obstacle of as high as a 42% differential, and we are down to operating in the 12% to 15% range. We have no reasons to believe that it's going up to fundamentally to those high levels. That is one. So, that has contributed in improving margins, getting more sales, and I think we have been able to not only sustain but drive our sales growth.

The second thing, as I mentioned, it also improved trading. So, when we formed the joint venture, Clariant had a trading business in India. When I say trading business in India, they do not buy products from everybody and sell it. I mean, products that are manufactured in Clariant and sold in India through the Indian entity, and that business was put into the joint venture that the joint venture will do that part, which means that we have access to several technologies, manufactured products throughout the Clariant world, which are sold into India, which also improved both the percentage margin as the absolute margin. This was the second factor.

The third factor has been the enhancement of the product mix within what is manufactured in Kashipur, some actions taken from here, some are also taken because there is greater access to Clariant's application know-how, the product chemistry on the table, bouquet, so to say. So, these are factors. Given that these are factors and given the end markets that the joint venture services, which you know, right, from personal care, pharma, crop care, textiles, lubricants, coatings, etc., which are also

growing, there are reasons for us to believe that there were fundamental reasons for the JV to start doing well. The challenges which squeezed profits a couple of years ago. And as I said, whilst nobody can give you an exact number on how business is going to perform, but going by the fundamentals of what the markets are doing, what the JV is doing in terms of drive the business growth, we believe that, again, this is not a one-off, I think the JV will steadily, in my opinion, you should expect JV to continue to steadily deliver good performance.

Moderator: Thank you, sir. The next question is from the line of Rohit from B&K Securities. Please proceed.

Rohit Nagraj: Thanks for the opportunity. Congrats on good set of numbers. Sir, first question is on the Specialty Chemicals front. So, how have we seen growth in terms of volumes? And how has been the trend in terms of pricing over the last one year? And what are you expecting? Are we seeing signs in terms of pricing recovery? Just your thoughts on this. Thank you.

Rupark Sarswat: Are you talking about the joint venture? Or are you talking about our own business?

Rohit Nagraj: Both our own business as well as on the JV part.

Rupark Sarswat: So, some of the factors are common. So, if you look at the joint venture, there was broadly 15%, 16% top line growth. And you already know the IGL share which grew by 73%, which means that PAT growth was similar, which is high. And EBITDA growth was around 40%. And the factors that I told you led to increased sales, which is why you see the top-line growth. But the EBITDA growth is much higher than top line growth because of a better cost position, raw material wise and transaction wise, and also improvement of the mix. And when all of these go up, generally PAT is more sensitive, so that goes up as well.

Our story in value-added Chemicals has some factors. But obviously, we are starting with molecules which are different, which we are entering the market and our strategy is also somewhat slightly different.

One of the things that we are doing in our Performance Chemicals business is, whilst we continue to build on our green credentials, we are not as dependent only on EO ethanol in the bouquet of products that we have. It's not that we are discouraging ourselves from doing EO-based products, a lot of EO-based products from the segment

is done also by the joint venture, and we have other ideas. For example, one of the areas that we have been looking at and doing well is oil fields chemicals, and we are looking at areas like crop protection, bio-based amines, carbon smart products, etc. Our business will be led more by building partnerships where it is not that I have a product and suddenly go and sell into the market. It is generally about product development that takes us two to four years to work with the customer on developing the product process, understanding the applications and delivering the value that they seek. Broadly speaking, we are looking at significant, kind of ballpark I am saying, so keep that in mind, in excess of 150% volume value contribution growth in that small segment.

Now, we think that is what our target is, maybe higher. I think the potential is more as well. And I have reasons to believe that we should continue to deliver that kind of growth at least in the foreseeable future or the years to come. Our broad strategy has

been to become good partners with good players. The kind of companies that we are working with are generally very reputed global partners, which see value in IGL. We do not see ourselves as either low-cost players or just commodity players or me-too players. Our objective, obviously, is to be preferred, if possible, indispensable partners to some of these players.

And I think that strategy is well in place. It is a business which takes some time to build. I am very confident that sometimes you have ups and downs here and there. But broadly, that business will continue to grow. And we should be able to maintain our reasonable contribution levels as well. Sometimes you enter with an entry strategy into the market and then you improve your contribution by doing several things, by doing front-end differentiation, by improving your processes, etc. Those are things that we are working on. We have certain ideas about the business, which could be quite strategic and also, god willing, give step increases rather than merely incremental, but it is very early for me to start elaborating on them. So, looking at different feedstocks, different value propositions, etc. So, that is it from me, Rohit, on this.

Rohit Nagraj: Sure. Thanks a lot. Sir, second question on the Liquor business. So, a few parts to it. One, in terms of the mix, how currently the mix is from the Country Liquor? Then maybe if you can give in terms of IMFL, where we are doing our own brands of whiskey, vodka and the one which we are doing bottling for third party and recently acquired brands from Amrut. And how this particular mix was, let's say, five years back just to give an understanding of how we are progressing? The second one, again, allied question to that, in terms of individual brands and categories, which and all are

the geographies where we are currently present and where we are likely to expand in near future. So, these two points, a little more discussion on this will be really helpful.

Rupark Sarswat: So, Rohit, I will just give you a flavor of the mix, and then I will pass on to Raju ji and Shukla ji to give you some more details. So, the Potable Spirits or the Liquor business has three parts. The smallest of them is extra neutral alcohol which is basically ethanol which is sold as such to beverage manufacturers in bulk, which last year, I am not going to project numbers for this year, which last year was of the order of Rs. 70 crores. We expect to see very good growth in this area because now we have capacity. And this fetches us better profits than just selling into Biofuels. So, that last year was close to Rs. 70 crores.

As far as Country Liquor is concerned, which has been a good workhorse for us, both profitable, steady. Last year was close to Rs. 870 crores. Good share, strong presence in Uttar Pradesh and Uttarakhand, and we will continue to maintain that strong position. This is net of excise. And for IMFL, we clocked about Rs. 185 crores last year. And we expect in percentage terms that will probably see much better growth because of focus. First of all, there is a much bigger playground there for us to play. Secondly, we are bringing in inorganic in some ways, growth strategies like Amrut, etc., which will help us drive premiumization, value, profitability. So, that gives you an idea of the mix and the relative growth that we will see, we think we would register in near future. And now I will hand over to Raju ji to talk to you about the question on IMFL brand, and Shukla ji, if you have anything on Country Liquor or anything else that he wants to add.

S.K. Shukla: Okay. So, Country Liquor in UP and Uttarakhand both states, we have the leading position because the quality of the product certainly plays a very vital role in this segment, and IGL, because of their extra neutral good quality ENA and the traditional blending methods thro

ugh which we make Bunty Bubli. So, because of this, our growth every year on year, is approximately 7% to 12% growth we are getting. And this is because we have the in-built capacity.

So, in UP and in Uttarakhand, mostly all the aseptic packs is compulsory by the state excise. And we were the leader since beginning in the production capacity of the aseptic packs. So, because of this company as a whole, we are in the position to place our product, quality product, almost more than 95% share in the nine districts of the UP, which no other having such kinds of monopoly situation, which we have.

So, because customer is liking too much our product and they are loyal. They can go away from the shops if the product is not available. Such kinds of loyalty has never been seen in any shops for this product. So, this is the traditional advantage and traditional benefit of this product. And after Gorakhpur plant started in 2006 and after '17 - '18 when the progressive governments came in, in UP, all the growth happened in the last seven to eight years, as well as in Uttarakhand also. Raju ji, if you can add more.

Raju Vaziraney: Yes. Thank you, Shukla ji. See, as three questions you asked. One is the partnership that we have with Bacardi. For the benefit of everyone, it is not a third-party bottling or as we call it contract bottling. This is much brighter ambit because we make all the brands of Bacardi at our Kashipur plant. One segment is the RTD segment – Breezer. It’s a carbonated drink so it requires high degree of capital, maintaining temperature, and it's a totally different ball game. Except Nanjangud, where Bacardi has its own plant and one more small place, we supply most of North and East India only from our Kashipur plant for Bacardi products.

Number two, we have in-house high bouquet spirit maturation, CapEx has been spent. So, the world-class standards of as many as more than 10 brands of Bacardi right from Breezer up to their flagship brand, Carta Blanca and Bacardi Limon, are all manufactured there under very, very high-quality standards. So, the entire maturation and special distillation columns, the supply chain, the logistics, the environmental regulatory clearances, everything Kashipur or IGL is responsible for.

The principal company, Bacardi, who are our close partners for the last 15 years, are so satisfied that they have left everything to us except a couple of people who then, of

course, they do marketing because it is their brand. So, it's a huge, huge effort that we go into partnership with Bacardi. Just to give you a perspective, we do as many as 200,000 cases per month for Bacardi International, which is a very, very high degree of volume, considering the fact that they do all premium products. This is as far as Bacardi partnership is concerned, which for the benefit of everyone, I elucidated.
As far as our own organic products are concerned. The traditional brand is Soulmate Blue whiskey, which is a millionaire case brand, we did last year. And I briefly mentioned about vodka, Amazing Vodka, which is making its presence felt wherever we go, wherever we have launched and also the partnership with Amrut. Strategically, what we have done is Amrut brands are known for quality and high standards of packaging and recipe. We have kept it at the top end.

So, we complement each other as far as Country Liquor, then regular brands, then vodka for IGL products. Then we come to premium and semi-premium brands for Amrut, which are from a long-term point of view, our own brands, acquired brands with the understanding that the first refusal is with us. These are all factuals, publicly known facts. So, we have a complete price spectrum of brands, and we have positioned the brand in such a manner that from a long-term point of view, we will be able to dwe

ll up on them.
Your third question was geographical coverage. See, it is very easy to open new states, but we do a very detailed study and our CFO, CEO and particularly our CMD are very particular that we do not open a state until we are sure about the size of the price or as a huge opportunity exists and we make money. So, we have identified Kerala as the first state outside North, where we have succeeded in getting the tender brands approval. And this month, we will be addressing that state. And then a couple of other states for obvious reasons, since we have not started, I cannot mention, but we have definite plans in this current fiscal to address at least two or three more states along with CSD.
Rohit Nagraj: Yes. Thank you. Thanks a lot for answering all questions. Best of luck for the future.
Moderator: Thank you. The next question is from the line of Jaswinder Singh, an individual investor. Please proceed.
Jaswinder Singh: Good evening, Mr. Sarswat and Mr. Singhal. My question is related to the Liquor segment, and I would like to bring out some figures, which I see in the balance sheet. The sales, if you compare between the March and June quarter, the sales are up by 20.42%, but our net profit is down 7.75%. I was just listening to Mr. Shukla and Mr. Raju Vaziraney saying that we have got leadership position in our Liquor segment in UP and Uttarakhand. And we have been doing so much of cost-cutting measures, tetra packaging, premiumization of our liquor. But why is that the sales have grown, but there's a degrowth in our profit?
I have been an investor of your company for the last 10 years and what I am yet to see is that you have been doing so much of CapEx, we are changing our company, our sales have grown, but we are yet to see any kind of financial or operating leverage come into play. It's a very basic mathematics that when our sales are growing and our CapEx is all done, the profit should be incremental. But this degrowth in our profit from March quarter has really disappointed us. Just can you just throw some light and explain to me why we have missed on our bottom line in this quarter?

Anand Singhal: See, in Q1 of last year, the EBIT margin was 17.54%. While in the Q1 of the current year, it is 21.12%. Of course, that has increased by about 3.5% or so. Of course, the sales have also increased from Rs. 1,593 crores to Rs. 1,805 crores. If you compare it with the last quarter, means Q4 of last year, when the sales were Rs. 1,609 crores, while in the current quarter it is Rs. 1,805 crores, while the EBIT margin has certainly reduced from 27% to 21%. In some cases, there are so many brands which my marketing division is selling in the market. And every product does not have the same kind of EBIT margin. So, I have to check internally, but there may be some of the sales which is having a slightly lesser margin as compared to the other products. So, it may be because of that. If Raju ji wants to add something on this, he can add.
Raju Vaziraney: See, there are two factors, as I know, as I understand. If my understanding of the question is right, between last fiscal, last quarter and this quarter, see, there were two

changes that have happened in our heartland of UP and Uttarakhand, both the states underwent new policies which start from April. So, April and May, I mean, end of last year, that is from 31st March there was a lot of lifting and a lot of dumping of stocks naturally by the trade because they were not sure about the new policy.
And once the new policy has come in UP and Uttarakhand, which are our key states, naturally, the growth was sluggish, not only with us, but it is also as an industry phenomenon. I am sure in the current quarter, July, August, and September, it will not only stabilize, but it will also grow. And definitely, in OND quarters, as we call it, October, November, December, it wil

l gallop. As our CFO beautifully said, there can be ups and downs in a quarter in an industry, including us. But overall, last year's performance versus this year, we have definitely grown as a percentage in volume as well as value. So, there is no cause of concern. It's an industry phenomenon.
Jaswinder Singh: Secondly, Mr. Sarswat, my next question is for the Ennature Biopharma. And I remember in 2021 we were doing a net margin of around 33% in our business and our sales were around maybe Rs. 38 crores, Rs. 40 crores per quarter. And now when I see the results of Ennature Biopharma, the net has come down to 2.38%. As a businessman, this would suggest that this is a trading margin, not a manufacturing margin. Any manufacturer who is in a segment of pharmaceuticals or nutraceuticals would not operate at these levels. So, what is the business strategy in this Ennature Biopharma when we are demerging, my concern is about the business strategy. We are planning to unlock shareholder value by demerging our business units when there is extreme degrowth in that business. So, how are we going to address that?

Rupark Sarswat: So, Mr. Singh, there is a margin squeeze, not as much as a degrowth in the business because when you look at growth, sometimes you do not only look at one-year number. But if you look at four years, you will see significant top line growth in the business, okay? So, that's one thing. You have made a very valid point. I cannot deny the fact that there is a margin squeeze, which is what you pointed out. Now I will give you a more generic answer, so to say, and then we can engage separately with more details. And I have my colleague, who looks at finances and numbers for Ennature Biopharma, would also respond. Whilst this is an API business, thiocolchicoside is also an API, so is nicotine where we sell, it is also an API. It has its own pressures as well.
There are a couple of pressures. I am not going to elaborate on the exact impact of all. One pressure is to do with if there is increased cultivation of the feedstock and there are more new entrants, that puts pressure on margins. So, that is one thing. We have been selling thiocolchicoside to markets like Turkey, which is a gateway to Europe. We also saw some kind of a demand squeeze there. And when there are a lot of new entrants and there are alternatives to these natural muscle relaxants, which come from countries like China, which have also flooded the market. So, to some extent, some of the more, so to say, workhorse products have faced this. That's a value point. Now the strategy, of course, is very simple.
I mentioned before, is to do several things, is to, first of all, get into differentiation through impurity profiling, building dossiers, etc., which is something that we are doing. Also now what happens is Turkey, for example, finds it easier to get materials from India, sell it into EU because they are a partner of that to also get direct approval, which is a more stringent process. But when you go through this process, and I will request Manish to talk about some of those approvals, which we are getting in the regulated developed markets to get more products in there by being differentiated through quality, through having our dossiers completed, etc. We are also looking at a whole host of other products, and we are looking at formulated products, co-branding products and creating a branded portfolio. That is a generic strategy. But I will pause. I will have a colleague of mine who can add something more to it.
Manish Pant: Yes, Jaswinder, Manish this side. So, yes. So, basically, broadly, if we bifurcate nutraceutical business, so as CEO told that one is API, another is nutraceuticals. So, as mentioned by him about the pressures of various kind on the APIs, simultaneously, we are trying to develop the nutraceuticals market. So, for that, our plant

has also been certified as GMP plant. We have got the EAR and NSF for that particular plant. So, as this quarter performs, another one quarter could be on the same line. But from the third quarter, we are having a certain planning to introduce our branded nutraceuticals in U.S. market and in European countries directly on our own. So, at that time, the margin could increase substantially as it looks to us.

Jaswinder Singh: That's good to hear. Thank you.

Moderator: Thank you. This will be the last question of the day from the line of Saket Kapoor from Kapoor & Company. Please proceed.

Saket Kapoor: Thank you for the opportunity. You have already answered about the nutraceutical part of the story, sir, that was only the point of concern and steps also you have attributed what we are taking. And it is only now on the markets to improve so that our profitability will improve. That is what the understanding is. So, that's all from my side and we hope for good times ahead, sir.

Moderator: Thank you. I now hand the conference over to the management for the closing comments.

Rupark Sarswat: So, thank you for conducting this conference for us. Thank you all for attending it, and thank you, many of you who have been watching IGL very closely. And through your questions, we try and introspect, we try and learn. Thank you for that. And look forward to seeing you after the next quarter. Have a good day.

Moderator: Thank you. On behalf of InCred Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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Call: May 2026

IGL/SE/2026-27/16

22nd May, 2026

The Manager (Listing) The Manager (Listing)
BSE Limited National Stock Exchange of India Limited
1st Floor, New Trading Ring, Exchange Plaza, C-1, Block G,
Rotunda Building, P.J. Towers, Bandra Kurla Complex,
Dalal Street, Bandra (East),
Mumbai – 400 001 Mumbai- 400 051

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Dear Sirs,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Q4 & Full Year FY26 Earnings Conference Call

Further to our letters bearing no. IGL/SE/2026-27/08, IGL/SE/2026-27/11 & IGL/SE/2026-27/12 dated 7th, 18th & 18st May, 2026 respectively and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call for Q4 & Full Year FY26 held on Monday, 18st May, 2026 is attached.

This same is also being hosted on the Company's website at www.indiaglycols.com .

This is for your information and record.

Thanking you,

Yours truly,
For India Glycols Limited

Ankur Jain
Head (Legal) & Company Secretary
Encl: A/a

"India Glycols Limited
Q4 & Full Year FY26 Earnings Conference Call"
May 18, 2026

MANAGEMENT : M R. RUPARK SARSWAT – CHIEF EXECUTIVE OFFICER
MR. ANAND SINGHAL – CHIEF FINANCIAL OFFICER
MR. S. K. SHUKLA – HEAD, LIQUOR BUSINESS
MR. ANKUR JAIN – HEAD, LEGAL AND COMPANY SECRETARY

MODERATOR : M R. NITIN AWASTHI – INCRED EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to India Glycols Limited Q4 & FY26 Earnings Conference Call hosted by InCred Equities. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. The statements are not guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Awasthi from InCred Equities. Thank you, and over to you, Mr. Awasthi.

Nitin Awasthi: Thank you. Firstly, I would like to thank the management for giving us this opportunity to host their conference call today. From India Glycols management, we have their CEO, Mr. Rupark Sarswat, their CFO, Mr. Anand Singhal, their Head of Liquor Business, Mr. S.K. Shukla, and their Head Legal & Company Secretary, Mr. Ankur Jain. I would now like to invite Mr. Rupark to initiate the proceedings with his opening remarks, post which we shall open the floor for a Q&A session. Thank you and over to you, sir.

Rupark Sarswat: Yes, good afternoon, Nitin, and thank you for hosting this call. Also, my apologies for us starting a little late. And I'm also joined by one of our other colleagues, Akshay Bansal, who Heads the Ennature Biopharma business, and Ankur due to some emergency is not here.

So, nevertheless, I think I have a good year to report, because we are talking about the annual performance. So, as you have probably seen the numbers, we have had gross revenues of INR9,827 crores, which is up 8.7%. Net revenues of INR4,211 crores, which is up 11.8%.

Now, the revenue growth has been led to a large extent by the growth in Potable Spirits and Bio-Fuels, and we will talk about these segment a little bit subsequently. EBITDA has been INR654 crores, which is up 24.5% over last year. And the EBITDA margin itself is up to 15.5%, up 162 basis points. And we have seen EBITDA growth more or less across the business. The significant segments of Potable Spirits, Bio-Fuels, as well as Chemicals have driven the margin improvement, particularly led by Chemicals and Bio-Fuels.

At a PAT level, we are posting INR293 crores, which is up 26.8%, and the PAT margin at 6.9% is also 84 basis points up. So all in all, a strong operating performance, and therefore, also resulting in a good increase in profitability.

If you look at the quarter, we have a net revenue of INR976 crores, which is up 13.1% for the same quarter prior year. And in this quarter, all segments have delivered strong growth and that has resulted in this 13.1% growth for the quarter. In EBITDA terms, it is INR167 crores, which is up 13.3%, and the EBITDA margin at 17.1%, is up five basis points.

Now, if you add other income, actually our EBITDA margin is close to 20.8%. And the reason I mention this is that the most significant part of our other income is actually income from the JV. And why it is not a one-off income, it is a income, which is very much interrelated and integrated with the Chemical business. And in a way, we sell EO to them and the way IGL realizes its profitability is through this steady other income. So, in that sense, when you look at the Chemical business and the quality of the business, it might be good to look at both.

And as you would expect, our finance costs have been lower and talking about the segments, India reached 20% blending as far as Bio-Fuels is concerned, which

drove quite a lot of growth,

both in terms of profits as well as sales. And as we will talk later, there is talk about how and whether the Government of India can increase the blending to 21% to 22% or even looking at flexi vehicles.

In the Potable Spirit space, we have maintained our market leadership in the markets that we are present. And broadly as far as IMFL is concerned, we successfully look at implementing the strategy for premiumization, and Bunty Bubbly continues to be the largest selling brand within the country.

In Chemicals, we've seen a bit of a dip in sales, but having said that, I think we saw significant uptick in terms of the margin percentages as well as growth in overall margin. Now, that's based on some readjustments in the business, and letting go of some low margin businesses, but we continue to focus on higher value-added Chemicals.

In short, our performance Chemicals portfolio has started to do well, though it's a smaller part of the overall Chemicals business, but our pipeline is strong and we expect that it will continue to drive good growth in Chemicals.

In Ennature Biopharma, you would hear later as well, the top-line by and large has been stable despite a relatively challenging global and macroeconomic environment, as well as cost pressures. But the silver lining is that we've been acquiring new customers and the progress that has been made in terms of launching of branded nutraceuticals, getting more standards and certificates, etcetera is good, and we expect that the business will recover and do well in the times to come.

Now, as I report this year, I may like to point out that we've had an interesting journey over the last few years. So, I'll talk about some ratios, our EBITDA in the year FY22 was 9.6%, in FY23 it became 11.9%, in FY24 it became 12.9%, in FY25 it became 13.9%, and in FY26 it became 15.5%.

So whilst, if you remember when we started doing these calls, we spoke about certain challenges that the business had and a strategy to overcome those challenges both in terms of actions in the marketplace, diversifying our portfolio, taking some cost actions. Of course, we always depend on some tailwinds, but by and large, it is a result of a strategic thrust to improve the quality of the business.

Similarly, if you look at some of our ratios, our debt-to-equity ratio has gone down from 0.7x in FY23 to 0.5x this year. Our interest coverage ratio has gone up from 2.3x in FY23 to 3.0x in FY26. And if you look at ROCE over the last few years, it has gone from 7.7% in FY23 to 11.9% in FY26, and RONW has gone up from 7.7% in FY23 to 11.3% in FY26. So, I am optimistic, and I think I'm happy to report that we've made progress over the years, we've made steady progress, and we've made good progress.

And the other thing, which is talked about and I must brief you is whether the war has had any impact on us. Well, the short answer for everybody is, yes, but it has had a mixed impact on us. Now, the reason it has had mixed impact probably overall a little positive is that what it has led to, it has led to sharp increases in the crude price and also some availability constraints as far as MEG or ethanol is concerned. Which means that our relative competitiveness for products, which are based on ethanol is somewhat better, or significantly better in some cases, and which has helped us improve margins a little bit, get market a little bit more. And I will talk about crude price a little bit more subsequently.

And as far as exports is concerned, it has impacted us adversely because for big customers like New Park, where we send our oilfield chemicals largely to the Middle East, that business is largely on hold. I think fundamentally the business is strong, we continue to work on new products and new application areas, but this has caused some problems.

As you also know, as a result of the wa

r, many raw material feedstocks, for example, propylene
oxide, prices have gone up, availability is a challenge, so it has affected some areas. And as you would imagine, given a sustained situation of war, the demand itself has softened in some areas. So, all in all, a mixed impact, but overall, maybe slightly positive given the fact that in the ethanol-based materials it has improved our competitiveness.

Now, talking about business performance from an SBU or segment perspective, so in the Chemicals business, we've had a net revenue of INR1,203 crores in FY26, which is down 10.4%, but our EBIT at INR141 crores is up 12.5% and our EBIT margins are up to 11.7%. So, I spoke about the reasons for the weak sales, but it is a good improvement both in EBITDA margin as well as overall EBITDA.

Now, there is, if you look at EBITDA without adjusting the other income and probably some streamlining that is required in-house, we will start to see that the quality of the Chemicals business is probably going to be better than this going forward.

As far as the Potable Spirit business is concerned, we posted a top-line of INR1,331 crores in FY26, up 14.4% and an EBIT of INR285 crores, which is up 11.1%. For the Bio-Fuels business, an excellent year with the 40.9% growth delivering a top-line of INR1,470 crores in FY26 and an EBIT of INR115 crores, which is nearly double, which is up 103.3% and an EBIT margin of 7.8%.

Ennature Biopharma, as I mentioned, top-line has more or less been similar to last year, but margins have been under pressure. And we will talk about the actions, which we are taking and

making good progress on, which should see this business becoming stronger in this year, as well as the years going forward.
For the quarter, the net revenue for Chemicals is up 18.8% at INR301 crores. The EBIT is at INR37 crores, is up 37.4%, and EBIT margins are 12.2%. And this is given some of the factors that I spoke about, the business, in my opinion, will start to look better going forward.
In Potable Spirits, we posted a top-line of INR306 crores for the quarter, up 7.9%, whereas, margins for the quarter were somewhat under pressure, but that was a bit of an odd quarter in the last year, at INR68 crores. Overall, EBIT margins were very good at 22.1%.
For Bio-Fuels, for the quarter, 11.6% growth posting a top-line of INR305 crores and an EBIT of INR30 crores, which is up 90.0% with an EBIT margin of 9.9%. Ennature Biopharma saw a turnaround as far as the top-line is concerned with a 23.2% growth in the last quarter, but an EBIT of INR3 crores, as I said, the margins have continued to be under pressure.
Talking about a few other things, I spoke about one of the things that we often talk about, which is the EO price and the ethanol price and the relative price of EO to Reliance's EO price, because it impacts several of our businesses.
So, we saw a period and for the last couple of months, we have been competitive as far as Reliance's EO price is concerned and that is because of rising crude prices and also ample availability of ethanol within India. And we'll talk about the ethanol capacity and the fact that we have now a little more than the capacity that Bio-Fuels consumed in India.
Now, the reason I mention about this is that I do feel, however, that whilst the petroleum prices or the crude prices may soften, but the crude prices may, and that's my opinion, whilst, it's anybody's guess as to what's going to happen, are expected to stay a bit firm. And the reason I say this is, first of all, the war, different people have different expectations, has lasted a little longer than what most people expected. There has been a significant amount of damage, and the damage has been to a number of friends of the US and people who control oil, and I would imagine that one of the ways to some extent recover is to keep oil prices somewhat high

er.
The second reason, in my opinion, is that America also wants to sell oil, you remember Mr. Trump saying “drill baby drill” in his election campaign, which means that there's a possibility of America wanting the prices to be a little more firmer than they have been. We've seen a period of low crude prices for a period. And they also control Venezuela to some extent, Iran.
I also imagine that some customers would like some diversification in terms of sources. Even if it is a smaller percentage of share, we should be able to benefit in some cases.
Now, the reason I say this is that we have seen a period of lower crude prices and if you go back before 2021, for a period of 15 years, we were equal or less than Reliance's EO price. So, I do not know, which period to call abnormal, but we did see significantly lower crude prices for a period of time.

Related to this is also the ethanol price trend that we monitor. It is important to several of our businesses; Chemicals, Potable Spirits, Bio-Fuels. Because of a number of factors including freight and others, the imported ethanol prices in India went up quite significantly, whereas, the domestic prices have more or less been stable or maybe even saw a bit of a dip.
Now, given the fact that we have good ethanol capacities in-house, we talked about a 3x3 strategy and the fact that we have grain, molasses-based, as well as the option to import, it allows us to also use in-house ethanol for our Chemicals as an intermediate without worrying too much about excess ethanol capacity.
So, I think that strategy, which allowed us to tide over some of the difficult times, also is helping us right now because we've toned down our imports quite significantly and we've been able to support our Chemical business to a large extent by ethanol produced in-house.
So, talking about the segment, which is in higher spirits these days, which is definitely Potable Spirits, to start with, continued to have a very good year with 14.4% top-line growth. As I mentioned, 11.1% EBIT growth and improvement in EBIT margin as well.
So, we've made a strong entry in the CSD business, Bunty and Bubbly continues to remain the highest selling brand in India. We've maintained our market leadership position, as far as Indian Made Indian Liquor is concerned in UP and Uttarakhand. And we launched several new brands and we'll talk about a little bit. In Uttarakhand, Indian Made Indian Liquor, we saw a growth of 21%, in UP, we saw a growth of 11%, and despite our being in only these territories as far as Indian made liquor is concerned.

And we have done several things to continue to strengthen this exciting business. We've expanded coverage in Western UP with new brands as far as IMIL is concerned. IGL has maintained the leadership position in UP. So, our leadership position has been amongst the top two and very close for a long period of time.
We've increased our coverage in the state with almost 10 new stations. We've introduced seven new brands in the market to the new stations. And as per the government policy, also added the 100 ml SKU in the market and we are getting a good response. We've also opened 42 company-operated warehouses in UP, which will continue to drive this business.
For IMFL in UP, we've successfully introduced Amrut’s Prestige Whisky in the Deluxe segment and sold 51,000 cases so far. We've introduced Bunty Vodka, Jeera and Cranberry flavor in the middle of this year. We've received a 66% growth in Amrut’s MaQintosh Whisky, overall a 30% growth in IMFL volumes for the year. Successfully launched Amazing Vodka, Jamun flavor, which is Bunty Vodka in Q1 as well. We've also successfully launched Dhurandhar Whisky in the regular category.
Similarly, talking about our initiatives in Uttarakhand, Amazing Vodka achieved a 21% market share against an 18% market share last year. Amazing Whisky in Utt

arakhand secured a 76%
growth. And we also introduced Amrut Prestige Whisky in the middle of this year.

In Bunty Vodka, we saw a 122% growth. And we have continued to maintain our leadership position in the regular whisky category with Soulmate Black. We've successfully introduced Amazing Jamun, Bunty Jamun, and Cranberry. And these, I think, will continue to drive growth in these segments both in UP and Uttarakhand. And other than that, of course, as you know, our growth is also coming from new areas like CSD, and paramilitary, which you'll hear more about a little later.
I have already spoken about Bio-Fuels, so I will not come to the numbers once again, except that, in general, the government's policy of 20% blending was finished ahead of schedule, which was initially scheduled for 2030. Now we have somewhat excess capacity in ethanol, which we all know. And there are discussions with increasing talk about securing India's energy, reducing forex outflows, of probably increasing it beyond 20%. So, you can increase a few percentage points beyond 20% depending upon the government policy decision.
The other thing that is being talked about is, in a selected manner, going to flexi vehicles, which operate at 85% plus. Now, and some of you may know or most of you may know, there is an operating range for ethanol. You can't linearly go from 20% to 85%. There is a wide range, broadly between 30% to 85%, which is a no operating range for various reasons.
So, both these may help further pull up demand for Bio-Fuels. But having said that, I think if India continues to remain a high volume, cost-effective producer of ethanol, there are a number of other outlets for ethanol including ethanol-based chemicals.
And, similarly, we saw good sales growth in our ENA business, which is Extra-Neutral Alcohol. Now, dual flexibility, as you know, that we can produce ethanol from grain and molasses, has helped us with optimizing the cost as well as offering people different feedstock-based ENA. Our domestic volumes are stable, and we also see steady demand from IMFL, pharma, perfumery, as well as the packaging that we do for Bacardi.
Now we keep a track of our margins and the few factors, which affect our margins for the Bio-Fuels business, include the price of course, which has more or less been steady. The good thing has been that the grain prices have been somewhat stable. In fact, a little lower than what we saw earlier last year. And there is increasing acceptability of DDGS, which is a protein by-product, which means that the profitability in the Bio-Fuels business, as you see, has also improved.
Now, these are questions, which many of you over the years continue to ask, which was about growth in Bio-Fuels, as well as how would we sustain the profitability in Bio-Fuels. And we continue to at least have an opinion that the policy by and large is not a short-term policy, is a long-term policy. And there is enough thought that the government has given to make sure that the industry is sustained with reasonable margin at the least. So, whilst from time to time the profitability varied, but remember it never became red and by and large there were adjustments in the market, either due to a natural adjustment or because of price adjustments that the government did, and the profitability of the industry has remained healthy.

Now, talking about Chemicals, we have spoken about the numbers. In short, the story in Chemicals is that we continue to see very good growth in performance chemicals, although it is a relatively smaller segment as of now. And we are quite confident that that growth is going to stay for the years to come and drive growth as far as Chemicals is concerned.
So, we've spoken to you in the past about carbon smart materials, we continue to build that busin

ess. We continue to build the business in oilfield chemicals, working with several global majors like BASF, New Park, and now even some others. We continue to work with big majors like Dow, L'Oreal. We spoke about bio-based amines, we had a slow start but we did mention to you that IGL became the first manufacturer of a green bio-based amine for certain applications, and our first customer, we are proud to say, is L'Oreal with whom we also did some co-development over the last three-four years, and we've started commercial supplies for them. There are a number of new products that we are working on, which includes dibasic esters for foundries, wire enamels, certain products for the personal care space and the Flavors and fragrances space.
Our glycols did well. We saw some growth in the glycol space and we've maintained our market in Southeast Asia despite the challenges. I don't even think that I should talk about those as separate challenges right now, because the Reliance MEG, we don't compete with. I think the point here is that the niche customers have continued to buy glycols from us and have continued to grow.
Then coming to Ennature Biopharma, we spoke about the numbers in terms of growth being steady, in terms of top-line, a nominal degrowth is what we saw, however, margins being under pressure. So, the Q4 revenue performance saw a strong comeback as I mentioned driven by certain increase in Thiocolchicoside prices, recovery of the nicotine business, and strong nutraceutical numbers.
We've strengthened our branded nutraceuticals portfolio through global certifications, clinically backed ingredient launches. And we expect that the business will come back given the actions that we are doing in the times to come both in terms of volume as well as profitability. And my colleague Akshay would be here to answer or talk about this business a little more.
Now, allow me to take a pause as I request my colleague Mr. Singhal to take you through the financials.
Anand Singhal: Good afternoon. Since most of the financials has already been covered, I will only cover three points. One point is that the company has prepaid almost about INR804 crores in this quarter, which has been funded by INR467 crores through equity issue, which we did in November '25 and rest of the funds has been put in through the cash flow.
So, this INR804 crores include the long-term debt, the working capital, and the short-term loans resulting in INR20 crores saving in the interest cost, which is already there in the results.

Number two, there are so many queries relating to the dividend showing in the consolidated results. Just to update that the Accounting Standard 28 do not allow us to show the dividend as income. The amount of INR38.38 crores, which we have received from our JV Clariant has been adjusted against the investment, which is there.
Third point, that there was a plant shutdown for the change of the catalyst from 17th March till 2nd April. So, this has also resulted the reduction in the production as well as some sales. Apart from this, most of the results has already been covered by Mr. Rupark and that's all. I don't want to rather take more time, and I will like you to raise your questions. Thank you.
Moderator: Sir, should we start the Q&A session now?
Anand Singhal: Yes, you can.
Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Pragyam Laddha from Omni Securities. Please go ahead.
Pragyam Laddha: Sir, my question was firstly on the plant shutdown, which you talked about. How was our business disturbed due to this, can you throw some more light on it?
Rupark Sarswat: Yes. So, we take shutdowns for two reasons. One, is generally for catalyst changeovers, which takes some time, which is required roughly in 1.5 y

ears. Now, the way the business gets impacted
by that is that we are a continuous plant. So, we also make ethylene oxide, which we sell to, for example, the Clariant joint venture.

So, which means that business to some extent gets affected, to the extent that they cannot build up stock. And, obviously, sometimes there are new orders for, which you have not planned and they stop.
The other thing is that it has not impacted our MEG business, but it impacts some other businesses like glycol ethers, or specialty surfactants, etcetera, which you can't stock up too much in advance. So that's how it impacts us.
Pragyam Laddha: Okay, sir. Secondly, sir, on the Potable Spirit segment, the EBIT is down Q-o-Q. We say we are continuously moving towards premiumization, and so sir, my first question is what is the split between country liquor and IMFL, and how do you see it going forward? Also, what would be the EBIT margins for say FY27 or going forward for this segment?
Raju Vaziraney: Okay. Thank you for the question. Approximately 25% of the pie is towards IMFL and 75% towards India Made Indian Liquor. But we have definite focus to improve the IMFL part of it without losing focus of the IMIL part. With the result that, you know, we are now, I would like to tell you what the steps are we are taking for increasing the IMFL segment, particularly premium segment.
First of all, we take satisfaction in mentioning that two of our key brands, that is Soulmate Whisky, which is a Millionaire Case Brand, also our Zumba Lemoni, which is very popular in

the market have been introduced in the CSD and we've already started supplies in the entire country.
For the benefit of those who are not very much familiar with CSD details, this is a lifetime registration, and which is obtained after a lot of screenings by the armed forces, because it is meant for the consumption of the Indian military. So, this is one.
And also, a third brand of ours, that is Zumba Black, which is the mainstay business, the rum, black rum of the military, also has cleared the preliminary screening committee, PSC we call it, which consists of the entire board of the administration of CSD.
In other words, in principle, they have accepted our third brand also, of course, final board approval will be awaited. It will take little time, but this is also very positive news. Now, our growth, as our CEO rightly said, has been very strong in the IMFL, particularly premium segments. And we expect to continue to grow rapidly in the IMFL premium segment.
Now, how this is possible is in two ways. The first point is that we are taking more geographical coverage. We started with Kerala market. We are very cautious about giving credit. So, our first focus is on the corporation-led markets in particular where the money is secure, because the working capital required for IMFL is very high.
So, we want to go steadily but with very firm grounding. So, Kerala has given us very good response. We introduced our new brandy in Kerala, and we used a French blend, which took us lot of time, lot of research was done. We don't introduce brands off the cuff. We do a lot of research, and we do it both internally and externally. So, the brand is well-accepted in the market.
Then we have started business in our other states and very soon we will be doing in Andhra Pradesh and other markets like Rajasthan. So, one, is geographical coverage.
And second is with new brands. As our CEO rightly said, we have introduced brands like Jamun and Cranberry Vodka, which are in demand, or if I may use the word, which are in vogue. So, because of we being a tropical country, Jamun and Cranberry are well-accepted. We have two more brands in the offering, but for obvious reasons we cannot disclose at this stage, but very soon they will see the light of the day.
So, both geographically, as well as new brands wil

l stem the growth to high double digits, and
we expect to consolidate our position in the markets like Delhi, UP, Uttarakhand, Kerala, and other markets very soon.
Most important is that we have inbuilt capacity, see as opposed to competition, if I may say, we have an inherent advantage where we do not use even one liter of ENA for our brands and we have enough inbuilt capacity to use our ENA.
For the benefit of those who may not be aware, our ENA goes to top multinational companies including Radico and Tilaknagar and Diageo for now, and Bacardi, which is our partner since over 15 years. So, there is no reason why we should not be able to make our brands as good or better than competition. So, our ingredients are good, we have laid the foundation of our new

brands, and I'm sure in times to come, we will have a very strong double-digit growth. So any other questions?
Rupark Sarswat: Raju ji, can I just add to it?
Raju Vaziraney: Yes, why not.
Rupark Sarswat: So, just to share some data with you, UP is one of the largest liquor market where for IMFL, if I am not wrong, Manish correct me, our top-line growth last year was 25%, that's it. So, lot of our growth is coming from IMFL, which is the relatively premium part of Potable Spirits.
Now, the numbers that I have for UP, for example, whilst Indian Made Indian Liquor is 65% of the volume, but 52% of value. IMFL on the other hand is about 16% of the volume, but about 34% of the value.
So, if you see in value terms, it starts to approach right now slightly more than one-third, but half of the market share. And my understanding is that whilst the medium and economy brands over there have grown close to between 4% to 7%, but the premium brands of IMFL have grown in higher double-digit number percentages.
Now, I have a number, I don't know what the exact one is, so I'm refraining from quoting it.
Now, if you see what our strategies and why we think we would be successful in these market that we are focusing on, for example, Delhi, UP, Uttarakhand, which are the first markets that we're focusing on, is as Raju ji said, we are very strong in terms of high-quality ethanol manufacturing.
As, you know, we are also the first company ever to start doing third-party bottling for Bacardi in Kashipur. In addition to that, I think the fact that we've got a strong base in terms of Indian Made Indian Liquor is a good way for us to make our presence felt and graduate some of our customers.
In addition, I think our approvals in CSD, as well as paramilitary, we think would be growth drivers. And the traction that we have seen with the inorganic growth in terms of acquisition of Amrut brand is also good, which allows us to state with some confidence that we will continue to drive premiumization in our portfolio, which will not only drive growth but also make the business richer in terms of margins.
Raju Vaziraney: Yes. If I may just add and supplement to what our CEO said. See, now we are poised for growth, because now we've got the entire range of brands. Our Soulmate Whisky, which is our flagship brand, is a Millionaire Case Brand. We've got our Vodka, which is Amazing Vodka with various Flavors including Cranberry and Jamun, which are doing very well, which are a challenger brand to the leader brand. We've got our Zumba Lemoni, which is again number two brand in that segment.
And now it is in public domain, so I can clearly say that we've got in few states of the north, we've got the distribution rights of our Amrut luxury malts, which are world famous and loved

all over the world. There was unmet demand for these brands. So, it is slightly more than distribution, but for obvious reasons I cannot disclose, but we have got the entire range now. So, when our sales guy goes, he has a regular range brand up to th

ese single malts. The future is in premiumization, so we are in a good position to attend to the needs of all segments.
Pragyam Laddha: Okay. Thank you, thank you, sir, for such a detailed answer. Since, the IMFL portfolio is growing, do you see the margins to be north of 22%?, if I'm not wrong.
Rupark Sarswat: Sorry, can you repeat your question?
Pragyam Laddha: For the Potable Spirit segment, do you see the EBIT margins to be in north of 22% for the Potable Spirit segment?
Rupark Sarswat: For the Potable Spirit segment, I think I've already shared the number, which for Q4 were 22%, the EBIT margin. Now, I think the point that we made is we made certain assumptions in terms of ethanol, the growing market premiumization, as well as strengths of IGL. So, I would imagine that there is no reason for us to believe that we should be able to maintain these margins and in for the effort that we put in mix, we will try and improve it.
Pragyam Laddha: Okay, sir. Thank you. Thank you so much, sir.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Yes. Sir, firstly, if we look at our number in the segment part, the BSPC segment performance has been muted a little bit. So, if you could just give us some understanding on the factors that has led to the revenue going down, and how should this segment shape up in the coming years, what are our preparations? So, some color on the same.
Rupark Sarswat: Saket, thank you, and thank you for your nice, kind words. So, first of all, it'll be slightly

incorrect to say that the performance has been muted. I think top-line growth has been muted.
Saket Kapoor: Yes, sir.
Rupark Sarswat: Right. Whereas, we've seen growth in absolute EBIT, as well as EBIT margin. Now since we have not discussed EBITDA separately, our actual EBITDA performance is much better. Now there is some need for streamlining of certain cost etcetera, which will also result in that.
Yes, we lost some top-line essentially because of loss of some markets like glycol ethers, okay. And also some top-line loss in gases. Now, the reason why we saw some drop in sales of businesses like glycol ethers is that we had a much lower cost material available from China, for example, and some of the other variants, which are like propylene or butylene-based glycol ethers, which gathered some of our market.
Now some of our degrowth actually also came from the EO offtake by the joint venture. And one of the challenges here was a large delta between Reliance and our EO price. Right now, to a large extent that has been adjusted, and we believe that the huge delta that we saw for a period

of one-and-a- half-two years, hopefully in my opinion, maybe a thing of the past and we should see much better competitiveness on that front as well.
We've seen good growth in terms of glycols, we've seen excellent growth in terms of performance chemicals, which in terms of value itself is up 40%, and contribution is up 40+%. And we are hoping, that I'm not projecting, but we are hoping for in excess of doubling this business this year and maybe continue, if we continue to do our projects well, continue to maintain that momentum for years to come.
In gases, the reason we saw a top-line decline was that in the year before, we saw extremely high argon prices, and argon is something, which is very volatile. There was a shortage in India, partly because of steel plants, partly because of increased consumption and putting up of electronics plants, etcetera and so that also led to some top-line decline in gases.
And some of our smaller business, which we were selling as EO to some of our customers here, which wasn't particularly high margin, again, for the reasons of competitiveness with Reliance, we could not do last year.
So going forward, in what we see based on the

actions that we are taking, we may be a little here
and there in terms of timeline, our quality of business will continue to improve, our width of portfolio will continue to improve. The people that we are engaging which are good end customers, that will continue to improve. And for the year at least, we see that we should have improved profitability and also top-line growth.
And beyond that, we are working on quite a number of projects, Saket, some of them, which you are aware of, and I will state them as we start materializing, which have a huge upside potential as well. And I'll leave it as saying that it is potential, because we need to make them happen.
But since you asked me as to what the future of the Chemicals business is, I am kind of cautiously optimistic for the immediate term or rather optimistic, but I'm bullish based on the actions that we are taking that this business will continue to and will, and as we get in a little more focus on this business, you'll find that this business actually shows up better than what it may be getting seen right now.
Saket Kapoor: Turning to then the NSU segment, I think so that will add to your growth because some capex was done and we were doing some commercial pilot plants also, and some sales had also happened earlier last quarter, on which you had discussed earlier, but where are we in terms of that?
And secondly sir, currently are all our plants running at optimum level, because generally we also see that a revenue decline is attributable to maintenance or a shutdown, so are things at optimum level?
Rupark Sarswat: No, see, as I said, we saw the value decline in glycol ethers, we saw a value decline in gases, and we saw a value decline in terms of the ethylene oxide that we sell to the JV.

Now the shutdown does directly impact the ethylene oxide that we sell to the JV, because for 15-20 days, there is no EO supply to the JV, right. On most of the sales that we book under sales to the JV is actually ethylene oxide, which is completely stopped during the shutdown. So yes, that's a contributing factor as well.

Saket Kapoor: Okay. And, but sir, still then, with the shutdown, our JV's contribution to the profitability was significantly higher on a Q-on-Q basis. So, do we have any one-off or what has led to the jump to INR13 crores, however on the annual basis numbers are flat INR46.42 crores versus INR46.40 crores. How should the performance of the JV shaping up? And sir, as per I think to the JV, we have 51%-49% ratio share. So, going ahead, how are we going to monetize as per the terms if you could just give some more color?
Rupark Sarswat: Saket, you always come up with difficult questions for me, but I will try and answer. So, it's like this. The JV's performance is not only reflected by how many EO they buy from us. And direct EO supply in a particular month is not a reflection on the total turnover of the JV for the year, neither is their profitability.
Now the JV, if you look at the JV performance and by and large, JV performance has improved by improvement in mix and also improvement in certain imported traded materials that they get from Clariant. And when we get back, or when we plow back the profits from the joint venture, it is a sum total of all of that.
Yes, going forward, if the ethoxylates-based volumes also pick up for the JV, and we don't have a shutdown, we expect that the EO based volumes will also contribute to growth and they will contribute to the growth in my opinion. So, Saket, my only request to you is that please don't judge the JV's profitability just because the EO offtake is slightly lower.
Saket Kapoor: Okay. So, sir, in normal terms, regarding the profitability of INR12 to INR13 crores that we have achieved, and the specific factors that led to these figures, can this level of performance be sustained? Furthermore, sir, what is o

ur current thought process regarding the JV monetization exercise? Specifically, when do we intend to exit? Namaskar sir.
Anand Singhal: Look, Saket, to be very frank, the fourth quarter, the JV 49%, which we have taken into consolidated results, that will continue. So this year, which you are seeing that INR46.42 crores share of net profit from the JV, I think that will improve drastically.
And as I have already told that in '28-'29, we are going to sell out 24% more equity as per the agreement. So, depending upon the agreement and whatever, that will give us a very handsome amount, which will again be utilized for the payment of the term loan and making this company debt-free. So, in '28-''29, I'm hopeful that the Chemical business will be totally debt-free.
Saket Kapoor: Right, sir. Very good to hear that. And sir, firstly, the finance cost number is one-off I think, so the, the lowest number posted by the company. So, the finance team headed by you have done very good job. I think so, sir, can we maintain this run rate, our numbers have come in at 26-27 this quarter primarily due to the promoter infusion that took place, and going ahead, what should we be fencing in, in terms of finance cost going ahead?

Anand Singhal: Look, Saket, I have covered in the beginning itself that we have prepaid INR800 crores. And the promoter funding was only INR467 crores. So, INR333 crores has been funded from the internal approval. So, whatever you are saying that run rate will continue and will continue to reduce our interest cost in the years to come. Although, there is a normal repayment of the term loan also, but we will continue to pre-pay some of the high-cost debt. So, you'll see those numbers in first quarter and onwards in the FY '26-'27.
Saket Kapoor: So, these are consistent numbers. And what is the current maturity, sir, and how much of our loan will we repay this year?
Anand Singhal: This year we have a normal liability of say about INR268 crores, which in liquor, it is INR168 crores, and INR100 crores in Chemical.
Anand Singhal: Both we will pay, and apart from this, we will try to make some of the prepayments.
Saket Kapoor: Okay, sir. And two points on the RM part, sir. How are currently the grain prices for our bioethanol segment shaping up, the availability of the same? And if I remember correctly, sir, earlier when we had this shutdown and all, we had also realized some sale of silver also because of some catalyst change, if I remember twice or thrice, we have done that. How has that benefited us, sir, in terms of our reportable numbers for this quarter?
Anand Singhal: I will cover the silver, and grain will be covered by CEO sir. So silver sale during the shutdown was INR98 crores we got out of the silver sale. While the purchase price of this silver was INR51 crores. And since we have not provided the consumption of the catalyst, which we are doing every month, so basically there is no profit on the silver. So that's why that has not been shown in the books only.
Rupark Sarswat: Yes. So, Saket, as I mentioned earlier, there is adequate stock of grain. And the grain prices have been stable, and if I may just state to you, in the middle of last year, grain prices were running close to INR24 a kilo. And then in the last quarter of last year, they were running close to between INR21 and INR22 or, INR21 plus minus.

And the good thing was that the DDGS started to fetch a better price. My opinion is, it is because there is greater acceptability of this protein source in the world. And also, you see a distinct shift in terms of the feedstocks, which are being used to produce ethanol. If you go back to say 2019-2020, out of 173, in terms of ethanol, C-heavy molasses and B-heavy molasses were contributing to 43% and 39%, respectively and sugarcane 9%, and damaged only 9%. So, grain were contributing only

about 9% of the total 100% of ethanol production.
Now come to '25-'26, grain is contributing 5% plus 22%, 27% plus 46%, which is close to 70-plus-percent, 73% of ethanol production is coming from grain. There also a very interesting shift has happened. So, what was initially largely being serviced by damaged food grain and FCI rice, and it was zero in ‘19-‘20 , 46% is being covered by maize.
So, I think there is a part of the policy initiative by the government realizing that we need to diversify in terms of the feedstocks for ethanol production. There is also increasingly maize

being used. We believe that there would be several things being done on this front. First of all, it's a hardier crop, which can be grown in many parts of the country, even in somewhat dryer climatic zones.
And also there is ample scope for improving the productivity of grain. I do not know, it will be speculative, but one of the things, which could cause a significant jump in maize productivity, for example, which makes the US quite an efficient producer of ethanol is introduction of genetically modified maize specifically for ethanol. Now I am not making this as a projection, these are some of the things, which may in going forward significantly improve the productivity and efficiency of Bio-Fuel production in India.
Saket Kapoor: Right, sir. If I may just add one more point and join the queue is about the Ennature Biopharma. So that segment also the profitability has improved, and also in your presentation, sir, the outlook is mentioned that the segment is expected to perform well in future on account of good customer addition, volume growth, and price realization.
So if you could just throw some more color, and when will this segment achieve, sir, earlier when we used to post a higher EBITDA profitability, I think the environment has changed significantly in our product profile. How is this segment going to perform?
Akshay Bansal: So, Saket, this is Akshay here. So, basically, the division was originally dependent on one of the products, which has the highs and downs of the price in terms of the total contribution to the net margin, and as well as the top-line.
But as a company, what we have done in last three years, we have diversified the business. So, more focus has come to the highly growing market in nutraceutical, which is basically the branded nutraceutical segment. And we have invested very significantly on some of the clinicals, for the highly growing indications of women's health and some other indications. So already we have completed some of the studies in last one year and there are a couple of more studies, which are ongoing and that is likely to be completed by this financial year.
And then we have a target focus on multi-geography presence in terms of right now we already have a strong presence in Asia Pacific, but we are also trying to get hold of US market, which is one of the biggest markets. And then we also have opened our office very recently for us to have that trajectory and momentum in US.
So, this is broadly in terms of Ennature Biopharma, we are on the right trajectory. We are investing in higher growth component both in terms of our manufacturing capability, and also the customer acquisition in various market, and so we'll continue to remain in that.
Saket Kapoor: Only on the profitability front, can you give some more color, how will the profitability shape, I think so last time, because of some products and some new plants were also commissioned, because of which the realizations were down and so were the profits. So, our key product, I’m enable to spell it, Thio some, key product of nicotine and all, wherein one of your competitor also came up with a new unit, and that has put pressure on the realization. So how will that product profile shape up?

Akshay Bansal: See so for us, the nicotine business, as we are diversifying into more of a value-added customers, we are trying to add couple of customers, which are long-term. So, broadly, if you look at where

we started this business, we had some of the customers, which are from the commodity side, but again they are volume-based driven customers and that has given a good top-line.
But strategically we have taken a very strategic shift in last three years for us to shift to more value-added customers to sustain for the long-term growth and to contribute on the profitability.
So, this is broadly in terms of nicotine, I mean, I would say, the business right now is in the focus, but in terms of the EBITDA improvement, we may not see the significant improvement in this financial year, but definitely the investment and the growth and the customer acquisition what we're doing right now is going to contribute towards more of EBITDA and the profitability of the particular this Ennature Biopharma segment.
Saket Kapoor: Yes. Thank you for all the answer and thanks to the Board also for the interim dividend that has already been paid to the investors, and that too on the higher side. So, thank you for looking after the minority shareholders. Thank you.
Moderator: Thank you. We'll take the next question from the line of Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian: Yes. Sir, on the debt profile side, is there any plan for further reduction in the coming year? Right now it's around INR25- INR26 crores kind of per quarter on the interest cost side. Whether this rate will continue in the coming quarter, and what is the average borrowing cost right now, sir? If you could possibly share that debt break-up in all three segments.
Anand Singhal: I have already given this answer that we are rather in the process of reducing the debt. There is a liability of INR268 crores for the year '26-'27 which we will pay. Apart from this year, as per the cash flow, we will target the prepayment. As such, there is nothing has been written in the paper how much we will pay. And the second thing what you are saying that INR25-INR26 crores per quarter, that we will reduce. And if you want the debt profile, I will give you the debt profile of all these three units, which is in process and I will share with you.
Balasubramanian: Okay, sir. So, my second question on the scheme of arrangement is submitted by NCLT. I think the hearing is expected, 21st of May. Is there any expected timeline for the completion of demerger?
Anand Singhal: 21st May, we are hopeful that we will get the order for the demerger of the division. And another hope is that in first 10 days of the June we will get the order. So, once we get the order, we will start working for filing that in ROC and the other matters, which is related.
Balasubramanian: Okay. Got it, sir. Thank you.
Moderator: Thank you. We'll take the next question from the line of Varun Mehta from Wealth Link Investment. Please go ahead.

Varun Mehta: Sir, I just have question on the balance sheet side. Basically, this year we have done around about INR830 crores of capital expenditure. And that also in last six months it is gone from about INR600 crores in last six months. Can you just throw some light on it, sir? Where have we invested this money?
Anand Singhal: Actually, there are two distilleries largely, which are the main capital expenditure. One is the grain distillery in Gorakhpur, and one is the grain distillery in Kashipur. So, basically, out of whatever amount you are saying, about INR400 crores is out of these two distilleries capitalization. And apart from this, we have some more capex's, which is not a major amount and that has been completed. So, this is what is the amount, which we have spent on the capex.
Varun Mehta: Okay. And sir, s

econdly on the debt side, we have repaid around INR800 crores, but net debt from last year is only down by INR220 crores. So, will our interest cost remain at INR45 crores or it will go slightly higher?
Anand Singhal: No, our interest cost will be remaining in about INR25 crores range. Actually, you are not able to see the reduction, because we have reduced our cash credit limits. So, some of the amount, which has been repaid against the long-term loan that is visible. But the amount, which we have paid out of the cash credit limit, that is not visible.
Varun Mehta: Okay. All right, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Akash Gupta, an Individual Investor. Please go ahead.
Akash Gupta: Good evening, sir. I hope I'm audible. First question I have on Potable Spirit segment. So, I think you answered this in the beginning of the call as some other participant asked. I missed that, if you could just repeat what percentage of our total revenue of Potable Spirit comes from IMFL, and within this what percentage will be Amrut?
Manish Pant: Okay, Amrut. So, Akash, the total freight revenue percentage, whatever we have declared, it is around 31% of the total Potable section, and Amrut share is likely to be around 5% to 6% out of it.

Akash Gupta: Okay. 31% you said, right?
Manish Pant: Yes.
Akash Gupta: If I remember correctly, last year it was around mid-teens, 16%, 17%. So, are we saying that our IMFL has doubled?
Manish Pant: So, I think, Akash this has been already answered by our CEO that, we are now shifting from our regular segment to the premium segment. So, the revenue percentage is increasing in the IMFL, and we are aspiring to shift more percentage by introducing more premium brands in future.

Akash Gupta: Yes, the bottling that we do for Bacardi, I think that directly flows into our margin for Potable segment. So, excluding that, what is our margin on Potable Spirit, EBITDA margin?
Manish Pant: So this Bacardi business, it is for their low-proof and the high-proof brands. The major portion belongs to the low-proof brands, like Breezer and all. So we are only charging, the filling cost from them, and though this directly gives the revenue to us in liquor segment, but it comes under the miscellaneous income segment, not in the sales revenue.
Akash Gupta: Right. So, excluding that, what will be our margin for Potable Spirit segment?
Manish Pant: So, I don't think that this would be a very greater percentage in this. This could be hardly 2% or 3% of the total Potable revenue.
Rupark Sarswat: My suggestion is, Akash, if you can send an email, and we can revert with more precise details in terms of break-up, etcetera. If required, have a separate discussion later.
Akash Gupta: Sure, sir. Sure. I'll do that. Thank you very much.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Rupark sir for closing comments. Thank you and over to you, sir.
Rupark Sarswat: Yes. Let me thank you all on behalf of my colleagues here for turning up for this conference and also giving us your time and a lot of interest in our business.
But on that note, all of you have a good evening, good day, and we look forward to seeing you again. Thank you for your time. Thank you very much.
Moderator: Thank you. Thank you, members of the management. On behalf of InCred Equities, that concludes this conference. We thank you for joining us and you may now disconnect your lines.
Thank you.
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